SK hynix

Full earnings deep dive | 000660.KS

Publication/update: October 28, 2026 America/Toronto. Issuer release/event: October 28, 2026 Seoul, corresponding to October 27 America/Toronto. Private research. Current results are preliminary; forecasts and undisclosed product allocations are analyst estimates.

At a glance - active Q4 2027 horizon

Measure	Common	ADS
Price ceiling	4,084,291 KRW	411.325 USD
Prospective cumulative eligible gross dividend	125,144.95 KRW	8.40215 USD at model FX
Selected OP multiple	4.5x	6.75x; 50% owner multiple premium
Cash rights	1 common share	0.1 common share
Analytical score / protected Excel Base	88 /90	88 /90

All price targets and upside figures use the share-price ceiling. Dividend forecasts appear separately as gross income.

Financial confidence: LOW. Strong current earnings and contracting visibility support the operating thesis. Forward prices, high margins, undisclosed HBM allocation and dated global market denominators remain material uncertainties. The price ceilings are conditional model estimates. Dividend forecasts show prospective gross income subject to eligibility, taxes, depositary fees and currency conversion.

Reading map: thesis and source facts; contracts, manufacturing and capacity; full financial model and valuation; dividends/cash/shares; market-share hurdles; risks and monitoring; numerical Rule 16b event bridges; independent sensitivity cases; complete source register. Each chart has its complete numerical table immediately beneath it.

Investment thesis

SK hynix supplies a scarce input to AI infrastructure: qualified high-bandwidth memory delivered at acceptable yield, power and cost. The competitive advantage combines DRAM process technology, stacking and testing, customer qualification and coordination with logic and packaging partners. Announced wafer capacity is only one component of saleable output. This supports a bottleneck thesis while leaving the company exposed to memory pricing and competitive supply. [S02, S24, S25]

The business has three complementary routes into inference: HBM beside accelerators, conventional DRAM for system working memory, and NAND/eSSDs for persistent data and cache tiers. HBM is included within DRAM; Solidigm is included within consolidated NAND. Neither should be counted again as a separate market. More memory-intensive workloads can expand revenue, but higher utilization and pooling can also reduce the bits required for a given task. Follow delivered memory content and value per workload. Quantify company revenue through customer cohorts, pricing and accepted shipments. [S02, S26]

The central test is whether strong customer demand becomes recognized sales and durable operating profit after capacity, product mix, pricing, manufacturing costs and operating expense. The long-range case requires price realization and share assumptions that go beyond disclosed company guidance. Assess the forecast alongside its product, market-share and execution sensitivities.

Current results and management guidance

Preliminary Q3 2026 consolidated revenue was KRW 104.6155 T, operating profit KRW 83.3338 T and net profit KRW 39.7756 T. Revenue and operating profit rose 32% and 38% sequentially. Operating results benefit from server DDR5, HBM4 and data-center NAND. Net income also reflects non-operating items; it is not the recurring operating-profit valuation input. The figures remain preliminary K-IFRS results. [S01]

For Q4, the company guides DRAM bit growth in the mid-20% range and NAND in the mid-single digits, including Solidigm. The guidance measures shipment bits. Revenue also depends on realized ASP and mix. The model selects 25% and 5% midpoints, then separates physical growth from prices and costs. It does not apply 25% independently to both HBM and conventional DRAM. [S02]

The operating plan raises 1c-process server DRAM production, increases DDR5 and LPDDR5 SOCAMM sales and takes M15X to full capacity by year-end. HBM4 is expected to exceed HBM3E in both HBM shipment and revenue share during Q4. The 321-layer node should exceed half of domestic NAND capacity in Q4; this is not a claim that it exceeds half of all worldwide or Solidigm capacity. 2027 HBM negotiations are finalized, but the company has not disclosed the price uplift or product gross margins. [S02]

Management expects memory demand to exceed supply through 2030. Its presentation places 2027 market achievable DRAM bit-demand growth in the mid-20% range and NAND in the high teens. The outlook describes market demand. Company shipments depend on available capacity, qualification and accepted orders. The associated CSP capex, secured-power and infrastructure-growth figures are explicitly market-research estimates. Individual cloud customers publish their own guidance. [S02]

Reported financial facts and scope

The issuer release is more precise for revenue, operating profit and net profit; supporting presentation tables are rounded in KRW billions. Consolidated totals include Solidigm. The model estimates product allocations. The issuer reports the consolidated profit totals. [S01, S02]

Reported income statement - KRW T

Line	Q3 2026	Q2 2026	Q3 2025
Revenue	104.615	79.319	24.449
Cost of goods sold	14.963	13.327	10.420
Gross profit	89.653	65.991	14.029
SG&A	6.319	5.449	2.646
Operating profit	83.334	60.543	11.383
Net financial profit/loss	0.434	0.150	-0.103

Line	Q3 2026	Q2 2026	Q3 2025
FX transaction/translation	-11.633	1.147	0.209
Associates/joint entities	0.027	-0.020	-0.023
Other non-operating	-21.452	60.889	3.324
EBITDA	87.675	64.563	14.949
Pretax profit	50.708	122.708	14.790
Income tax expense	10.933	28.786	2.193
Net profit	39.776	93.923	12.598

Reported EPS and weighted shares

Measure	Unit	Q3 2026	Q2 2026	Q3 2025
Basic EPS	KRW	54,773	132,126	18,242
Diluted EPS	KRW	54,454	131,478	17,850
Basic weighted shares	million	722	710	690
Diluted weighted shares	million	722	712	712

Weighted EPS denominators, issued shares, record-date dividend shares and the future distributed-share valuation proxy are different measures. The preliminary note set does not fully reconcile every denominator.

Reported balance sheet - KRW T

Line	Q3 2026	Q2 2026	Q4 2025
Expanded cash	114.460	87.958	34.942
Receivables	59.116	47.821	18.199
Inventory	19.356	17.986	14.289
PP&E	97.211	88.889	77.503
Interest-bearing debt	15.800	18.587	22.248
Total assets	391.800	348.862	176.108
Equity	309.088	262.693	120.667

Expanded cash includes financial instruments/investments; it is not verified unrestricted cash-equivalents-only. The fresh deck does not supply a full lease/debt/restriction note set. The valuation adds no net cash.

Reported cash-flow bridge - KRW T

Line	Q3 2026	Q2 2026	Q3 2025
Operating cash flow	54.781	65.710	14.368
D&A	4.335	4.030	3.560
Working capital/other	10.670	-32.243	-1.789
Investing cash flow	-42.892	-28.747	-5.154
Cash PP&E acquisition	-12.670	-10.671	-5.033
Long-term financial investments	-30.845	-22.064	-0.001
Financing cash flow	10.781	-4.666	1.375
Cash dividends paid	-0.272	-1.594	-0.259
Treasury acquisition/disposal/other	10.308	0.014	0.022
FX cash effect - source table	3.831	1.332	0.303
Expanded cash change	26.502	33.628	10.892
Ending expanded cash	114.460	87.958	27.854

Q3 reported CFO is 54.781 T and cash PP&E is 12.670 T. Normalized model CFO is not an actual reconstruction. The source cash-flow waterfall shows FX3.881 T while its table shows 3.831 T; the table is used. Cash-flow D&A4.335 T and EBITDA minus precise release OP4.3412 T have a 6.2 B rounding/scope residual. Balance-sheet and cash-flow expanded-cash footnotes have different investment wording.

The deck identifies an FX-related loss of about 11.63 T and an investment-asset-related loss of 22.92 T. The reviewed sources do not attribute the entire investment loss to Kioxia or establish a complete realized/valuation/cash-tax bridge. Neither that accounting loss nor earlier investment gains are recurring memory operating profit or automatically a same-period cash flow. [S01, S02]

Contracts improve visibility without eliminating the cycle

Signed LTAs cover 14 major customers, generally run for five years and include deposits and market-reflecting price ranges. Secured volumes exceed 50% of total capacity for 2027 and 2028. The disclosed capacity measure is not an exact revenue-weighted coverage ratio for every product. Deposits improve commitment and funding visibility, but are not recognized product revenue merely because cash has been received. [S02]

Current Korean reports of management Q&A describe customer HBM requests exceeding twice available HBM supply. They also describe DRAM/HBM as effectively sold out through 2029 when secured LTAs are combined with concrete demand under discussion. Requested quantities and discussions are not the same as binding orders, a fixed price, or cash collection. The statement does not establish that all NAND output through 2029 is sold. [S03, S04]

Price bands create a trade-off. They can protect economics when merchant pricing weakens, but can limit participation when spot and contract prices rise rapidly. TrendForce specifically notes that some suppliers’Q4 price increases lag the market because of LTA mechanisms. A modeled LTA benefit therefore represents conditional avoided discounting against a defined no-LTA price path; it is not a universal contractual premium. [S13]

The selected model uses a 50% coverage proxy and an 8% conditional pricing-retention benefit, with durability probabilities of 80% in 2028, 50% in 2029 and 25% in 2030. The resulting 3.2%, 2.0% and 1.0% are coverage-weighted aggregate price levels on total modeled DRAM sales, including HBM and conventional DRAM. Each figure measures the level in its stated year. The 50% coverage is applied once and is not applied again. Coverage conversion, the benefit and probabilities are analyst assumptions. A zero-benefit case and conditional 2-10% advantage range remain necessary, with no second volume credit for demand already in the forecast.

HBM mix, stack height and accepted output

HBM4's commercial ramp and completed 2027 negotiations strengthen near-term visibility. September product demonstrations and June 12-high HBM4E samples also argue against a blanket assumption that every advanced stack is technically unworkable. Samples, exhibits and management yield claims still do not independently establish good-stack yield, accepted volume, rework or cost at scale. [S05, S06, S24, S25]

Lowering a stack from 12to 8 dies can permit more accelerator packages to be built from a limited supply of HBM bits. It does not automatically lower the selling price or manufacturing cost per bit. Every stack still requires a base die; equal bit output can require more cubes, packaging and testing. Greater per-die density can offset part of that burden. Test management's unchanged shipment plan against accepted output and the backend requirements of the specific product mix. [S03]

TrendForce's September 29 industry forecast puts 2027 blended HBMASP growth at 121% year-on-year and estimates an 8-high per-Gb premium of 10-20% over 12-high. This is a research forecast influenced by product mix and the HBM4/HBM4E ramp; it is not SK hynix's signed price schedule. It cannot be inserted mechanically as a single quarterly company price increase. The model's 80% probability of a 20% conditional 2027 uplift produces a 16% expected price level; its timing and realization are analyst assumptions, although negotiations themselves are already complete. [S12]

The official application chart labels a separate Graphics(incl. HBM) band above Server. Its Q3 band is visually in the mid-to-high teens of DRAM revenue, with roughly two percentage points of reading uncertainty; no exact HBM share is disclosed. Absent evidence of another classification, HBM must fit within that broader graphics category. The model selects HBM at 12% of DRAM revenue, with an 8-15% sensitivity range, leaving a positive conventional graphics component. The chart bounds this model allocation. The issuer provides no exact HBM segment share. [S02]

With DRAM at 75% of consolidated revenue, the selected allocation is 9% HBM, 66% conventional DRAM, 24% NAND and 1% other. The assumed 3× HBM price per bit implies a 4.347826% HBM share of DRAM bits. At 40% HBM bit growth, conventional DRAM growth must be 24.31818% to reproduce the combined 25% Q4 midpoint. The arithmetic reconciles shipment bits, but does not prove wafer, base-die, TSV, packaging or test capacity.

The 8-high branch uses a 15% conditional per-Gb price premium within the research range, 60% adoption probability and 40% net-new exposure after overlap. On 50% exposure in 2027-28, this adds a 1.8% HBM price level. The model includes additional backend cash cost. These weights and the cost allocation are analyst estimates. The branch must not duplicate the broader HBM repricing or acceptance-risk case.

A 20% subjective probability is assigned to a CY2027 commercial execution shortfall, with a 7.5% conditional net reduction in accepted HBM sales and 5-10% severity sensitivity. The endpoint is net of product substitution. The model retains D&A and unavoidable manufacturing and operating burdens, avoids only half of eligible cash manufacturing cost and allocated operating expense attached to missed sales, and includes rework. The selected event expires in 2028 as a timing assumption. Further execution risks remain possible, and the forecast includes zero catch-up revenue.

Product gross margins, cost splits and depreciation allocations are analyst estimates calibrated to consolidated results. Depreciation is allocated in proportion to the anchor manufacturing COGS of HBM, conventional DRAM and NAND: about 11.33%, 60.23% and 28.44%, with zero allocated to Other. The acceptance branch avoids

only eligible cash manufacturing cost and operating expense. It does not avoid D&A or other non-cash manufacturing charges when accepted sales are lost. No reported product gross profit or asset allocation is implied.

Inference broadens the memory hierarchy

AI-serving systems place data across HBM, DRAM and SSD according to latency, capacity, reuse and cost. The company's OCP demonstrations include CXL pooled DRAM, hybrid DRAM/SSD cache management and computational memory. Its NAVER Cloud work is described at proof-of-concept level, and HBF performance comparisons use internal simulations. The products remain at demonstration and proof-of-concept stages. Disclosed commercial orders are still needed to quantify additional revenue. [S26]

The NAND opportunity includes high-capacity QLC eSSDs and lower-latency tiers. The reported Q&A describes SALT-KV placement software and CXL hybridmemory that keeps the full KV cache on SSD while prefetching useful data into DRAM. This supports a system-level value proposition. Actual monetization depends on customer qualification, software integration, SSD endurance, delivered performance and total cost; theoretical cache capacity is not automatically purchased NAND. [S08]

The selected NANDASP changes are 20% in Q4 2026 and 15% in Q1 2027. They apply once in their specified quarters. The Q4 selection is at the top of TrendForce's 15-20% contract-price range; company realization can differ by contract, product and recognition date. Solidigm is already included. Later incremental AI-storage demand is heavily overlap-adjusted and remains an analyst shipment scenario. [S13]

Optical interconnects, pooled LPDDR, CXL and near-memory computing can alter the mix of local HBM, system DRAM and storage. They can expand aggregate memory use while reducing a particular product's attachment or pricing power. A link demonstration does not establish comparable application latency, utilization, power or complete memory-system cost. Evaluate named customer cohorts and net displaced/recovered sales before assigning company dollars; do not treat each architectural route as an independent additive TAM.

Capacity is a sequence of economic milestones

M15X and advanced-node migration support the near-term volume ramp, while Yongin and other infrastructure expand the longer-term opportunity. Capex is not a physical shipment unit. A shell, cleanroom, installed tool, qualified process and accepted customer shipment are separate milestones, with different cash and depreciation consequences. Faster process migration can improve bits per wafer while introducing yield and cost risk. [S02, S07]

The announced Indiana project illustrates the timing distinction: the cleanroom is scheduled for October 2028 and mass production for the second half of 2029. It packages and tests wafers produced in Korea. It cannot supply the model's Q4 2027-Q3 2028 earnings window, and packaging an existing wafer is not a second chip sale. The company plans these dates. Completion requires subsequent evidence. [S23]

Customer LTAs can support investment discipline, but competitors also respond to high returns. Samsung and Micron can improve qualification, yields and product mix; NAND suppliers can migrate to higher layers, and Chinese suppliers can alter lower-end supply and price competition. The relevant cycle indicators are accepted good output, inventory, negotiated prices and customer absorption. Building announcements alone establish neither immediate oversupply nor permanent scarcity. [S16, S17]

The model's 2027 DRAM bit growth is about 8.11% from Q4 to Q4, while NAND grows about 17.9% on that basis. These rates differ from the presentation's calendar-year market demand outlook. Price, mix and the starting-quarter level carry much of the revenue growth. The capacity review must test both physical supply and earnings

sensitivity to pricing; strong demand is not a complete production bridge.

Competition and lessons across the research universe

HBM leadership must be judged against good-stack cost and accepted customer supply. SK hynix’s TSMC coordination and packaging experience can protect qualification and time to volume, while rival process improvements, alternative base-die arrangements and successful customer qualification can erode the premium. Awards and product exhibits establish collaboration. Market share depends on recurring qualified orders and accepted shipments. [S24]

Advanced MR-MUF samples and 12-high demonstrations make universal technical-failure claims too strong. They do not dismiss interface, thermal, mechanical and reliability constraints. Likewise, lowering stack height changes package economics but does not lengthen the bit interval at an unchanged signaling rate. Evaluate accepted performance and cost under customer workloads. [S24, S25]

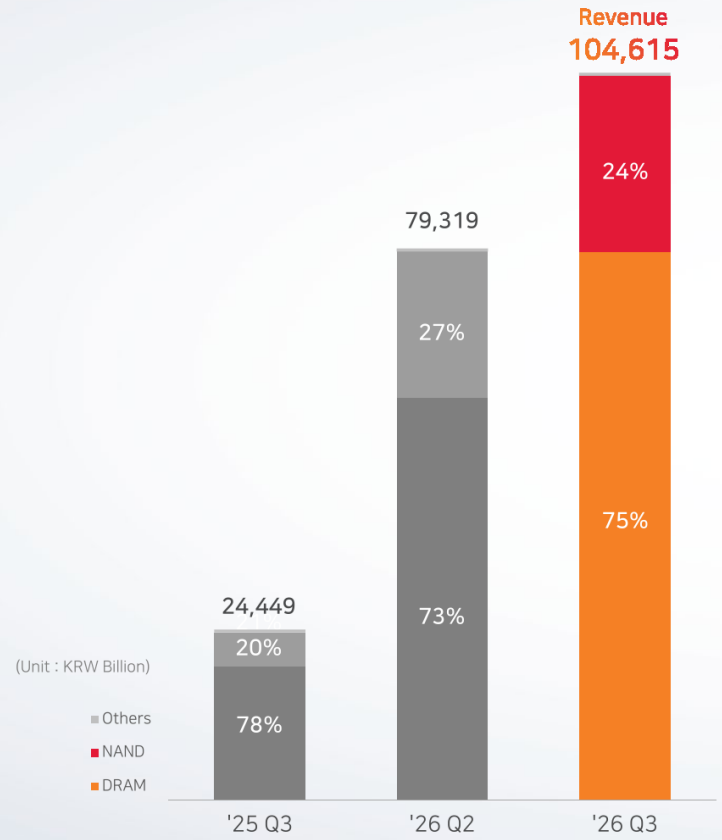
Samsung and Micron share the HBM/server-DRAM opportunity but have different qualifications, product mix and pricing realization. SanDisk and Kioxia share NAND pricing and enterprise-storage demand but differ in contracts, wafer economics and customer exposure. No company’s price collar, deposit provision or margin is imported into another issuer merely because the macro thesis is shared.

Packaging, test and equipment suppliers can benefit from more complex memory production, subject to their own design wins and installation dates. A move to more cubes per bit can raise backend demand without raising memory bit shipments by the same percentage. Optical links and pooled memory can shift where memory value is captured. Quantify their net effects within each customer system. These implications require company-specific review before changes to other models.

Source exhibit: DRAM application taxonomy

Appendix

Revenue by Product



* Revenue by product portion is based on KRW, Solidigm results consolidated

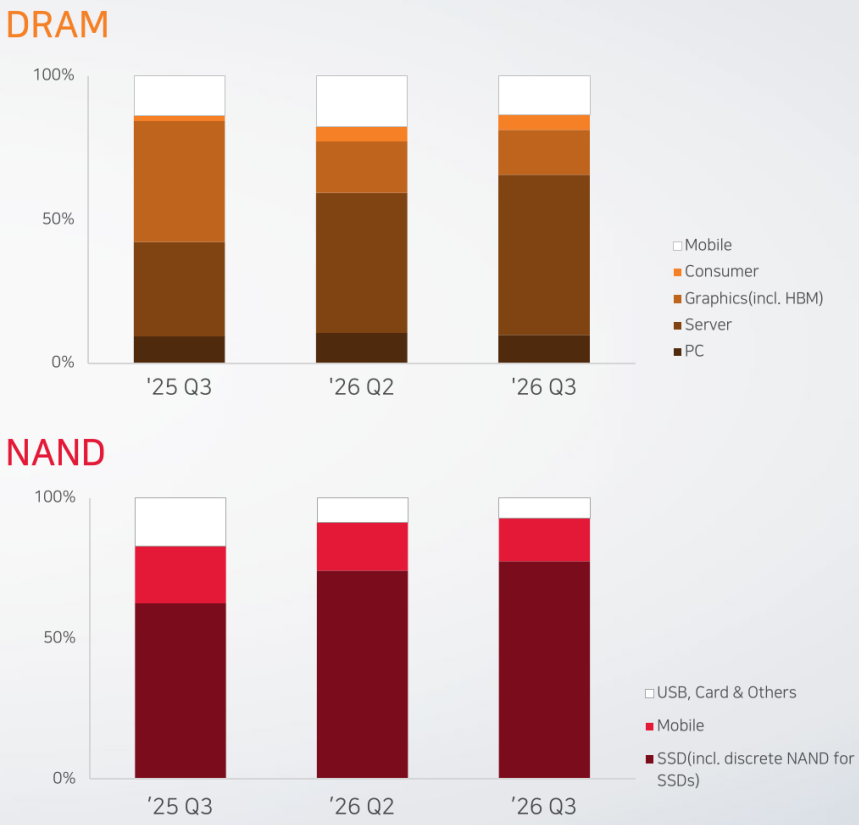
※ All figures above are rounded to KRW Billions, leading to some statements not adding up completely

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Appendix

SK hynix

Revenue by Application



* NAND Revenue by application is based on USD revenue including Solidigm

We Do Technology

Official Q3 presentation p 17. Graphics (including HBM) is separate from Server. Its band is visually about 16% +/-2 points of DRAM; exact HBM share is undisclosed. Selected HBM12%, sensitivity 8-15%, is an analyst proxy. [S02]

Application-chart bound versus model proxy

Item	Value / status
Graphics including HBM	Approximately 14-18% of DRAM, visually estimated
Selected HBM share	12% of DRAM; analyst proxy
HBM sensitivity	8-15% of DRAM
HBM issuer revenue share	9%=75% DRAM x 12%
Conventional DRAM issuer share	66%=75% DRAM x 88%

Self-contained operating derivations

The anchor is Q3 2026. All quantities below are estimates except the explicitly identified consolidated preliminary results and guidance. Physical bits, ASP and unit costs are independent indices. An ASP rise therefore does not create wafer capacity or reduce manufacturing costs automatically.

Anchor product derivation

Product	Revenue T	GM proxy	COGS T	D&A T	Cash COGS T
HBM	9.415	83.00%	1.601	0.491	1.109
Conventional DRAM	69.046	87.68%	8.508	2.611	5.897
NAND	25.108	84.00%	4.017	1.233	2.784
Other	1.046	20.00%	0.837	0.000	0.837

Operating equations and units

Step	Derivation / scope
Revenue allocation	HBM =104.6155 x 75% x 12%=9.415395 T; conventional DRAM=104.6155 x 75% x 88%=69.046230 T; NAND=104.6155 x 24%; other=1%.
Chart constraint	Graphics (including HBM) is approximately 16% +/-2 percentage points of DRAM in the source application bar; HBM is a subset. The selected 12% is not a disclosed exact HBM share. Sensitivities 8-15% retain a positive graphics-memory residual.
HBM bit share	(0.12/3) / (0.12/3+0.88)=0.04347826. The 3x per-bit price ratio is a proxy; product revenue share is not bit share.
Q4 DRAM bits	25%=0.04347826 x 40% +0.95652174 x 24.31818%. The combined 25% midpoint reflects mid-20% guidance; the HBM split is selected.
Conventional margin	(89.653 -9.415395 x 83% -25.107720 x 84% -1.046155 x 20%) /69.046230 =87.678221%. This is the residual gross margin within the model allocation.
D&A weights	Hardware COGS weight = product anchor COGS / sum of HBM, conventional DRAM and NAND COGS. Other receives zero. D&A allocation changes with the mix calibration. Cash COGS=manufacturing COGS minus allocated D&A.

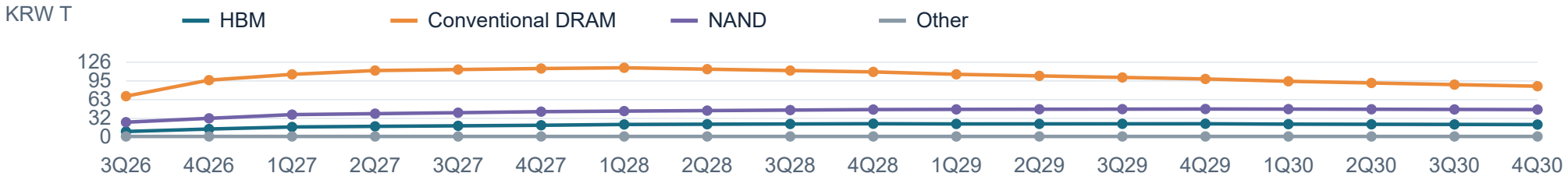
Step	Derivation / scope
Revenue before acceptance risk	Product anchor revenue x cumulative delivered-bit index x cumulative ASP index x applicable LTA level x applicable stack-price level. NAND delivered bits additionally include the incremental storage level. Other remains indexed 1.
Manufacturing cost before risk	Anchor cash COGS x [60% x delivered bits x unit-cost index +40% x 1.02^quarter index] x HBM stack-cost level when applicable + allocated current D&A + allocated new-fab cash cost. Fixed cost and D&A persist when acceptance risk reduces deliveries.
D&A schedule	Legacy 4.335 T x max(0,1-quarter index/20), plus new equipment capex 75% /20 quarters and facilities capex 25% /80 quarters. Depreciation starts after a 2-quarter commissioning lag. These are modeled useful lives and commissioning proxies.
Operating expense	Anchor 6.3192 T x [60% x 1.03^quarter index +40% x reference revenue/104.6155] +3% x positive incremental reference GP above 89.653 T. Product opex is allocated by reference revenue; acceptance-risk avoidable opex is then deducted.
HBM acceptance risk	2027 probability 20% x net conditional lost HBM sales 7.5%. Only 50% of proportional ex-D&A manufacturing cost and allocated opex is avoidable. Add rework 2% of conditional lost sales. All D&A remains. No catch-up sales; risk expires after 2027 by assumption.
Gross/operating profit	GP=revenue -manufacturing COGS; OP=GP -opex. Product sums reconcile exactly to consolidated modeled amounts before display rounding.
Cash conversion	Cash tax=25% of positive OP; working capital=15% of revenue. CFO=OP -cash tax +D&A -change in working capital. FCF=CFO -cash capex. This normalized bridge is not the reported statutory cash-flow statement.

Price, overlap and cycle overlays

Input	Selected law / timing
HBM 2027 ASP	80% realization x 20% conditional increment=16% Q1 2027 ASP increase, applied once; no second industry 121% uplift.
Conventional DRAM ASP	80% realization x 15%=12% in Q4 2026; in 2027,80% x[10%,5%,0%,0%] gives[8%,4%,0%,0%] quarter changes, compounded in the ASP index.
Owner NAND scenario	Q4 2026 ASP+20%, Q1 2027+15%, each once; neither is an extra storage/AI revenue pool.
8-high stack economics	60% probability x 40% non-overlap x 50% exposure x 15% per-Gb premium =1.8% HBM price level in 2027-28. Cash cost uplift=60% x 40% x 50% x 20% backend fraction x 50% more cubes=1.2%;2029 exposure halves;2030 zero.
LTA durability	50% coverage x 8% conditional advantage x[80%,50%,25%] durability gives aggregate DRAM price levels+3.2%,+2%,+1% in 2028/29/30. Applies to total modeled DRAM; coverage is included once. Levels are not successive annual growth rates.
Additional AI NAND	50% probability x 25% non-overlap x[2%,4%,6%] conditional bit levels yields+.25%,+.50%,+.75% extra delivered NAND bits in 2028/29/30, with variable cost and opex.
Normalization	All subsequent quarterly price, bit, unit-cost and capex changes are shown in the complete driver tables. Level overlays must not be compounded again.

Quarterly product and consolidated operating model

All product allocations, product gross profit and operating expenses are MODEL estimates. Q3 2026 consolidated revenue/GP/OP are calibrated to preliminary reported totals; this does not make the product split reported. Every future quarter is a forecast. Amounts are KRW trillions.

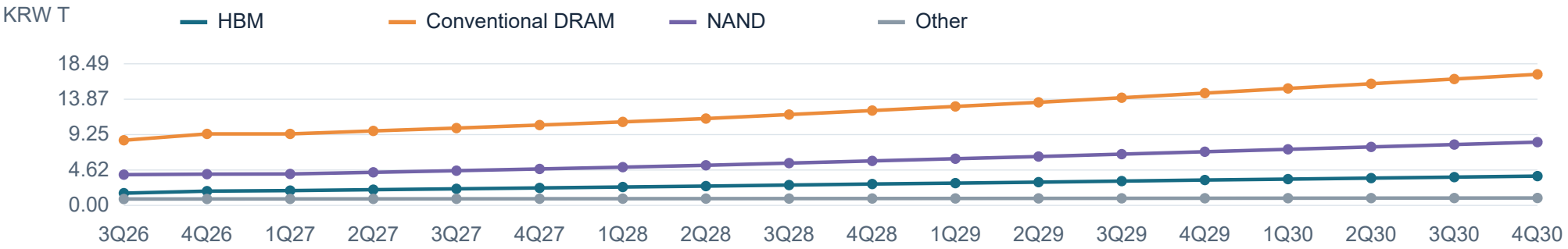


Modeled product revenue. Full values are directly below; no reported product margin is implied.

Product revenue - complete values

Quarter	HBM	Conventional DRAM	NAND	Other
Q3 2026	9.415	69.046	25.108	1.046
Q4 2026	13.577	96.137	31.636	1.046
Q1 2027	17.056	105.905	37.909	1.046
Q2 2027	18.079	112.344	39.501	1.046
Q3 2027	18.983	114.029	41.160	1.046
Q4 2027	19.932	115.740	42.889	1.046
Q1 2028	21.284	117.019	43.834	1.046
Q2 2028	21.693	114.643	44.687	1.046
Q3 2028	22.109	112.316	45.558	1.046
Q4 2028	22.534	110.036	46.445	1.046
Q1 2029	22.169	105.999	46.759	1.046
Q2 2029	22.263	103.312	46.957	1.046
Q3 2029	22.358	100.693	47.157	1.046
Q4 2029	22.453	98.141	47.357	1.046
Q1 2030	21.801	94.224	47.202	1.046
Q2 2030	21.570	91.360	46.931	1.046
Q3 2030	21.341	88.583	46.661	1.046
Q4 2030	21.115	85.890	46.392	1.046

Product manufacturing cogs

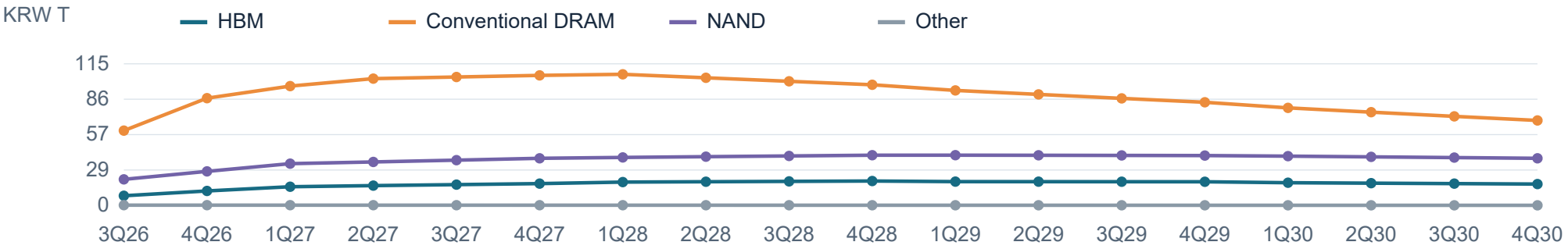


Modeled product manufacturing cogs. Full values are directly below; no reported product margin is implied.

Product manufacturing cogs - complete values

Quarter	HBM	Conventional DRAM	NAND	Other
Q3 2026	1.601	8.508	4.017	0.837
Q4 2026	1.865	9.339	4.083	0.844
Q1 2027	1.936	9.337	4.109	0.850
Q2 2027	2.054	9.728	4.321	0.857
Q3 2027	2.166	10.098	4.534	0.865
Q4 2027	2.283	10.494	4.760	0.872
Q1 2028	2.403	10.905	4.996	0.879
Q2 2028	2.522	11.341	5.240	0.887
Q3 2028	2.658	11.864	5.525	0.894
Q4 2028	2.795	12.388	5.811	0.902
Q1 2029	2.910	12.924	6.098	0.910
Q2 2029	3.037	13.462	6.382	0.918
Q3 2029	3.176	14.061	6.695	0.927
Q4 2029	3.316	14.662	7.010	0.935
Q1 2030	3.434	15.275	7.326	0.944
Q2 2030	3.565	15.889	7.637	0.953
Q3 2030	3.696	16.504	7.949	0.962
Q4 2030	3.827	17.121	8.262	0.971

Product gross profit

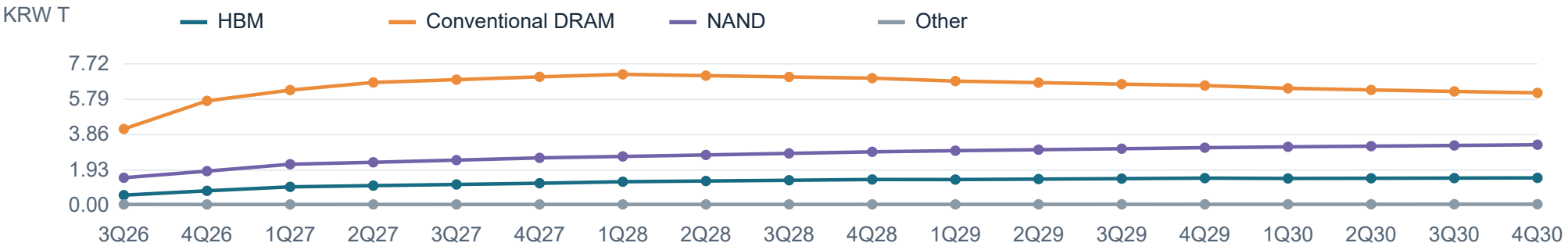


Modeled product gross profit. Full values are directly below; no reported product margin is implied.

Product gross profit - complete values

Quarter	HBM	Conventional DRAM	NAND	Other
Q3 2026	7.815	60.539	21.090	0.209
Q4 2026	11.712	86.798	27.553	0.203
Q1 2027	15.120	96.568	33.800	0.196
Q2 2027	16.025	102.616	35.180	0.189
Q3 2027	16.817	103.931	36.626	0.182
Q4 2027	17.649	105.246	38.129	0.174
Q1 2028	18.881	106.114	38.838	0.167
Q2 2028	19.171	103.302	39.448	0.159
Q3 2028	19.451	100.452	40.033	0.152
Q4 2028	19.739	97.648	40.634	0.144
Q1 2029	19.258	93.075	40.660	0.136
Q2 2029	19.226	89.851	40.575	0.128
Q3 2029	19.182	86.632	40.461	0.119
Q4 2029	19.137	83.479	40.347	0.111
Q1 2030	18.367	78.950	39.877	0.102
Q2 2030	18.005	75.471	39.294	0.093
Q3 2030	17.645	72.078	38.712	0.084
Q4 2030	17.288	68.769	38.130	0.075

Product operating expense

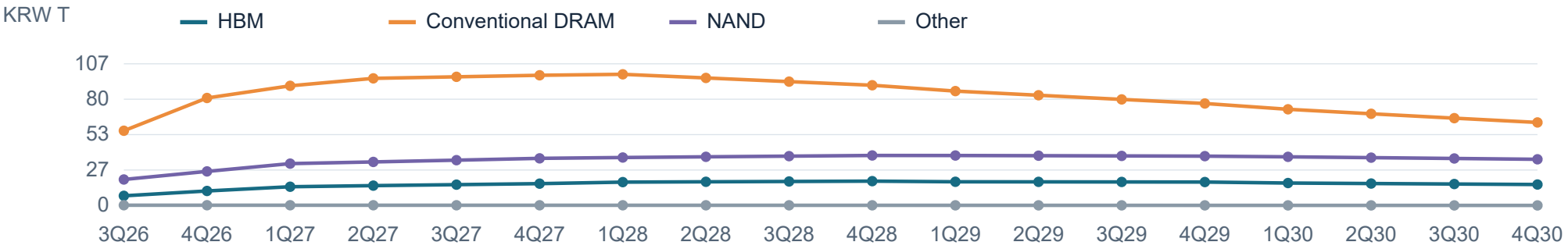


Modeled product operating expense. Full values are directly below; no reported product margin is implied.

Product operating expense - complete values

Quarter	HBM	Conventional DRAM	NAND	Other
Q3 2026	0.569	4.171	1.517	0.063
Q4 2026	0.805	5.701	1.876	0.062
Q1 2027	1.020	6.288	2.251	0.062
Q2 2027	1.087	6.704	2.357	0.062
Q3 2027	1.150	6.857	2.475	0.063
Q4 2027	1.217	7.011	2.598	0.063
Q1 2028	1.299	7.144	2.676	0.064
Q2 2028	1.339	7.074	2.758	0.065
Q3 2028	1.379	7.005	2.841	0.065
Q4 2028	1.421	6.938	2.928	0.066
Q1 2029	1.417	6.778	2.990	0.067
Q2 2029	1.442	6.694	3.042	0.068
Q3 2029	1.468	6.612	3.097	0.069
Q4 2029	1.495	6.535	3.154	0.070
Q1 2030	1.478	6.386	3.199	0.071
Q2 2030	1.487	6.297	3.235	0.072
Q3 2030	1.497	6.215	3.274	0.073
Q4 2030	1.509	6.138	3.315	0.075

Product operating profit

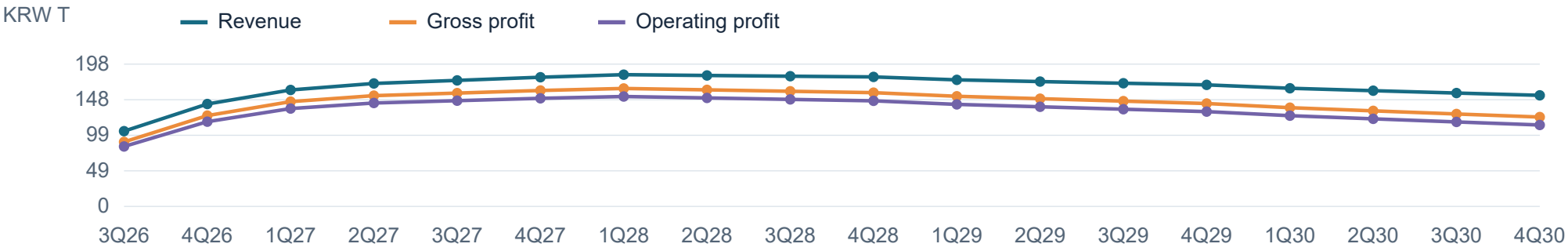


Modeled product operating profit. Full values are directly below; no reported product margin is implied.

Product operating profit - complete values

Quarter	HBM	Conventional DRAM	NAND	Other
Q3 2026	7.246	56.368	19.574	0.146
Q4 2026	10.907	81.097	25.677	0.140
Q1 2027	14.100	90.279	31.549	0.134
Q2 2027	14.938	95.912	32.823	0.126
Q3 2027	15.667	97.074	34.151	0.119
Q4 2027	16.433	98.235	35.531	0.111
Q1 2028	17.582	98.970	36.161	0.103
Q2 2028	17.833	96.228	36.690	0.095
Q3 2028	18.073	93.447	37.192	0.087
Q4 2028	18.318	90.710	37.706	0.078
Q1 2029	17.841	86.298	37.670	0.069
Q2 2029	17.783	83.157	37.533	0.060
Q3 2029	17.713	80.020	37.365	0.051
Q4 2029	17.642	76.943	37.194	0.041
Q1 2030	16.889	72.564	36.677	0.031
Q2 2030	16.518	69.174	36.059	0.021
Q3 2030	16.148	65.864	35.438	0.011
Q4 2030	15.779	62.631	34.815	0.000

Consolidated revenue, gross profit and operating profit



One issuer operating model supports both listings; risk-weighted operating effects are already inside these values.

Consolidated revenue, gross profit and operating profit - complete values

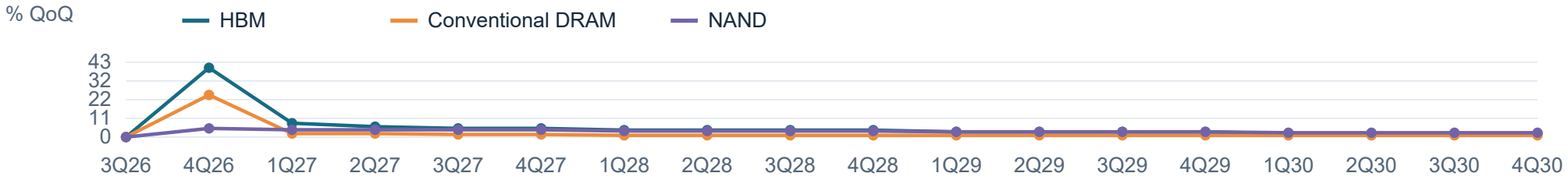
Quarter	Revenue	Gross profit	Operating profit
Q3 2026	104.615	89.653	83.334
Q4 2026	142.396	126.266	117.822
Q1 2027	161.916	145.684	136.062
Q2 2027	170.971	154.010	143.798
Q3 2027	175.219	157.556	147.011
Q4 2027	179.607	161.198	150.309
Q1 2028	183.183	164.000	152.816
Q2 2028	182.069	162.080	150.845
Q3 2028	181.029	160.088	148.798
Q4 2028	180.061	158.164	146.811
Q1 2029	175.973	153.129	141.878
Q2 2029	173.579	149.780	138.534
Q3 2029	171.254	146.395	135.149
Q4 2029	168.997	143.074	131.820
Q1 2030	164.273	137.295	126.161
Q2 2030	160.906	132.863	121.772
Q3 2030	157.630	128.520	117.461
Q4 2030	154.443	124.262	113.225

Consolidated operating reconciliation - KRW T

Quarter	Revenue	COGS	GP	Opex	OP	GM	OPM
Q3 2026	104.615	14.962	89.653	6.319	83.334	85.70%	79.66%
Q4 2026	142.396	16.131	126.266	8.444	117.822	88.67%	82.74%
Q1 2027	161.916	16.232	145.684	9.622	136.062	89.97%	84.03%
Q2 2027	170.971	16.961	154.010	10.211	143.798	90.08%	84.11%
Q3 2027	175.219	17.663	157.556	10.545	147.011	89.92%	83.90%
Q4 2027	179.607	18.409	161.198	10.888	150.309	89.75%	83.69%
Q1 2028	183.183	19.183	164.000	11.184	152.816	89.53%	83.42%
Q2 2028	182.069	19.989	162.080	11.235	150.845	89.02%	82.85%
Q3 2028	181.029	20.941	160.088	11.290	148.798	88.43%	82.20%
Q4 2028	180.061	21.896	158.164	11.353	146.811	87.84%	81.53%
Q1 2029	175.973	22.843	153.129	11.252	141.878	87.02%	80.62%
Q2 2029	173.579	23.799	149.780	11.246	138.534	86.29%	79.81%
Q3 2029	171.254	24.859	146.395	11.246	135.149	85.48%	78.92%
Q4 2029	168.997	25.923	143.074	11.254	131.820	84.66%	78.00%
Q1 2030	164.273	26.978	137.295	11.133	126.161	83.58%	76.80%
Q2 2030	160.906	28.043	132.863	11.091	121.772	82.57%	75.68%
Q3 2030	157.630	29.111	128.520	11.059	117.461	81.53%	74.52%
Q4 2030	154.443	30.181	124.262	11.037	113.225	80.46%	73.31%

Physical, price, cost and capacity drivers

Shipment bits, selling prices and cash unit costs enter independently. The complete tables below show quarterly changes and cumulative indices from the Q3 2026 anchor; combined Q4 DRAM guidance constrains the first physical growth step, while product allocation and subsequent paths remain analyst estimates.

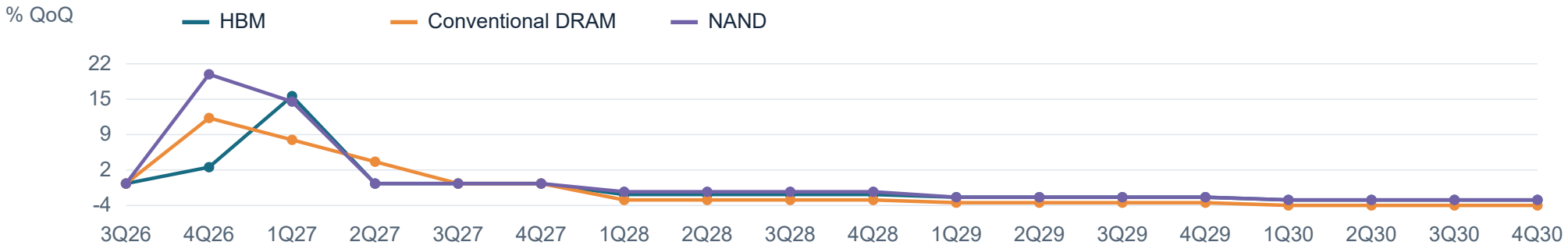


Quarterly bit growth; Q3 is zero by calibration. Company guidance and model assumptions are distinguished in the text.

Quarterly shipment-bit change - complete values

Quarter	HBM	Conventional DRAM	NAND
Q3 2026	0.000	0.000	0.000
Q4 2026	40.000	24.318	5.000
Q1 2027	8.000	2.000	4.200
Q2 2027	6.000	2.000	4.200
Q3 2027	5.000	1.500	4.200
Q4 2027	5.000	1.500	4.200
Q1 2028	4.000	1.000	3.500
Q2 2028	4.000	1.000	3.500
Q3 2028	4.000	1.000	3.500
Q4 2028	4.000	1.000	3.500
Q1 2029	3.000	1.000	3.000
Q2 2029	3.000	1.000	3.000
Q3 2029	3.000	1.000	3.000
Q4 2029	3.000	1.000	3.000
Q1 2030	2.000	1.000	2.500
Q2 2030	2.000	1.000	2.500
Q3 2030	2.000	1.000	2.500
Q4 2030	2.000	1.000	2.500

Quarterly ASP change

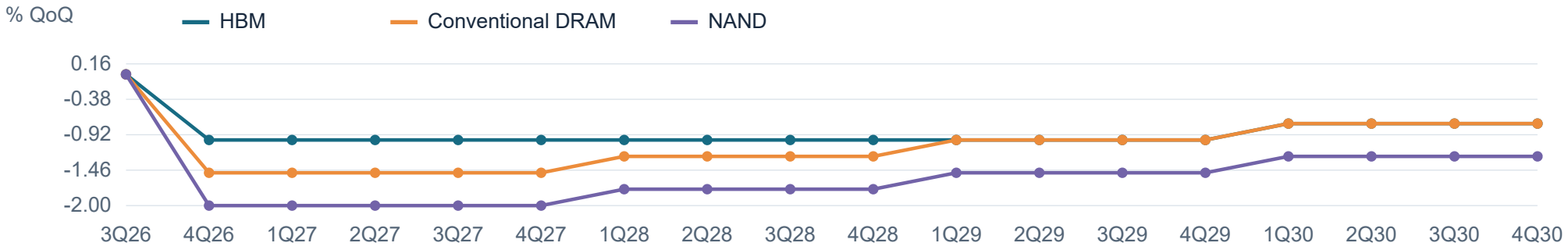


Percent change versus prior quarter. Company guidance, owner controls and analyst judgments are distinguished in the narrative; the Q3 anchor changes are zero by calibration.

Quarterly ASP change - complete values

Quarter	HBM	Conventional DRAM	NAND
Q3 2026	0.000	0.000	0.000
Q4 2026	3.000	12.000	20.000
Q1 2027	16.000	8.000	15.000
Q2 2027	0.000	4.000	0.000
Q3 2027	0.000	0.000	0.000
Q4 2027	0.000	0.000	0.000
Q1 2028	-2.000	-3.000	-1.500
Q2 2028	-2.000	-3.000	-1.500
Q3 2028	-2.000	-3.000	-1.500
Q4 2028	-2.000	-3.000	-1.500
Q1 2029	-2.500	-3.500	-2.500
Q2 2029	-2.500	-3.500	-2.500
Q3 2029	-2.500	-3.500	-2.500
Q4 2029	-2.500	-3.500	-2.500
Q1 2030	-3.000	-4.000	-3.000
Q2 2030	-3.000	-4.000	-3.000
Q3 2030	-3.000	-4.000	-3.000
Q4 2030	-3.000	-4.000	-3.000

Quarterly cash-unit-cost change

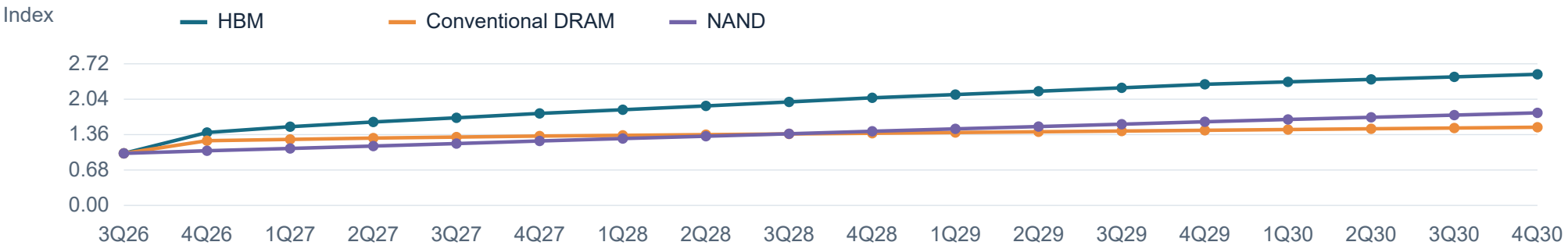


Percent change versus prior quarter. Company guidance, owner controls and analyst judgments are distinguished in the narrative; the Q3 anchor changes are zero by calibration.

Quarterly cash-unit-cost change - complete values

Quarter	HBM	Conventional DRAM	NAND
Q3 2026	0.000	0.000	0.000
Q4 2026	-1.000	-1.500	-2.000
Q1 2027	-1.000	-1.500	-2.000
Q2 2027	-1.000	-1.500	-2.000
Q3 2027	-1.000	-1.500	-2.000
Q4 2027	-1.000	-1.500	-2.000
Q1 2028	-1.000	-1.250	-1.750
Q2 2028	-1.000	-1.250	-1.750
Q3 2028	-1.000	-1.250	-1.750
Q4 2028	-1.000	-1.250	-1.750
Q1 2029	-1.000	-1.000	-1.500
Q2 2029	-1.000	-1.000	-1.500
Q3 2029	-1.000	-1.000	-1.500
Q4 2029	-1.000	-1.000	-1.500
Q1 2030	-0.750	-0.750	-1.250
Q2 2030	-0.750	-0.750	-1.250
Q3 2030	-0.750	-0.750	-1.250
Q4 2030	-0.750	-0.750	-1.250

Shipment-bit indices

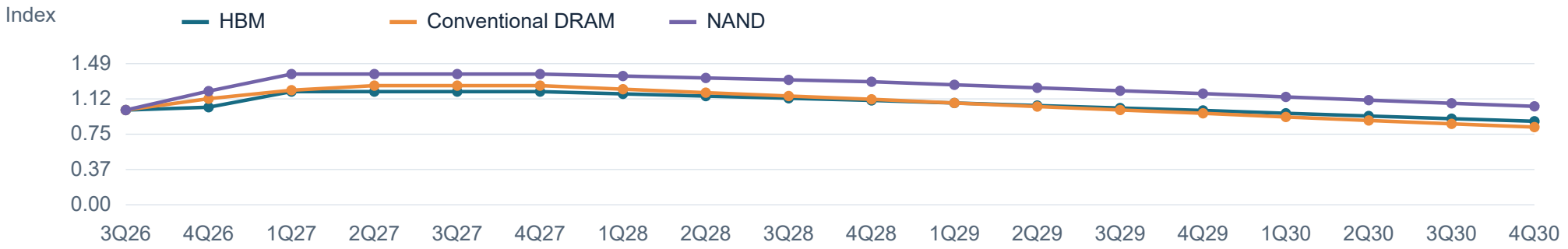


Q3 2026 indexed to 1.000. Base indices are distinct from overlap-adjusted 8-high/storage and LTA level overlays.

Shipment-bit indices - complete values

Quarter	HBM	Conventional DRAM	NAND
Q3 2026	1.000	1.000	1.000
Q4 2026	1.400	1.243	1.050
Q1 2027	1.512	1.268	1.094
Q2 2027	1.603	1.293	1.140
Q3 2027	1.683	1.313	1.188
Q4 2027	1.767	1.332	1.238
Q1 2028	1.838	1.346	1.284
Q2 2028	1.911	1.359	1.329
Q3 2028	1.988	1.373	1.376
Q4 2028	2.067	1.387	1.424
Q1 2029	2.129	1.400	1.470
Q2 2029	2.193	1.414	1.514
Q3 2029	2.259	1.429	1.560
Q4 2029	2.327	1.443	1.607
Q1 2030	2.373	1.457	1.651
Q2 2030	2.421	1.472	1.692
Q3 2030	2.469	1.487	1.735
Q4 2030	2.518	1.501	1.778

ASP indices

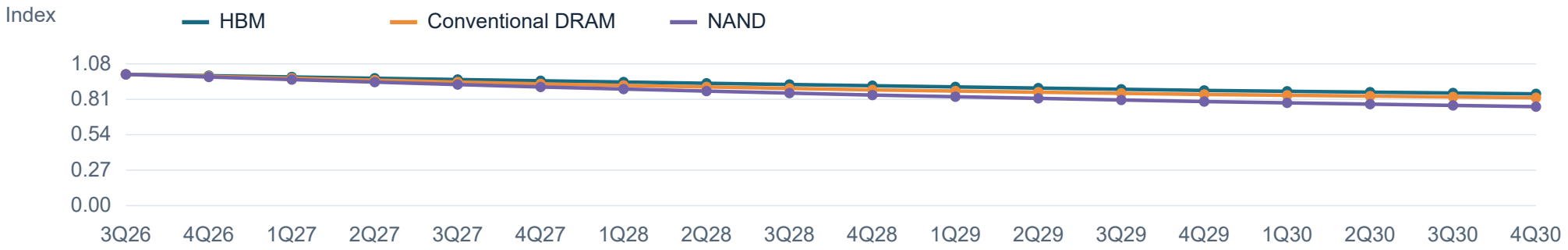


Q3 2026 indexed to 1.000. Base indices are distinct from overlap-adjusted 8-high/storage and LTA level overlays.

ASP indices - complete values

Quarter	HBM	Conventional DRAM	NAND
Q3 2026	1.000	1.000	1.000
Q4 2026	1.030	1.120	1.200
Q1 2027	1.195	1.210	1.380
Q2 2027	1.195	1.258	1.380
Q3 2027	1.195	1.258	1.380
Q4 2027	1.195	1.258	1.380
Q1 2028	1.171	1.220	1.359
Q2 2028	1.147	1.184	1.339
Q3 2028	1.125	1.148	1.319
Q4 2028	1.102	1.114	1.299
Q1 2029	1.074	1.075	1.267
Q2 2029	1.048	1.037	1.235
Q3 2029	1.021	1.001	1.204
Q4 2029	0.996	0.966	1.174
Q1 2030	0.966	0.927	1.139
Q2 2030	0.937	0.890	1.105
Q3 2030	0.909	0.854	1.071
Q4 2030	0.882	0.820	1.039

Cash-unit-cost indices



Q3 2026 indexed to 1.000. Base indices are distinct from overlap-adjusted 8-high/storage and LTA level overlays.

Cash-unit-cost indices - complete values

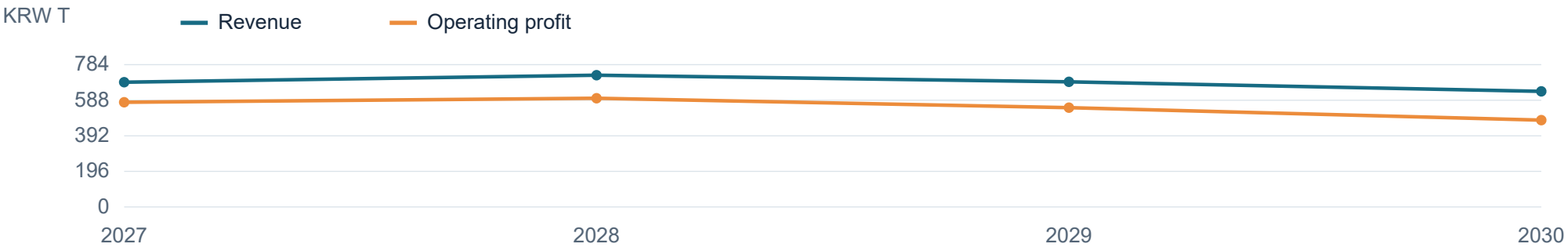
Quarter	HBM	Conventional DRAM	NAND
Q3 2026	1.000	1.000	1.000
Q4 2026	0.990	0.985	0.980
Q1 2027	0.980	0.970	0.960
Q2 2027	0.970	0.956	0.941
Q3 2027	0.961	0.941	0.922
Q4 2027	0.951	0.927	0.904
Q1 2028	0.941	0.916	0.888
Q2 2028	0.932	0.904	0.873
Q3 2028	0.923	0.893	0.857
Q4 2028	0.914	0.882	0.842
Q1 2029	0.904	0.873	0.830
Q2 2029	0.895	0.864	0.817
Q3 2029	0.886	0.856	0.805
Q4 2029	0.878	0.847	0.793
Q1 2030	0.871	0.841	0.783
Q2 2030	0.864	0.834	0.773
Q3 2030	0.858	0.828	0.764
Q4 2030	0.851	0.822	0.754

Capacity, capex and D&A - KRW T

Quarter	Capex	New-fab cash cost	D&A	LTA price level	8-high price level	8-high cash-cost level	Extra NAND bit level
Q3 2026	12.6700	0.0000	4.3350	1.0000	1.0000	1.0000	1.0000
Q4 2026	16.0000	0.2000	4.1182	1.0000	1.0000	1.0000	1.0000
Q1 2027	16.0000	0.3000	3.9015	1.0000	1.0180	1.0120	1.0000
Q2 2027	17.0000	0.4000	4.3347	1.0000	1.0180	1.0120	1.0000
Q3 2027	18.0000	0.5000	4.7680	1.0000	1.0180	1.0120	1.0000
Q4 2027	19.0000	0.6000	5.2419	1.0000	1.0180	1.0120	1.0000
Q1 2028	22.5000	0.7000	5.7564	1.0320	1.0180	1.0120	1.0025
Q2 2028	22.5000	0.8000	6.3115	1.0320	1.0180	1.0120	1.0025
Q3 2028	22.5000	0.9000	7.0088	1.0320	1.0180	1.0120	1.0025
Q4 2028	22.5000	1.0000	7.7061	1.0320	1.0180	1.0120	1.0025
Q1 2029	25.0000	1.1000	8.4034	1.0200	1.0090	1.0060	1.0050
Q2 2029	25.0000	1.2000	9.1007	1.0200	1.0090	1.0060	1.0050
Q3 2029	25.0000	1.3000	9.8996	1.0200	1.0090	1.0060	1.0050
Q4 2029	25.0000	1.4000	10.6985	1.0200	1.0090	1.0060	1.0050
Q1 2030	25.0000	1.5000	11.4974	1.0100	1.0000	1.0000	1.0075
Q2 2030	25.0000	1.6000	12.2963	1.0100	1.0000	1.0000	1.0075
Q3 2030	25.0000	1.7000	13.0951	1.0100	1.0000	1.0000	1.0075
Q4 2030	25.0000	1.8000	13.8940	1.0100	1.0000	1.0000	1.0075

D&A is not an avoidable cash cost. At the anchor, the model allocates D&A using manufacturing COGS weights 11.3313% HBM/60.2292% conventional DRAM/28.4394% NAND/Other 0. New capex commissioning lag, equipment/facility lives and cash unit-cost improvement are analyst assumptions.

Annual outlook and the forward-four-quarter valuation



Calendar-year modeled totals; the stronger 2027-28 cycle is followed by explicit pricing/cost normalization. These are not company guidance.

Annual revenue and operating profit - complete values

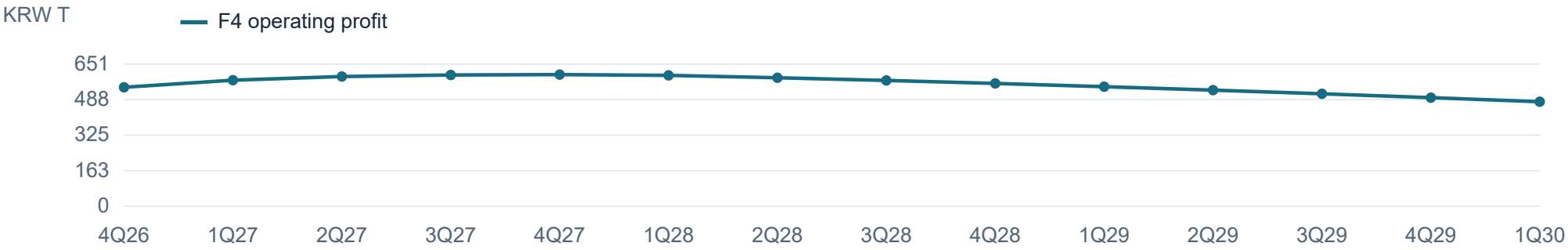
Period	Revenue	Operating profit
2027	687.712	577.181
2028	726.342	599.271
2029	689.802	547.381
2030	637.253	478.619

Annual operating and funding totals - KRW T

Year	Revenue	GP	Opex	OP	Capex	CFO	Capital cash out
2027	687.712	618.447	41.266	577.181	70.000	445.550	171.498
2028	726.342	644.333	45.062	599.271	90.000	476.168	194.523
2029	689.802	592.378	44.997	547.381	100.000	450.297	181.282
2030	637.253	522.939	44.320	478.619	100.000	411.930	162.149

The price ceiling uses each displayed quarter and the following three quarters. Four-quarter OP is multiplied by the sanctioned quarterly multiple and divided by that valuation quarter's distributed-share proxy. No cash balance is added. The Q3 2026 reconstruction is an input bridge, separate from immutable historical Excel displays; it is excluded from this current/future ceiling schedule.

Forward-four-quarter operating profit



Fourteen complete windows, Q4 2026 through Q1 2030. The last three modeled quarters lack a complete four-quarter window and have no invented ceiling.

Forward-four-quarter operating profit - complete values

Quarter	F4 operating profit
Q4 2026	544.693
Q1 2027	577.181
Q2 2027	593.935
Q3 2027	600.982
Q4 2027	602.769
Q1 2028	599.271
Q2 2028	588.333
Q3 2028	576.021
Q4 2028	562.372
Q1 2029	547.381
Q2 2029	531.664
Q3 2029	514.903
Q4 2029	497.214
Q1 2030	478.619

Exact four-quarter OP chain - KRW T

Start	End	OP quarter 1	OP quarter 2	OP quarter 3	OP quarter 4	F4 OP
Q4 2026	Q3 2027	117.822	136.062	143.798	147.011	544.693
Q1 2027	Q4 2027	136.062	143.798	147.011	150.309	577.181
Q2 2027	Q1 2028	143.798	147.011	150.309	152.816	593.935
Q3 2027	Q2 2028	147.011	150.309	152.816	150.845	600.982
Q4 2027	Q3 2028	150.309	152.816	150.845	148.798	602.769
Q1 2028	Q4 2028	152.816	150.845	148.798	146.811	599.271
Q2 2028	Q1 2029	150.845	148.798	146.811	141.878	588.333
Q3 2028	Q2 2029	148.798	146.811	141.878	138.534	576.021
Q4 2028	Q3 2029	146.811	141.878	138.534	135.149	562.372
Q1 2029	Q4 2029	141.878	138.534	135.149	131.820	547.381
Q2 2029	Q1 2030	138.534	135.149	131.820	126.161	531.664
Q3 2029	Q2 2030	135.149	131.820	126.161	121.772	514.903
Q4 2029	Q3 2030	131.820	126.161	121.772	117.461	497.214
Q1 2030	Q4 2030	126.161	121.772	117.461	113.225	478.619

Complete price-ceiling chain

Quarter	Shares M	Common multiple	Common KRW	ADS multiple	ADS USD
Q4 2026	707.036	3.000	2,311,167.734	4.500	232.755
Q1 2027	700.325	3.375	2,781,545.545	5.250	290.502
Q2 2027	689.053	3.750	3,232,343.166	6.000	347.228
Q3 2027	676.462	4.125	3,664,731.198	6.750	402.623
Q4 2027	664.120	4.500	4,084,291.327	6.750	411.325
Q1 2028	652.594	4.500	4,132,308.513	6.750	416.161
Q2 2028	641.906	4.500	4,124,431.115	6.750	415.367
Q3 2028	632.287	4.500	4,099,552.948	6.750	412.862
Q4 2028	623.562	4.500	4,058,413.028	6.750	408.719
Q1 2029	615.700	4.500	4,000,673.507	6.750	402.904
Q2 2029	608.612	4.500	3,931,060.732	6.750	395.893
Q3 2029	602.508	4.500	3,845,695.679	6.750	387.296
Q4 2029	597.086	4.500	3,747,309.716	6.750	377.388
Q1 2030	592.254	4.500	3,636,590.166	6.750	366.237

Common price = F4 OP in KRW T x multiple / shares in millions x 1,000,000. ADS price = F4 OP x ADS multiple / shares M x 1,000,000 x 0.1 / 1,489.44. Fixed model FX is not a prediction of the future exchange rate.

Active horizon exact derivation

Measure	Value	Unit / definition
Horizon	Q4 2027	OP window Q4 2027-Q3 2028
F4 OP	602.768963	KRW T
Distributed-share proxy	664.120190	million common
Common multiple	4.500000	x F4 OP
Common ceiling	4,084,291.327160	KRW/common
ADS multiple	6.750000	x F4 OP
ADS ceiling	411.324860	USD/ADS
Common-equivalent ADS ceiling	274.216573	USD/ADS at 4.5x
ADS multiple premium	0.500000	fraction; deliberate owner model convention
Common shares represented per ADS	0.100000	same proportionate issuer cash rights
Fixed model FX	1,489.440000	KRW/USD

The active ADS multiple is 6.75x and the common multiple is 4.5x. The owner convention retains a 50% ADS multiple premium. One ADS represents 0.1 common share. At the common multiple, the economically equivalent ADS diagnostic is USD 274.216573. Liquidity, currency conversion, depositary terms and market pricing affect realization.

Capital allocation, dividends and the two listings

The company discontinued its review of a Solidigm IPO after considering financial-market conditions and the expected outcome. The forecast includes zero IPO cash proceeds. Solidigm remains within the operating NAND exposure. The decision also makes the balance between internal investment, liquidity and shareholder distributions central to the cash analysis. [S01]

For FY2026, management plans approximately KRW 100 T of shareholder returns, including cash dividends of at least KRW 30 T and share acquisition/cancellation of at least KRW 60 T. The announced plans use approximate totals and minimum component amounts. Its stated principles link dividends to operating performance, investment gains to additional special dividends, and repurchases to quarterly board decisions. [S01, S02]

The declared Q3 dividend is KRW 20,000 per common share: KRW 10,000 earnings-based and KRW 10,000 Kioxia special. The Korean record date is November 30, 2026; payment is within one month, expected in December 2026, with no exact day announced. A new common-share buyer can qualify through settled ownership at the future cutoff; ownership during Q3 is not required. The declaration does not establish a perpetual KRW 20,000 quarterly payment. [S19, S02]

The new acquisition decision estimates 14.92 M common shares for KRW 20.00772 T, to be purchased from October 29, 2026 through January 28, 2027. Its quantity uses the October 27 close of KRW 1,341,000 and can change with execution prices. Approximately KRW 10 T is for shareholder value and approximately KRW 10 T for

employee stock compensation; compensation allocation can change. Estimated purchases, acquired treasury shares and completed cancellation are different stages. [S20]

From Q4 2026, I model 50% of positive FCF going to shareholders. Dividends receive 41% of the pool, or 20.5% of positive FCF. Buybacks receive 59%, or 29.5% of positive FCF. Employee compensation remains separate. The current declared KRW 20,000 counts once if eligible. Future unannounced Kioxia specials are zero.

Future programme cash is assigned 70% to the following quarter and 30% to the second quarter. Expected legal retirement occurs in the second quarter at 90% completion. Each spending quarter uses an independent execution-price reference starting from KRW 1,341,000 and rising 10% quarterly. This matches the comparable companies' future purchase convention. The current announced programme retains its source reference price. Actual execution, cash timing and retirement depend on future board decisions and market conditions.

The company discusses sharing Kioxia gains through Q3 and FY2026 year-end specials. The current declaration is included once. Tom selected zero additional unannounced future specials. The current KRW 14.10346648 T aggregate consists of KRW 7.05173324 T ordinary dividends and the same special amount at 705.173324 million decision-date eligible shares. The actual aggregate can change by the record date. [S02, S19]

The FY2025-27 issuer policy references fixed annual DPS of KRW 1,500 and additional returns exceeding 50% of three-year cumulative FCF after financial goals. The quarterly 50% positive-FCF budget and 41%/59% allocation are owner forecast assumptions. Cash payment dates, execution prices and legal retirement remain modeled. [S02]

Both listings represent the same operating business. One SKHY ADS represents 0.1 common share. The sanctioned price ceilings use separate common and ADS forward-operating-profit multiple schedules and fixed model FX. Dividend forecasts appear in a separate income schedule. Share cancellation affects the distributed-share denominator used in the price-ceiling calculation.

The captured Citi page lists the prior ADS distribution but no current Q3 ADS notice. New ADS record, ex-dividend and payment dates, conversion FX, fees and withholding remain unverified. The declared common dividend represents an unconverted gross KRW 2,000 per ADS. Actual USD receipts depend on conversion, fees, tax and eligibility. Actual personal entitlement has not been established by portfolio status alone. [S21]

The forward cash bridge uses modeled taxes, working capital, capex and payment timing to estimate funding. Earning-cohort return budgets and quarterly cash payments differ because of lags and existing commitments. Price targets incorporate operating earnings and retired shares. Dividend income is shown separately.

The common 50% positive-FCF payout and 41%/59% allocation provide an interim basis for comparing the memory group. The forecast will be reviewed as companies announce official programs and publish new results. Earlier published forecasts retain their information vintages.

Share-price ceiling and prospective gross cash income

At Q4 2027, the forecast values operating profit from Q4 2027 through Q3 2028. I model forward-four-quarter OP of KRW 602.768963 T and 664.120190 million economic shares. Applying 4.5x for the common shares gives KRW 4,084,291.33. The ADS uses 6.75x, 0.1 common share per ADS and fixed KRW 1,489.44/USD, giving USD 411.324860. These assumptions combine the October 28 multiple reduction and the selected FCF payout rule.

Projected cumulative eligible gross dividends through Q4 2027 are KRW 125,144.947325 per common share and USD 8.402148 per ADS at model FX. This includes the current declared dividend once under the assumed eligibility. The income schedule shows gross cash before taxes, depositary fees and actual currency conversion.

The Korean current record date and current ADS distribution terms must be verified for each holding. Future dividend payment quarters are proxies. An accrued entitlement and its later cash payment cannot both be counted, and buyback cash is not a second personal distribution when the share denominator already reflects retirement. The prospective display adds no additional operating gains or cash balance to the sanctioned price ceiling. [S19, S21]

The selected ADS multiple is 6.75x and the common multiple is 4.5x at Q4 2027. The owner ADS convention retains a 50% multiple premium. The common-equivalent ADS diagnostic is USD 274.216573; the ADS price ceiling is USD 411.324860. Both wrappers share the same issuer operating profit and share build. The ADS represents 0.1 common share. Cash rights remain proportionate, subject to depositary conversion, fees, withholding and eligibility.

Capital allocation, cash funding and per-share income

Source declarations and owner scenarios are separate. The current ordinary dividend is KRW 10,000 and the known special is KRW 10,000, total KRW 20,000 once if eligible. The source common record date is November 30, 2026; payment is within one month, expected December, with the exact day unannounced. An actual holding and settlement record is needed to establish entitlement. The new ADS distribution dates, conversion, fees and withholding are not confirmed; net ADS receipts remain unknown. [S02]

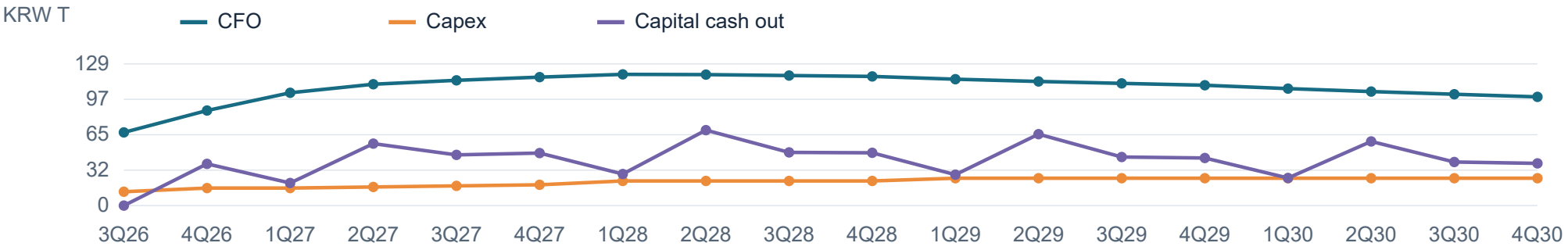
Source capital facts and distinct share measures

Measure	Value	Unit / status
Issued common shares	730.492365	million; source register
Treasury shares at October 26	25.319041	million; do not treat all as cancelled
Declared eligible shares	705.173324	million; decision-date aggregate basis
Declared ordinary pool	7.051733	KRW T =10,000 x 705.173324 M /1,000,000
Declared ordinary plus special pool	14.103466	KRW T; may change by record date
Prior acquired shares to cancel	23.693272	million; scheduled November 5, 2026
Prior acquisition cost	40.004339	KRW T; already purchased, remaining settlement separately modeled
New estimated acquisition	14.920000	million common; not actual executed shares
New estimated cash budget	20.007720	KRW T =14.92 M x 1,341,000 /1,000,000
New reference acquisition price	1,341,000.000000	KRW; October 27 source reference; future execution varies
New acquisition window	October 29, 2026-January 28, 2027	announced acquisition period
Shareholder cancellation leg	10.000000	KRW T approximately; only this leg gets retirement credit
Compensation leg	10.007720	KRW T modeled residual; cash outflow, no cancellation credit

Owner scenario capital laws

Step	Definition / derivation
Recurring ordinary ratio	50% x 41% x positive earning-quarter FCF =20.5% of positive FCF. The owner selected this recurring forecast rule from Q4 2026.
Recurring shareholder-repurchase ratio	50% x 59% x positive earning-quarter FCF =29.5% of positive FCF. Current commitments remain separate. Employee compensation receives no retirement credit.
Future ordinary payment	Q4 earning-quarter pool pays after two quarters; other quarter pools after one. Future DPS =cash pool paid / modeled payment-quarter distributed shares M x 1,000,000. Actual record-date eligibility remains unknown.
New programme cash	Current estimated 20.00772 T splits 70% Q4 2026/30% Q1 2027 as a timing proxy. Only 10 T is the current cancellation budget; compensation is a separate cash component.
Future programme cash and retirement	Each earnings-quarter future budget pays 70% next quarter/30% the following quarter. Expected retirement occurs two quarters after earnings and equals 90% x budget / execution price x 1,000,000 in millions. Cash budget is spent in full even when expected cancellation is below 100%.
Execution-price proxy	Current programme reference 1,341,000 KRW. Future spending-quarter references grow 10% quarterly. Effective cohort price=earning-quarter reference divided by[70%/1.10+30%/1.10^2]. Actual purchase prices determine acquired shares.
Distributed-share denominator	730.492365 M minus 99% x 23.693272 M prior scheduled cancellation from Q4 2026, minus 90% x(10 T /1,341,000 x 1,000,000) current new cancellation from Q1 2027, minus completed expected future programme retirements. Treasury is not subtracted twice.
Dividend nonduplication	Declared current 20,000 DPS counts once if eligible. All future unannounced Kioxia special DPS=0. The ordinary Q3 source pool is not paid again on top of the declared 20,000.
Cash waterfall	Capital cash outflow=ordinary cash paid +current declared dividend cash +prior programme settlement +new cancellation cash +recurring repurchase cash +compensation cash. Ending expanded-cash proxy=prior cash +FCF -capital cash outflow.
Issuer policy and owner forecast	Issuer policy references cumulative FY2025-27 FCF and financial goals. The owner forecast allocates 50% of each positive-FCF earning cohort, split 41% dividends and 59% shareholder buybacks. Cash payments follow modeled lags.
Separate dividend income	Cumulative eligible gross DPS. ADS income =common gross DPS x 0.1 /1,489.44 at model FX; taxes, depositary fees and actual currency conversion affect settled receipts.

Normalized funding bridge



Modeled cash conversion with explicit tax, capex and working-capital assumptions. Q3 reconstructed normalized CFO is different from reported actual CFO.

Normalized funding bridge - complete values

Quarter	CFO	Capex	Capital cash out
Q3 2026	66.835	12.670	0.000
Q4 2026	86.817	16.000	38.109
Q1 2027	103.020	16.000	20.626
Q2 2027	110.825	17.000	56.594
Q3 2027	114.389	18.000	46.310
Q4 2027	117.316	19.000	47.968
Q1 2028	119.832	22.500	28.833
Q2 2028	119.613	22.500	68.908
Q3 2028	118.763	22.500	48.576
Q4 2028	117.960	22.500	48.207
Q1 2029	115.425	25.000	28.232
Q2 2029	113.360	25.000	65.227
Q3 2029	111.610	25.000	44.363
Q4 2029	109.902	25.000	43.460
Q1 2030	106.827	25.000	25.197
Q2 2030	104.130	25.000	58.591
Q3 2030	101.682	25.000	39.804
Q4 2030	99.291	25.000	38.558

Cash-conversion derivation - KRW T

Quarter	OP	D&A	Cash tax	NWC level	CFO	Capex	FCF
Q3 2026	83.334	4.335	20.833	15.692	66.835	12.670	54.165
Q4 2026	117.822	4.118	29.455	21.359	86.817	16.000	70.817
Q1 2027	136.062	3.901	34.015	24.287	103.020	16.000	87.020
Q2 2027	143.798	4.335	35.950	25.646	110.825	17.000	93.825
Q3 2027	147.011	4.768	36.753	26.283	114.389	18.000	96.389
Q4 2027	150.309	5.242	37.577	26.941	117.316	19.000	98.316
Q1 2028	152.816	5.756	38.204	27.477	119.832	22.500	97.332
Q2 2028	150.845	6.312	37.711	27.310	119.613	22.500	97.113
Q3 2028	148.798	7.009	37.200	27.154	118.763	22.500	96.263
Q4 2028	146.811	7.706	36.703	27.009	117.960	22.500	95.460
Q1 2029	141.878	8.403	35.469	26.396	115.425	25.000	90.425
Q2 2029	138.534	9.101	34.633	26.037	113.360	25.000	88.360
Q3 2029	135.149	9.900	33.787	25.688	111.610	25.000	86.610
Q4 2029	131.820	10.699	32.955	25.350	109.902	25.000	84.902
Q1 2030	126.161	11.497	31.540	24.641	106.827	25.000	81.827
Q2 2030	121.772	12.296	30.443	24.136	104.130	25.000	79.130
Q3 2030	117.461	13.095	29.365	23.645	101.682	25.000	76.682
Q4 2030	113.225	13.894	28.306	23.166	99.291	25.000	74.291

Capital cash allocation - KRW T

Quarter	Ordinary paid	Declared cash	Prior programme	Current cancel	Future repurchase	Compensation	Total out
Q3 2026	0.000	0.000	0.000	0.000	0.000	0.000	0.000
Q4 2026	0.000	14.103	10.000	7.000	0.000	7.005	38.109
Q1 2027	0.000	0.000	0.000	3.000	14.624	3.002	20.626
Q2 2027	32.357	0.000	0.000	0.000	24.237	0.000	56.594
Q3 2027	19.234	0.000	0.000	0.000	27.076	0.000	46.310
Q4 2027	19.760	0.000	0.000	0.000	28.208	0.000	47.968
Q1 2028	0.000	0.000	0.000	0.000	28.833	0.000	28.833
Q2 2028	40.108	0.000	0.000	0.000	28.800	0.000	68.908
Q3 2028	19.908	0.000	0.000	0.000	28.668	0.000	48.576
Q4 2028	19.734	0.000	0.000	0.000	28.473	0.000	48.207

Quarter	Ordinary paid	Declared cash	Prior programme	Current cancel	Future repurchase	Compensation	Total out
Q1 2029	0.000	0.000	0.000	0.000	28.232	0.000	28.232
Q2 2029	38.106	0.000	0.000	0.000	27.121	0.000	65.227
Q3 2029	18.114	0.000	0.000	0.000	26.249	0.000	44.363
Q4 2029	17.755	0.000	0.000	0.000	25.705	0.000	43.460
Q1 2030	0.000	0.000	0.000	0.000	25.197	0.000	25.197
Q2 2030	34.180	0.000	0.000	0.000	24.411	0.000	58.591
Q3 2030	16.222	0.000	0.000	0.000	23.582	0.000	39.804
Q4 2030	15.720	0.000	0.000	0.000	22.838	0.000	38.558

Funding headroom and comparison - KRW T

Quarter	Expanded cash	Debt held proxy	Net cash proxy	50% FCF earned	Shareholder cash	Earning/cash timing gap
Q3 2026	114.460	15.800	98.660	27.083	0.000	27.083
Q4 2026	147.168	15.800	131.368	35.409	31.103	4.305
Q1 2027	213.562	15.800	197.762	43.510	17.624	25.886
Q2 2027	250.794	15.800	234.994	46.913	56.594	0.000
Q3 2027	300.873	15.800	285.073	48.195	46.310	1.884
Q4 2027	351.221	15.800	335.421	49.158	47.968	1.190
Q1 2028	419.720	15.800	403.920	48.666	28.833	19.833
Q2 2028	447.925	15.800	432.125	48.556	68.908	0.000
Q3 2028	495.613	15.800	479.813	48.132	48.576	0.000
Q4 2028	542.866	15.800	527.066	47.730	48.207	0.000
Q1 2029	605.059	15.800	589.259	45.213	28.232	16.981
Q2 2029	628.192	15.800	612.392	44.180	65.227	0.000
Q3 2029	670.439	15.800	654.639	43.305	44.363	0.000
Q4 2029	711.881	15.800	696.081	42.451	43.460	0.000
Q1 2030	768.511	15.800	752.711	40.914	25.197	15.716
Q2 2030	789.051	15.800	773.251	39.565	58.591	0.000
Q3 2030	825.929	15.800	810.129	38.341	39.804	0.000
Q4 2030	861.662	15.800	845.862	37.145	38.558	0.000

Interest-bearing debt is held at 15.8 T only for this normalized funding diagnostic. Debt maturities, lease refinancing and cash restrictions require further source detail. Expanded cash is not necessarily unrestricted cash equivalents, and no headroom is added to the price ceiling.

Future programme earning-quarter derivation

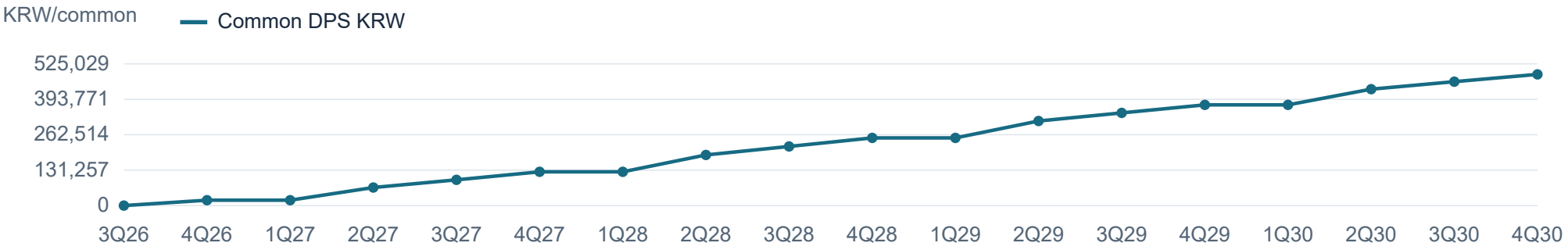
Earnings quarter	Budget T	Execution KRW	Conditional shares M	Expected shares M	First cash quarter	Final cash / retirement
Q3 2026	0.000	1,341,000.000	0.000	0.000	Q4 2026	Q1 2027
Q4 2026	20.891	1,668,103.738	12.524	11.271	Q1 2027	Q2 2027
Q1 2027	25.671	1,834,914.112	13.990	12.591	Q2 2027	Q3 2027
Q2 2027	27.678	2,018,405.523	13.713	12.342	Q3 2027	Q4 2027
Q3 2027	28.435	2,220,246.076	12.807	11.526	Q4 2027	Q1 2028
Q4 2027	29.003	2,442,270.683	11.875	10.688	Q1 2028	Q2 2028
Q1 2028	28.713	2,686,497.752	10.688	9.619	Q2 2028	Q3 2028
Q2 2028	28.648	2,955,147.527	9.694	8.725	Q3 2028	Q4 2028
Q3 2028	28.398	3,250,662.279	8.736	7.862	Q4 2028	Q1 2029
Q4 2028	28.161	3,575,728.507	7.875	7.088	Q1 2029	Q2 2029
Q1 2029	26.675	3,933,301.358	6.782	6.104	Q2 2029	Q3 2029
Q2 2029	26.066	4,326,631.494	6.025	5.422	Q3 2029	Q4 2029
Q3 2029	25.550	4,759,294.643	5.368	4.832	Q4 2029	Q1 2030
Q4 2029	25.046	5,235,224.108	4.784	4.306	Q1 2030	Q2 2030
Q1 2030	24.139	5,758,746.518	4.192	3.773	Q2 2030	Q3 2030
Q2 2030	23.343	6,334,621.170	3.685	3.317	Q3 2030	Q4 2030
Q3 2030	22.621	6,968,083.287	3.246	2.922	Q4 2030	Beyond modeled quarters
Q4 2030	21.916	7,664,891.616	2.859	2.573	Beyond modeled quarters	Beyond modeled quarters

Distributed-share bridge - million common

Quarter	Starting issued	Prior expected retired	Current new retired	Recurring retired	Valuation shares
Q3 2026	730.492365	0.000000	0.000000	0.000000	730.492365
Q4 2026	730.492365	23.456339	0.000000	0.000000	707.036026
Q1 2027	730.492365	23.456339	6.711409	0.000000	700.324616
Q2 2027	730.492365	23.456339	6.711409	11.271480	689.053136
Q3 2027	730.492365	23.456339	6.711409	23.862694	676.461922
Q4 2027	730.492365	23.456339	6.711409	36.204426	664.120190
Q1 2028	730.492365	23.456339	6.711409	47.730770	652.593846
Q2 2028	730.492365	23.456339	6.711409	58.418692	641.905924

Quarter	Starting issued	Prior expected retired	Current new retired	Recurring retired	Valuation shares
Q3 2028	730.492365	23.456339	6.711409	68.037791	632.286825
Q4 2028	730.492365	23.456339	6.711409	76.762696	623.561921
Q1 2029	730.492365	23.456339	6.711409	84.625075	615.699542
Q2 2029	730.492365	23.456339	6.711409	91.713024	608.611592
Q3 2029	730.492365	23.456339	6.711409	97.816762	602.507854
Q4 2029	730.492365	23.456339	6.711409	103.238899	597.085717
Q1 2030	730.492365	23.456339	6.711409	108.070486	592.254130
Q2 2030	730.492365	23.456339	6.711409	112.376238	587.948378
Q3 2030	730.492365	23.456339	6.711409	116.148773	584.175843
Q4 2030	730.492365	23.456339	6.711409	119.465322	580.859295

Cumulative gross dividend income



Includes the current 20,000 KRW once only if eligible. Future unannounced special dividends are zero. Values are gross, before tax, depositary fees and actual currency conversion.

Cumulative gross dividend income - complete values

Quarter	Common DPS KRW
Q3 2026	0.000
Q4 2026	20,000.000
Q1 2027	20,000.000
Q2 2027	66,958.119
Q3 2027	95,391.632
Q4 2027	125,144.947
Q1 2028	125,144.947
Q2 2028	187,627.303
Q3 2028	219,113.127
Q4 2028	250,760.347
Q1 2029	250,760.347
Q2 2029	313,372.351
Q3 2029	343,436.369
Q4 2029	373,172.540
Q1 2030	373,172.540
Q2 2030	431,306.085
Q3 2030	459,074.605
Q4 2030	486,137.631

Dividend pools and payment-quarter DPS

Quarter	Ordinary earned T	Ordinary paid T	Ordinary DPS KRW	Declared DPS KRW	Future special KRW	Period DPS KRW	Cumulative KRW
Q3 2026	7.052	0.000	0.000	0.000	0.000	0.000	0.000
Q4 2026	14.518	0.000	0.000	20,000.000	0.000	20,000.000	20,000.000
Q1 2027	17.839	0.000	0.000	0.000	0.000	0.000	20,000.000
Q2 2027	19.234	32.357	46,958.119	0.000	0.000	46,958.119	66,958.119
Q3 2027	19.760	19.234	28,433.513	0.000	0.000	28,433.513	95,391.632
Q4 2027	20.155	19.760	29,753.315	0.000	0.000	29,753.315	125,144.947
Q1 2028	19.953	0.000	0.000	0.000	0.000	0.000	125,144.947
Q2 2028	19.908	40.108	62,482.356	0.000	0.000	62,482.356	187,627.303
Q3 2028	19.734	19.908	31,485.824	0.000	0.000	31,485.824	219,113.127
Q4 2028	19.569	19.734	31,647.220	0.000	0.000	31,647.220	250,760.347
Q1 2029	18.537	0.000	0.000	0.000	0.000	0.000	250,760.347
Q2 2029	18.114	38.106	62,612.004	0.000	0.000	62,612.004	313,372.351
Q3 2029	17.755	18.114	30,064.018	0.000	0.000	30,064.018	343,436.369
Q4 2029	17.405	17.755	29,736.171	0.000	0.000	29,736.171	373,172.540
Q1 2030	16.775	0.000	0.000	0.000	0.000	0.000	373,172.540
Q2 2030	16.222	34.180	58,133.545	0.000	0.000	58,133.545	431,306.085
Q3 2030	15.720	16.222	27,768.520	0.000	0.000	27,768.520	459,074.605
Q4 2030	15.230	15.720	27,063.025	0.000	0.000	27,063.025	486,137.631

Price ceilings and separate dividend income

Quarter	Common price ceiling KRW	Cumulative gross DPS KRW	ADS price ceiling USD	Cumulative gross dividends USD/ADS
Q4 2026	2,311,167.734	20,000.000	232.755	1.343
Q1 2027	2,781,545.545	20,000.000	290.502	1.343
Q2 2027	3,232,343.166	66,958.119	347.228	4.496
Q3 2027	3,664,731.198	95,391.632	402.623	6.405
Q4 2027	4,084,291.327	125,144.947	411.325	8.402
Q1 2028	4,132,308.513	125,144.947	416.161	8.402
Q2 2028	4,124,431.115	187,627.303	415.367	12.597
Q3 2028	4,099,552.948	219,113.127	412.862	14.711
Q4 2028	4,058,413.028	250,760.347	408.719	16.836

Quarter	Common price ceiling KRW	Cumulative gross DPS KRW	ADS price ceiling USD	Cumulative gross dividends USD/ADS
Q1 2029	4,000,673.507	250,760.347	402.904	16.836
Q2 2029	3,931,060.732	313,372.351	395.893	21.040
Q3 2029	3,845,695.679	343,436.369	387.296	23.058
Q4 2029	3,747,309.716	373,172.540	377.388	25.055
Q1 2030	3,636,590.166	373,172.540	366.237	25.055

Funding stress - additional hypothetical reserve

Diagnostic	KRW T
Additional reserve	100.000
Minimum remaining expanded-cash proxy	47.168
Minimum remaining net-cash proxy	31.368

The reserve test measures funding headroom within the normalized cash model. Actual available cash depends on restrictions and board allocations.

The market opportunity and the required share hurdle

The available annual market estimates are forecasts with materially different vintages. TrendForce's May forecast has 2027 DRAM revenue of USD 903.3 B and NAND of USD 379.4 B, totaling USD 1,282.7 B. Gartner's August forecast has USD 1,075.5 B for broader memory. A newer October TrendForce supplier report exists, but its full numerical tables are not available in the reviewed public summary. The September HBM pricing revision increases the uncertainty around the May denominator. A current market-size estimate requires updated source evidence. [S14, S15, S18]

The selected 2027 company revenue case is KRW 687.71 T, with operating profit of KRW 577.18 T. At the fixed valuation convention of KRW 1,489.44 per USD, revenue translates to USD 461.73 B; this uses the fixed owner valuation FX convention. Combined DRAM revenue is KRW 522.07 T, or USD 350.51 B, and NAND is KRW 161.46 T, or USD 108.40 B. Against the May denominators, these imply about 38.80% of DRAM and 28.57% of NAND.

For context, TrendForce's Q2 actual-quarter estimates put SK hynix at 24.9% of branded DRAM and SK hynix Group, including Solidigm, at 18.2% of NAND. The NAND table's USD 68.8702 B is only the top-five total, representing 87.6% of its wider market; it is not the whole NAND denominator. Annual future shares can differ from a single observed quarter, but a large gain requires an explicit product, price and capacity explanation. [S16, S17]

Holding the Q2 shares constant, the modeled company revenues would require 2027 global DRAM revenue around USD 1,407.7 B and NAND around USD 595.6 B-roughly 55.8% and 57.0% above the May forecasts. The case therefore requires larger sector revenue, meaningful company share gains, or lower company realization. Current public evidence does not identify which combination will occur. Confidence in long-range company capture is LOW; the vintage, share and physical-output counter-tests remain central.

Do not add HBM to DRAM market revenue a second time, sum capital spending with component sales, or count the same KV-cache data separately across memory tiers. Physical AI, sovereign demand and future HBF/CXL products create routes to memory consumption. Each requires a customer, timing, revenue and cost bridge with

overlap adjustments.

Independent market-size plausibility: four denominator cases

HBM is included inside DRAM and Solidigm inside consolidated NAND. They are not extra market pools. Supplier revenue translated at fixed model FX is compared with dated industry denominators only as a plausibility diagnostic. The denominator vintages and scope differ; they do not support a precise current market-share forecast. The model requires a larger sector, substantial share capture, or both. Confidence in this hurdle is LOW.

Four market-denominator cases - USD B

Case	Denominator / required market	Company numerator	Implied share / hurdle	Scope and vintage
1. TrendForce DRAM	903.300	350.513	38.80%	May 2026 forecast for 2027; HBM inside DRAM
2. TrendForce NAND	379.400	108.403	28.57%	May 2026 forecast for 2027; Solidigm included once
3. Gartner all memory	1,075.500	461.725	42.93%	August 2026 forecast for 2027; whole-company numerator includes small other business
4a. Constant Q2 DRAM share	1,407.682	350.513	24.9% held; 55.84% above older DRAM market	Required 2027 sector implied by source Q2 supplier share
4b. Constant Q2 NAND share	595.621	108.403	18.2% held; 56.99% above older NAND market	Required 2027 sector implied by source Q2 supplier share

The sum of the older TrendForce 2027 DRAM and NAND forecasts is USD 1,282.7 B. Whole-company modeled revenue USD 461.725 B is approximately 36.00% of that sum, with small other-business and FX scope caveats. The Q2 top-five NAND total of USD 68.8702 B covers 87.6% of that market. No current October whole-market denominator has been invented.

September industry research projected a 121% year-on-year blended HBM ASP increase for 2027, affected by HBM4 packaging and negotiated pricing. This is neither a 121% per-bit increase for every Hynix product nor company guidance. Lower 8-high stacks were associated with 10-20% higher per-Gb pricing and more base-die/backend work per bit. Those effects are overlap-adjusted in the model; the industry forecast is not applied again. [S12, S13]

A falsification would be a combination of realized ASPs below the selected path, weaker accepted bit shipments, rising cash unit costs, or industry revenue that cannot support the required company share. The latest full-industry revenue denominator, signed contract economics and output accepted by customers matter more than multiplying announced wafer starts by aspirational selling prices.

Risks and falsification

Prices and the cycle

High utilization and scarce supply can coexist with slowing ASP gains, mix dilution or weak consumer demand. LTAs can protect a downturn while limiting upside. Failure signal: realized company prices or product profitability lag the selected curve even as headline industry demand remains strong. [S13]

HBM execution

Yield, stack reliability, base-die supply, packaging/test throughput and customer qualification jointly determine accepted output. Failure signal: the HBM4 crossover slips, rework rises, shipments are delayed, or customer acceptance falls. Strong demonstrations reduce blanket-failure concerns but do not provide measured good-stack cost. [S02, S03, S06, S25]

Competitive supply and market share

Rival qualification and cost improvement can narrow the premium before the overall market peaks. A company case implying about 38.8% of DRAM revenue against an older annual market forecast requires evidence beyond scarcity. Failure signal: accepted capacity grows but company share or realized value per bit fails to support the implied capture. [S16]

Customers and contract enforceability

Fourteen counterparties do not remove common exposure to cloud monetization, financing and infrastructure constraints. Signed terms, minimum purchases, deposits, delivery conditions, cancellation remedies and discussed demand must be distinguished. Failure signal: renegotiations, deferred deliveries, unused capacity commitments or weaker customer funding. [S02, S04, S07]

Capacity, capex and cash

Infrastructure outlays can precede good-unit output by years. Node migration, commissioning and advanced packaging can consume cash before revenue and increase depreciation later. Failure signal: cash payments, capex intensity and working capital exceed the modeled funding bridge without matching qualified output. [S02, S23]

NAND and architecture substitution

Storage demand can rise while customer efficiency, pooling and cache reuse reduce unit content or shift value between memory tiers. New NAND supply and lower-end competition can pressure the price path. Failure signal: platform adoption, realized ASP, endurance or customer TCO fails to support the projected high-value mix. [S08, S17, S26]

Capital-return execution and dilution

Announced acquisition is not completed retirement. Actual prices change the shares purchased; compensation shares can return to circulation. Future quarterly payouts follow the owner assumption. Boards determine actual distributions. Failure signal: a smaller cancellation leg, a longer retirement lag, compensation distribution or cash needs cause the denominator or dividend case to miss. [S19, S20]

Non-operating income and balance-sheet attribution

Investment valuation and realized disposal gains, FX, taxes and other non-operating items can dominate net income without establishing recurring memory operating profit. Failure signal: an investment-related residual is relabeled as product earnings, or a realized gain funds both a dividend and an additional undiscounted cash-value credit. [S01]

Geography, currency and market access

The common share earns and distributes in a different currency from the ADS quotation. Export controls, regional manufacturing exposure, customer concentration and funding conditions can alter the operating path. The model uses fixed valuation FX. Actual currency changes affect investor outcomes. Wrapper fees, conversion restrictions and listing premiums can change shareholder outcomes.

Decision triggers

Monitoring tests

Checkpoint	Supporting evidence	Failure signal
Q4 volume and product mix	DRAM and NAND bits land within guidance; HBM4 exceeds HBM3E in both shipment and revenue share.	Missed accepted output, slower 1c-process/M15X ramp or a crossover explained only by lower HBM3E shipments.
2027 HBM economics	Customer deliveries and price realization demonstrate profitable negotiated terms after backend costs.	Price uplift is absorbed by more cubes per bit, rework, base-die/test constraints or customer concessions.
LTA demand quality	Disclosed signed coverage, deposits and customer performance support actual deliveries.	Discussed 2029 demand is repeatedly presented as fully binding, or price bands restrict upside more than expected.
Company capture versus market	Updated market data and company sales reconcile a defensible DRAM/NAND share path on matched scope and currency.	The case requires ever-rising share without output, product or pricing evidence, or uses top-five NAND sum as the whole market.
NAND realization	Product ASP and accepted bits support the selected Q4 and Q1 price steps; high-value storage earns incremental margin.	Consumer elasticity, contract timing, inventory or added costs prevent transmission to operating profit.
Capital returns	Declared dividend notices, acquired shares and cancellation filings reconcile to cash, eligibility and the share schedule.	Compensation purchases are counted as retirement, an estimate is treated as completed execution, or a special dividend is assumed to recur.
Longer-term architecture	Named customer systems move from samples/PoC s to qualified deployments with measurable net economics.	Demos or internal simulations are repeatedly treated as production orders; pooling changes product mix without a net issuer bridge.

Q4 volume and product mix sources: S02

2027 HBM economics sources: S03, S05, S12

LTA demand quality sources: S02, S04, S13

Company capture versus market sources: S16, S17, S18

NAND realization sources: S13

Capital returns sources: S19, S20, S21

Longer-term architecture sources: S24, S25, S26

Management-call and evidence completeness

The current review includes the official Q3 release and full presentation asset, nine preserved Korean reports of specific management Q&A, and newly available long publisher excerpts. Full Q3 transcript listings now exist, but complete main-text retrieval was unsuccessful; the full official replay audio has not been listened to or transcribed. The exact linked Korean script returned 404. Selected reports and excerpts do not establish full Q3 call coverage, so omitted qualifications and Q&A remain a material source gap. [S01, S02, S03, S04, S05, S06, S07, S08, S09, S10, S28]

The new prepared-remark excerpts report Q3 DRAM bits up approximately 10%, DRAM ASP up high 20%, and NAND bits slightly down with ASP up mid-20%. They describe the investment-asset loss as a valuation loss, without identifying the entire amount as Kioxia. The publisher transcript rounds these statements. Product gross margins remain undisclosed, and the current call review retains its stated completeness gaps. [S28]

The newest prior call, Q2 2026, was read through the publisher’s complete main transcript: management presentation, Q&A and closing, including the bilingual interpretation. The publisher supplied the transcription. Issuer authentication and an independent audio check remain incomplete. Product-name transcription errors are resolved against the official presentation and issuer product announcements. [S11]

Product revenue mix, manufacturing cost allocations, future prices, cash conversion and exact event probabilities remain estimates where the company does not disclose them. Current results are preliminary. Full source assets and precise coverage boundaries support the analysis; they do not turn undisclosed values into reported facts.

Rule 16b: probabilities, conditional outcomes and economic bridges

Each event below is a full one-variable or linked-variable model recalculation against a defined reference. The selected model already contains all selected effects. Incremental bridges are not additive: shared price, opex, tax, cash, buyback and share-denominator interactions make summing them invalid. Probabilities are analytical judgments, except explicit owner scenarios and already disclosed facts. They are not statistical confidence intervals.

2027 HBM repricing realization - definition

Item	Selected definition
Evidence date	2026-10-28 Seoul / source vintages identified individually
Probability / durability	0.8
Conditional outcome	Q1 2027 ASP increase: 0.2
Bounded outcome	[0, 0.3]
Overlap and nonduplication	2027 negotiations are finalized. The probability applies to realization of the analyst price increment. Industry +121% blended HBM ASP forecast is not applied again.

Item	Selected definition
Economic transmission	Price raises HBM revenue and gross profit; revenue-linked opex and GP bonus rise; cash tax and return budgets respond. No extra bit volume.
Reference inputs	HBM 2027 price repricing probability: 0
Conditional inputs	HBM 2027 price repricing probability: 1
Revision / falsification trigger	Realized HBM ASP/mix, annual agreement prices, cost and yield evidence.

Event source: https://news.skhynix.com/en/q3-2026-business-results/

Event source: https://irsvc.teletogether.com/hynix/pdf/hynix2026Q3_eng.pdf?1

Event source: https://www.trendforce.com/presscenter/news/20260929-13255.html

2027 HBM repricing realization - active horizon outcomes

Case	F4 OP T	Shares M	Common KRW	ADS USD	Gross DPS KRW
Reference	591.679	664.540	4,006,615.151	403.502	123,631.077
Conditional	605.541	664.015	4,103,725.719	413.282	125,523.578
Selected	602.769	664.120	4,084,291.327	411.325	125,144.947

2027 HBM repricing realization - annual outcome bridge

Case / year	Revenue T	GP T	Opex T	OP T	CFO T	Capital cash out T
Reference 2027	677.498	608.236	40.709	567.527	438.722	169.211
Reference 2028	714.256	632.247	44.407	587.840	467.649	190.425
Reference 2029	677.493	580.069	44.331	535.738	441.564	176.917
Reference 2030	625.415	511.101	43.679	467.422	403.505	157.866
Conditional 2027	690.266	620.999	41.405	579.594	447.257	172.069
Conditional 2028	729.363	647.354	45.225	602.129	478.298	195.548
Conditional 2029	692.879	595.455	45.164	550.291	452.481	182.373
Conditional 2030	640.212	525.899	44.480	481.418	414.036	163.220
Selected 2027	687.712	618.447	41.266	577.181	445.550	171.498
Selected 2028	726.342	644.333	45.062	599.271	476.168	194.523
Selected 2029	689.802	592.378	44.997	547.381	450.297	181.282
Selected 2030	637.253	522.939	44.320	478.619	411.930	162.149

2027 HBM repricing realization - Selected minus reference operating bridge

Quarter	Revenue delta T	COGS delta T	GP delta T	Opex delta T	OP delta T
Q3 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2027	2.35251	0.00072	2.35179	0.12830	2.22349
Q2 2027	2.49366	0.00076	2.49290	0.13599	2.35691
Q3 2027	2.61834	0.00080	2.61755	0.14279	2.47476
Q4 2027	2.74926	0.00084	2.74842	0.14992	2.59851
Q1 2028	2.93575	0.00000	2.93575	0.15900	2.77674
Q2 2028	2.99212	0.00000	2.99212	0.16206	2.83006
Q3 2028	3.04956	0.00000	3.04956	0.16517	2.88439
Q4 2028	3.10812	0.00000	3.10812	0.16834	2.93977
Q1 2029	3.05776	0.00000	3.05776	0.16561	2.89214
Q2 2029	3.07075	0.00000	3.07075	0.16632	2.90443
Q3 2029	3.08380	0.00000	3.08380	0.16702	2.91678
Q4 2029	3.09691	0.00000	3.09691	0.16773	2.92917
Q1 2030	3.00698	0.00000	3.00698	0.16286	2.84412
Q2 2030	2.97510	0.00000	2.97510	0.16114	2.81397
Q3 2030	2.94357	0.00000	2.94357	0.15943	2.78414
Q4 2030	2.91237	0.00000	2.91237	0.15774	2.75463

2027 HBM repricing realization - Selected minus reference cash and share bridge

Quarter	Capex delta T	CFO delta T	Capital cash delta T	Shares delta M	Gross DPS delta KRW
Q3 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2027	0.00000	1.31474	0.00000	0.00000	0.00000
Q2 2027	0.00000	1.74651	0.54102	0.00000	391.14879
Q3 2027	0.00000	1.83737	0.83504	-0.19023	928.26842
Q4 2027	0.00000	1.92924	0.91064	-0.41997	1,513.87023
Q1 2028	0.00000	2.05458	0.56100	-0.63968	1,513.87023
Q2 2028	0.00000	2.11409	1.41169	-0.84941	2,867.04126
Q3 2028	0.00000	2.15468	1.05178	-1.05246	3,603.65387
Q4 2028	0.00000	2.19605	1.07375	-1.24240	4,373.53905
Q1 2029	0.00000	2.17666	0.64417	-1.41838	4,373.53905

Quarter	Capex delta T	CFO delta T	Capital cash delta T	Shares delta M	Gross DPS delta KRW
Q2 2029	0.00000	2.17638	1.54024	-1.58144	6,004.86332
Q3 2029	0.00000	2.18563	1.08821	-1.72837	6,829.24107
Q4 2029	0.00000	2.19492	1.09199	-1.86192	7,669.74816
Q1 2030	0.00000	2.14658	0.64668	-1.98385	7,669.74816
Q2 2030	0.00000	2.11526	1.52752	-2.09516	9,384.54491
Q3 2030	0.00000	2.09284	1.06040	-2.19412	10,227.96340
Q4 2030	0.00000	2.07065	1.04840	-2.28278	11,069.62822

2027 HBM repricing realization - Selected minus reference price-ceiling bridge

Quarter	Common delta KRW	ADS delta USD
Q4 2026	29,935.50680	3.01477
Q1 2027	46,522.89276	4.85880
Q2 2027	55,548.61092	5.96719
Q3 2027	66,138.03187	7.26621
Q4 2027	77,676.17622	7.82269
Q1 2028	82,792.35306	8.33793
Q2 2028	86,287.90157	8.68997
Q3 2028	89,380.19308	9.00139
Q4 2028	91,998.81757	9.26511
Q1 2029	94,092.03391	9.47591
Q2 2029	95,694.32399	9.63728
Q3 2029	96,675.67007	9.73611
Q4 2029	97,084.41230	9.77727
Q1 2030	96,931.30760	9.76185

2027 HBM repricing realization - Conditional minus reference operating bridge

Quarter	Revenue delta T	COGS delta T	GP delta T	Opex delta T	OP delta T
Q3 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2027	2.94064	0.00090	2.93974	0.16038	2.77937
Q2 2027	3.11708	0.00095	3.11613	0.16999	2.94613
Q3 2027	3.27293	0.00100	3.27193	0.17848	3.09345

Quarter	Revenue delta T	COGS delta T	GP delta T	Opex delta T	OP delta T
Q4 2027	3.43658	0.00105	3.43553	0.18740	3.24813
Q1 2028	3.66969	0.00000	3.66969	0.19876	3.47093
Q2 2028	3.74014	0.00000	3.74014	0.20257	3.53757
Q3 2028	3.81195	0.00000	3.81195	0.20646	3.60549
Q4 2028	3.88514	0.00000	3.88514	0.21043	3.67472
Q1 2029	3.82220	0.00000	3.82220	0.20702	3.61518
Q2 2029	3.83844	0.00000	3.83844	0.20790	3.63054
Q3 2029	3.85475	0.00000	3.85475	0.20878	3.64597
Q4 2029	3.87114	0.00000	3.87114	0.20967	3.66147
Q1 2030	3.75872	0.00000	3.75872	0.20358	3.55514
Q2 2030	3.71888	0.00000	3.71888	0.20142	3.51746
Q3 2030	3.67946	0.00000	3.67946	0.19929	3.48017
Q4 2030	3.64046	0.00000	3.64046	0.19717	3.44329

2027 HBM repricing realization - Conditional minus reference cash and share bridge

Quarter	Capex delta T	CFO delta T	Capital cash delta T	Shares delta M	Gross DPS delta KRW
Q3 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2027	0.00000	1.64343	0.00000	0.00000	0.00000
Q2 2027	0.00000	2.18313	0.67627	0.00000	488.93590
Q3 2027	0.00000	2.29671	1.04380	-0.23779	1,160.38254
Q4 2027	0.00000	2.41155	1.13830	-0.52496	1,892.50043
Q1 2028	0.00000	2.56823	0.70124	-0.79961	1,892.50043
Q2 2028	0.00000	2.64261	1.76462	-1.06177	3,584.52381
Q3 2028	0.00000	2.69335	1.31472	-1.31558	4,505.67288
Q4 2028	0.00000	2.74506	1.34218	-1.55300	5,468.50894
Q1 2029	0.00000	2.72083	0.80522	-1.77298	5,468.50894
Q2 2029	0.00000	2.72047	1.92530	-1.97680	7,508.98978
Q3 2029	0.00000	2.73203	1.36027	-2.16046	8,540.20150
Q4 2029	0.00000	2.74364	1.36499	-2.32740	9,591.65505
Q1 2030	0.00000	2.68322	0.80835	-2.47981	9,591.65505

Quarter	Capex delta T	CFO delta T	Capital cash delta T	Shares delta M	Gross DPS delta KRW
Q2 2030	0.00000	2.64407	1.90940	-2.61895	11,737.06226
Q3 2030	0.00000	2.61604	1.32550	-2.74265	12,792.32624
Q4 2030	0.00000	2.58831	1.31050	-2.85347	13,845.44195

2027 HBM repricing realization - Conditional minus reference price-ceiling bridge

Quarter	Common delta KRW	ADS delta USD
Q4 2026	37,419.37784	3.76847
Q1 2027	58,153.60671	6.07350
Q2 2027	69,435.75534	7.45899
Q3 2027	82,678.34566	9.08340
Q4 2027	97,110.56823	9.77991
Q1 2028	103,515.80751	10.42497
Q2 2028	107,895.56947	10.86605
Q3 2028	111,771.75213	11.25642
Q4 2028	115,055.83076	11.58716
Q1 2029	117,682.81755	11.85172
Q2 2029	119,695.65938	12.05443
Q3 2029	120,931.31300	12.17887
Q4 2029	121,450.19514	12.23113
Q1 2030	121,265.68287	12.21254

All monetary operating/cash deltas are KRW T; share deltas are millions of common shares. Positive COGS/opex delta is an added cost. Price-ceiling bridges exclude historical Q3 2026 and unavailable trailing windows. These event bridges must not be summed.

Conventional DRAM upcycle pricing realization - definition

Item	Selected definition
Evidence date	2026-10-28 Seoul / source vintages identified individually
Probability / durability	0.8
Conditional outcome	Q4 2026 conditional ASP growth: 0.15; CY 2027 conditional qoq growth: [0.1, 0.05, 0, 0]
Bounded outcome	Q4 2026 primary industry forecast range: [0.1, 0.15]; CY 2027 analyst conditional qoq ranges: [[0, 0.15], [0, 0.1], [0, 0.05], [0, 0.05]]
Overlap and nonduplication	Expected Q426 increase 12%; CY2027 expected 8%,4%,0%,0%. Latest industry guidance informs the price outcome; not counted again as an independent demand or revenue pool.

Item	Selected definition
Economic transmission	Conventional DRAM price indices compound, physical bit growth unchanged; manufacturing costs respond to volume and capex. Revenue-linked opex, tax, cash and return budgets respond.
Reference inputs	conventional upcycle price probability: 0
Conditional inputs	conventional upcycle price probability: 1
Revision / falsification trigger	Realized contract ASPs, LTA lag/bands, conventional supply and PC/handset demand destruction.

Event source: https://www.trendforce.com/presscenter/news/20260930-13258.html

Event source: https://irsvc.teletogether.com/hynix/pdf/hynix2026Q3_eng.pdf?1

Event source: https://news.skhynix.com/en/q3-2026-business-results/

Conventional DRAM upcycle pricing realization - active horizon outcomes

Case	F4 OP T	Shares M	Common KRW	ADS USD	Gross DPS KRW
Reference	513.598	668.803	3,455,708.625	348.021	109,753.086
Conditional	627.056	662.885	4,256,775.480	428.696	129,274.077
Selected	602.769	664.120	4,084,291.327	411.325	125,144.947

Conventional DRAM upcycle pricing realization - annual outcome bridge

Case / year	Revenue T	GP T	Opex T	OP T	CFO T	Capital cash out T
Reference 2027	599.201	529.936	36.472	493.464	384.778	148.087
Reference 2028	633.234	551.225	40.019	511.206	409.944	161.046
Reference 2029	606.101	508.676	40.464	468.213	390.555	150.401
Reference 2030	563.413	449.100	40.321	408.779	359.173	134.726
Conditional 2027	711.672	642.406	42.564	599.842	461.963	177.740
Conditional 2028	751.701	669.692	46.435	623.257	494.205	203.641
Conditional 2029	712.600	615.175	46.232	568.943	466.569	189.693
Conditional 2030	657.364	543.050	45.409	497.641	426.299	169.619
Selected 2027	687.712	618.447	41.266	577.181	445.550	171.498
Selected 2028	726.342	644.333	45.062	599.271	476.168	194.523
Selected 2029	689.802	592.378	44.997	547.381	450.297	181.282
Selected 2030	637.253	522.939	44.320	478.619	411.930	162.149

Conventional DRAM upcycle pricing realization - Selected minus reference operating bridge

Quarter	Revenue delta T	COGS delta T	GP delta T	Opex delta T	OP delta T
Q3 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2026	10.30044	0.00000	10.30044	0.55789	9.74255
Q1 2027	18.35127	0.00000	18.35127	0.99402	17.35725
Q2 2027	23.03922	0.00000	23.03922	1.24796	21.79126
Q3 2027	23.38481	0.00000	23.38481	1.26669	22.11811
Q4 2027	23.73558	0.00000	23.73558	1.28571	22.44987
Q1 2028	23.99787	0.00000	23.99787	1.29976	22.69810
Q2 2028	23.51071	0.00000	23.51071	1.27338	22.23733
Q3 2028	23.03344	0.00000	23.03344	1.24753	21.78591
Q4 2028	22.56586	0.00000	22.56586	1.22220	21.34366
Q1 2029	21.73808	0.00000	21.73808	1.17737	20.56071
Q2 2029	21.18702	0.00000	21.18702	1.14752	20.03949
Q3 2029	20.64993	0.00000	20.64993	1.11843	19.53149
Q4 2029	20.12645	-0.00000	20.12645	1.09008	19.03637
Q1 2030	19.32329	0.00000	19.32329	1.04658	18.27671
Q2 2030	18.73586	0.00000	18.73586	1.01476	17.72109
Q3 2030	18.16629	0.00000	18.16629	0.98392	17.18237
Q4 2030	17.61403	0.00000	17.61403	0.95400	16.66003

Conventional DRAM upcycle pricing realization - Selected minus reference cash and share bridge

Quarter	Capex delta T	CFO delta T	Capital cash delta T	Shares delta M	Gross DPS delta KRW
Q3 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2026	0.00000	5.76185	0.00000	0.00000	0.00000
Q1 2027	0.00000	11.81031	1.18982	0.00000	0.00000
Q2 2027	0.00000	15.64025	6.55105	-0.91707	5,283.35391
Q3 2027	0.00000	16.53675	7.48118	-2.62595	10,114.71163
Q4 2027	0.00000	16.78479	8.18903	-4.68326	15,391.86103
Q1 2028	0.00000	16.98423	4.92956	-6.66074	15,391.86103
Q2 2028	0.00000	16.75107	11.91535	-8.48542	26,850.86792
Q3 2028	0.00000	16.41103	8.39617	-10.16393	32,694.10106
Q4 2028	0.00000	16.07788	8.23561	-11.66890	38,571.56856
Q1 2029	0.00000	15.54470	4.77246	-13.00928	38,571.56856

Quarter	Capex delta T	CFO delta T	Capital cash delta T	Shares delta M	Gross DPS delta KRW
Q2 2029	0.00000	15.11228	11.11550	-14.20308	50,408.01416
Q3 2029	0.00000	14.72918	7.59441	-15.25235	56,165.20624
Q4 2029	0.00000	14.35580	7.39850	-16.17970	61,873.34624
Q1 2030	0.00000	13.82800	4.26800	-17.00138	61,873.34624
Q2 2030	0.00000	13.37893	9.90365	-17.72942	73,114.22961
Q3 2030	0.00000	12.97221	6.72921	-18.36695	78,512.52585
Q4 2030	0.00000	12.57786	6.52210	-18.92769	83,800.31085

Conventional DRAM upcycle pricing realization - Selected minus reference price-ceiling bridge

Quarter	Common delta KRW	ADS delta USD
Q4 2026	301,296.55872	30.34327
Q1 2027	403,446.00075	42.13548
Q2 2027	488,324.49159	52.45724
Q3 2027	557,843.86696	61.28716
Q4 2027	628,582.70193	63.30393
Q1 2028	642,872.69875	64.74306
Q2 2028	648,335.48881	65.29321
Q3 2028	651,336.39311	65.59543
Q4 2028	651,725.79033	65.63465
Q1 2029	649,429.68237	65.40341
Q2 2029	645,154.07989	64.97282
Q3 2029	638,113.90154	64.26381
Q4 2029	628,773.09214	63.32310
Q1 2030	617,323.84296	62.17006

Conventional DRAM upcycle pricing realization - Conditional minus reference operating bridge

Quarter	Revenue delta T	COGS delta T	GP delta T	Opex delta T	OP delta T
Q3 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2026	12.87555	0.00000	12.87555	0.69736	12.17819
Q1 2027	23.20175	0.00000	23.20175	1.25675	21.94500
Q2 2027	29.31431	0.00000	29.31431	1.58786	27.72646
Q3 2027	29.75403	0.00000	29.75403	1.61169	28.14234

Quarter	Revenue delta T	COGS delta T	GP delta T	Opex delta T	OP delta T
Q4 2027	30.20034	0.00000	30.20034	1.63588	28.56446
Q1 2028	30.53406	0.00000	30.53406	1.65377	28.88029
Q2 2028	29.91422	0.00000	29.91422	1.62020	28.29402
Q3 2028	29.30696	0.00000	29.30696	1.58731	27.71965
Q4 2028	28.71203	0.00000	28.71203	1.55509	27.15694
Q1 2029	27.65878	0.00000	27.65878	1.49804	26.16074
Q2 2029	26.95763	0.00000	26.95763	1.46007	25.49756
Q3 2029	26.27426	0.00000	26.27426	1.42306	24.85120
Q4 2029	25.60820	-0.00000	25.60820	1.38698	24.22122
Q1 2030	24.58629	0.00000	24.58629	1.33163	23.25465
Q2 2030	23.83886	0.00000	23.83886	1.29115	22.54771
Q3 2030	23.11416	0.00000	23.11416	1.25190	21.86226
Q4 2030	22.41149	0.00000	22.41149	1.21384	21.19765

Conventional DRAM upcycle pricing realization - Conditional minus reference cash and share bridge

Quarter	Capex delta T	CFO delta T	Capital cash delta T	Shares delta M	Gross DPS delta KRW
Q3 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2026	0.00000	7.20231	0.00000	0.00000	0.00000
Q1 2027	0.00000	14.90982	1.48728	0.00000	0.00000
Q2 2027	0.00000	19.87796	8.24927	-1.14634	6,650.11775
Q3 2027	0.00000	21.04080	9.49930	-3.30369	12,795.50503
Q4 2027	0.00000	21.35640	10.41749	-5.91843	19,520.99045
Q1 2028	0.00000	21.61016	6.27221	-8.43451	19,520.99045
Q2 2028	0.00000	21.31349	15.16068	-10.75618	34,149.57837
Q3 2028	0.00000	20.88083	10.68300	-12.89185	41,614.87818
Q4 2028	0.00000	20.45695	10.47870	-14.80673	49,129.31073
Q1 2029	0.00000	19.77854	6.07231	-16.51218	49,129.31073
Q2 2029	0.00000	19.22835	14.14298	-18.03112	64,281.53358
Q3 2029	0.00000	18.74091	9.66287	-19.36619	71,655.50657
Q4 2029	0.00000	18.26583	9.41359	-20.54612	78,970.21460
Q1 2030	0.00000	17.59428	5.43046	-21.59159	78,970.21460

Quarter	Capex delta T	CFO delta T	Capital cash delta T	Shares delta M	Gross DPS delta KRW
Q2 2030	0.00000	17.02290	12.60107	-22.51792	93,386.92413
Q3 2030	0.00000	16.50540	8.56202	-23.32909	100,312.81504
Q4 2030	0.00000	16.00364	8.29850	-24.04256	107,099.05502

Conventional DRAM upcycle pricing realization - Conditional minus reference price-ceiling bridge

Quarter	Common delta KRW	ADS delta USD
Q4 2026	381,841.84696	38.45491
Q1 2027	512,657.36930	53.54140
Q2 2027	621,452.53819	66.75825
Q3 2027	710,321.06196	78.03896
Q4 2027	801,066.85440	80.67463
Q1 2028	819,981.98094	82.57956
Q2 2028	827,628.90664	83.34967
Q3 2028	832,107.88120	83.80075
Q4 2028	833,205.69232	83.91130
Q1 2029	830,819.02739	83.67095
Q2 2029	825,848.31812	83.17035
Q3 2029	817,279.51703	82.30740
Q4 2029	805,710.45816	81.14229
Q1 2030	791,389.40319	79.70003

All monetary operating/cash deltas are KRW T; share deltas are millions of common shares. Positive COGS/opex delta is an added cost. Price-ceiling bridges exclude historical Q3 2026 and unavailable trailing windows. These event bridges must not be summed.

HBM acceptance and manufacturing shortfall - definition

Item	Selected definition
Evidence date	2026-10-28 Seoul / source vintages identified individually
Probability / durability	0.2
Conditional outcome	net sales shortfall 2027: 0.075; avoidable cash COGS and allocated opex fraction: 0.5; rework per lost sales: 0.02
Bounded outcome	[0.05, 0.1]
Overlap and nonduplication	Net shortfall after supply/qualification overlap; no extra demand haircut and no catch-up sales. Risk expires Q128 by assumption.
Economic transmission	Probability-weighted lost HBM revenue; only half eligible cash manufacturing/opex avoided, all D&A retained; rework added; cash and payout budgets fall.

Item	Selected definition
Reference inputs	HBM execution shortfall probability: 0
Conditional inputs	HBM execution shortfall probability: 1
Revision / falsification trigger	Customer acceptance, yield, qualification delays or disclosed recoveries; persistence beyond 2027.

Event source: https://irsvc.teletogether.com/hynix/pdf/hynix2026Q3_eng.pdf?1

Event source: https://news.skhynix.com/en/q3-2026-business-results/

HBM acceptance and manufacturing shortfall - active horizon outcomes

Case	F4 OP T	Shares M	Common KRW	ADS USD	Gross DPS KRW
Reference	603.057	664.074	4,086,526.720	411.550	125,312.570
Conditional	601.618	664.306	4,075,352.883	410.425	124,474.583
Selected	602.769	664.120	4,084,291.327	411.325	125,144.947

HBM acceptance and manufacturing shortfall - annual outcome bridge

Case / year	Revenue T	GP T	Opex T	OP T	CFO T	Capital cash out T
Reference 2027	688.840	619.549	41.300	578.249	446.306	171.751
Reference 2028	726.342	644.333	45.062	599.271	476.213	194.671
Reference 2029	689.802	592.378	44.997	547.381	450.297	181.282
Reference 2030	637.253	522.939	44.320	478.619	411.930	162.149
Conditional 2027	683.202	614.038	41.131	572.907	442.527	170.485
Conditional 2028	726.342	644.333	45.062	599.271	475.986	193.933
Conditional 2029	689.802	592.378	44.997	547.381	450.297	181.282
Conditional 2030	637.253	522.939	44.320	478.619	411.930	162.149
Selected 2027	687.712	618.447	41.266	577.181	445.550	171.498
Selected 2028	726.342	644.333	45.062	599.271	476.168	194.523
Selected 2029	689.802	592.378	44.997	547.381	450.297	181.282
Selected 2030	637.253	522.939	44.320	478.619	411.930	162.149

HBM acceptance and manufacturing shortfall - Selected minus reference operating bridge

Quarter	Revenue delta T	COGS delta T	GP delta T	Opex delta T	OP delta T
Q3 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2027	-0.25973	-0.00605	-0.25368	-0.00771	-0.24597
Q2 2027	-0.27532	-0.00626	-0.26905	-0.00822	-0.26084
Q3 2027	-0.28908	-0.00646	-0.28262	-0.00869	-0.27393
Q4 2027	-0.30354	-0.00665	-0.29689	-0.00919	-0.28769
Q1 2028	0.00000	0.00000	0.00000	0.00000	0.00000
Q2 2028	0.00000	0.00000	0.00000	0.00000	0.00000
Q3 2028	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2028	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2029	0.00000	0.00000	0.00000	0.00000	0.00000
Q2 2029	0.00000	0.00000	0.00000	0.00000	0.00000
Q3 2029	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2029	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2030	0.00000	0.00000	0.00000	0.00000	0.00000
Q2 2030	0.00000	0.00000	0.00000	0.00000	0.00000
Q3 2030	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2030	0.00000	0.00000	0.00000	0.00000	0.00000

HBM acceptance and manufacturing shortfall - Selected minus reference cash and share bridge

Quarter	Capex delta T	CFO delta T	Capital cash delta T	Shares delta M	Gross DPS delta KRW
Q3 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2027	0.00000	-0.14552	0.00000	0.00000	0.00000
Q2 2027	0.00000	-0.19329	-0.05988	0.00000	-43.29274
Q3 2027	0.00000	-0.20339	-0.09242	0.02106	-102.75537
Q4 2027	0.00000	-0.21360	-0.10080	0.04648	-167.62305
Q1 2028	0.00000	-0.04553	-0.06211	0.07080	-167.62305
Q2 2028	0.00000	0.00000	-0.08143	0.09402	-259.54568
Q3 2028	0.00000	0.00000	-0.00403	0.09852	-264.45252
Q4 2028	0.00000	0.00000	0.00000	0.09852	-269.45354
Q1 2029	0.00000	0.00000	0.00000	0.09852	-269.45354

Quarter	Capex delta T	CFO delta T	Capital cash delta T	Shares delta M	Gross DPS delta KRW
Q2 2029	0.00000	0.00000	0.00000	0.09852	-279.59081
Q3 2029	0.00000	0.00000	0.00000	0.09852	-284.50768
Q4 2029	0.00000	0.00000	0.00000	0.09852	-289.41511
Q1 2030	0.00000	0.00000	0.00000	0.09852	-289.41511
Q2 2030	0.00000	0.00000	0.00000	0.09852	-299.15813
Q3 2030	0.00000	0.00000	0.00000	0.09852	-303.84212
Q4 2030	0.00000	0.00000	0.00000	0.09852	-308.43318

HBM acceptance and manufacturing shortfall - Selected minus reference price-ceiling bridge

Quarter	Common delta KRW	ADS delta USD
Q4 2026	-3,312.72295	-0.33362
Q1 2027	-5,148.98454	-0.53775
Q2 2027	-4,476.05390	-0.48083
Q3 2027	-3,538.93190	-0.38880
Q4 2027	-2,235.39304	-0.22512
Q1 2028	-448.37348	-0.04516
Q2 2028	-604.20977	-0.06085
Q3 2028	-638.88631	-0.06434
Q4 2028	-641.32596	-0.06459
Q1 2029	-640.27614	-0.06448
Q2 2029	-636.46332	-0.06410
Q3 2029	-628.95092	-0.06334
Q4 2029	-618.42653	-0.06228
Q1 2030	-605.05109	-0.06093

HBM acceptance and manufacturing shortfall - Conditional minus reference operating bridge

Quarter	Revenue delta T	COGS delta T	GP delta T	Opex delta T	OP delta T
Q3 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2027	-1.29866	-0.03026	-1.26840	-0.03855	-1.22985
Q2 2027	-1.37658	-0.03132	-1.34525	-0.04108	-1.30418
Q3 2027	-1.44541	-0.03228	-1.41312	-0.04346	-1.36967

Quarter	Revenue delta T	COGS delta T	GP delta T	Opex delta T	OP delta T
Q4 2027	-1.51768	-0.03324	-1.48444	-0.04596	-1.43847
Q1 2028	0.00000	0.00000	0.00000	0.00000	0.00000
Q2 2028	0.00000	0.00000	0.00000	0.00000	0.00000
Q3 2028	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2028	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2029	0.00000	0.00000	0.00000	0.00000	0.00000
Q2 2029	0.00000	0.00000	0.00000	0.00000	0.00000
Q3 2029	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2029	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2030	0.00000	0.00000	0.00000	0.00000	0.00000
Q2 2030	0.00000	0.00000	0.00000	0.00000	0.00000
Q3 2030	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2030	0.00000	0.00000	0.00000	0.00000	0.00000

HBM acceptance and manufacturing shortfall - Conditional minus reference cash and share bridge

Quarter	Capex delta T	CFO delta T	Capital cash delta T	Shares delta M	Gross DPS delta KRW
Q3 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2027	0.00000	-0.72759	0.00000	0.00000	0.00000
Q2 2027	0.00000	-0.96645	-0.29940	0.00000	-216.46370
Q3 2027	0.00000	-1.01693	-0.46208	0.10528	-513.73982
Q4 2027	0.00000	-1.06801	-0.50400	0.23240	-837.98748
Q1 2028	0.00000	-0.22765	-0.31054	0.35401	-837.98748
Q2 2028	0.00000	0.00000	-0.40714	0.47011	-1,297.33148
Q3 2028	0.00000	0.00000	-0.02015	0.49261	-1,321.85041
Q4 2028	0.00000	0.00000	0.00000	0.49261	-1,346.83969
Q1 2029	0.00000	0.00000	0.00000	0.49261	-1,346.83969
Q2 2029	0.00000	0.00000	0.00000	0.49261	-1,397.49327
Q3 2029	0.00000	0.00000	0.00000	0.49261	-1,422.06156
Q4 2029	0.00000	0.00000	0.00000	0.49261	-1,446.58249
Q1 2030	0.00000	0.00000	0.00000	0.49261	-1,446.58249

Quarter	Capex delta T	CFO delta T	Capital cash delta T	Shares delta M	Gross DPS delta KRW
Q2 2030	0.00000	0.00000	0.00000	0.49261	-1,495.26500
Q3 2030	0.00000	0.00000	0.00000	0.49261	-1,518.66916
Q4 2030	0.00000	0.00000	0.00000	0.49261	-1,541.60888

HBM acceptance and manufacturing shortfall - Conditional minus reference price-ceiling bridge

Quarter	Common delta KRW	ADS delta USD
Q4 2026	-16,563.61473	-1.66810
Q1 2027	-25,744.92268	-2.68877
Q2 2027	-22,380.26950	-2.40415
Q3 2027	-17,692.45676	-1.94377
Q4 2027	-11,173.83707	-1.12531
Q1 2028	-2,240.89490	-0.22568
Q2 2028	-3,019.27984	-0.30407
Q3 2028	-3,192.44176	-0.32151
Q4 2028	-3,204.60448	-0.32273
Q1 2029	-3,199.33290	-0.32220
Q2 2029	-3,180.25731	-0.32028
Q3 2029	-3,142.69904	-0.31650
Q4 2029	-3,090.09311	-0.31120
Q1 2030	-3,023.24378	-0.30447

All monetary operating/cash deltas are KRW T; share deltas are millions of common shares. Positive COGS/opex delta is an added cost. Price-ceiling bridges exclude historical Q3 2026 and unavailable trailing windows. These event bridges must not be summed.

Lower stack height and per-bit mix - definition

Item	Selected definition
Evidence date	2026-10-28 Seoul / source vintages identified individually
Probability / durability	0.6
Conditional outcome	price premium per Gb: 0.15; additional cubes per bit: 0.5; backend cost share: 0.2; exposed 2027 2028: 0.5
Bounded outcome	[0.1, 0.2]
Overlap and nonduplication	Only 40% new after 60% overlap; 2027-28 exposure 50%,2029 25%,2030 zero. Same bits yield more cubes; bit revenue is not doubled.
Economic transmission	Selected 2027-28 HBM price level+1.8% and cash manufacturing cost level+1.2%; 2029 +0.9%/+0.6%; opex/cash respond. No extra wafer/bit volume.

Item	Selected definition
Reference inputs	HBM 8Hi mix probability: 0
Conditional inputs	HBM 8Hi mix probability: 1
Revision / falsification trigger	Stack mix, base-die economics, per-Gb contract realization and backend capacity.

Event source: https://irsvc.teletogether.com/hynix/pdf/hynix2026Q3_eng.pdf?1

Event source: https://www.trendforce.com/presscenter/news/20260929-13255.html

Lower stack height and per-bit mix - active horizon outcomes

Case	F4 OP T	Shares M	Common KRW	ADS USD	Gross DPS KRW
Reference	601.425	664.170	4,074,877.113	410.377	124,962.903
Conditional	603.665	664.087	4,090,568.262	411.957	125,266.318
Selected	602.769	664.120	4,084,291.327	411.325	125,144.947

Lower stack height and per-bit mix - annual outcome bridge

Case / year	Revenue T	GP T	Opex T	OP T	CFO T	Capital cash out T
Reference 2027	686.403	617.211	41.197	576.014	444.728	171.223
Reference 2028	724.792	642.866	44.980	597.886	475.136	194.027
Reference 2029	689.006	591.627	44.956	546.671	449.736	180.923
Reference 2030	637.253	522.939	44.320	478.619	411.900	162.056
Conditional 2027	688.585	619.271	41.312	577.959	446.098	171.681
Conditional 2028	727.375	645.310	45.116	600.194	476.856	194.854
Conditional 2029	690.333	592.879	45.025	547.853	450.672	181.521
Conditional 2030	637.253	522.939	44.320	478.619	411.950	162.212
Selected 2027	687.712	618.447	41.266	577.181	445.550	171.498
Selected 2028	726.342	644.333	45.062	599.271	476.168	194.523
Selected 2029	689.802	592.378	44.997	547.381	450.297	181.282
Selected 2030	637.253	522.939	44.320	478.619	411.930	162.149

Lower stack height and per-bit mix - Selected minus reference operating bridge

Quarter	Revenue delta T	COGS delta T	GP delta T	Opex delta T	OP delta T
Q3 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2027	0.30157	0.01734	0.28424	0.01593	0.26831
Q2 2027	0.31967	0.01803	0.30163	0.01689	0.28474
Q3 2027	0.33565	0.01864	0.31701	0.01774	0.29927
Q4 2027	0.35243	0.01926	0.33317	0.01864	0.31453
Q1 2028	0.37634	0.01982	0.35652	0.01979	0.33674
Q2 2028	0.38357	0.02035	0.36322	0.02016	0.34306
Q3 2028	0.39093	0.02089	0.37004	0.02055	0.34950
Q4 2028	0.39844	0.02145	0.37699	0.02094	0.35605
Q1 2029	0.19774	0.01094	0.18680	0.01038	0.17642
Q2 2029	0.19858	0.01115	0.18743	0.01042	0.17701
Q3 2029	0.19942	0.01137	0.18805	0.01046	0.17759
Q4 2029	0.20027	0.01160	0.18867	0.01050	0.17817
Q1 2030	0.00000	0.00000	0.00000	0.00000	0.00000
Q2 2030	0.00000	0.00000	0.00000	0.00000	0.00000
Q3 2030	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2030	0.00000	0.00000	0.00000	0.00000	0.00000

Lower stack height and per-bit mix - Selected minus reference cash and share bridge

Quarter	Capex delta T	CFO delta T	Capital cash delta T	Shares delta M	Gross DPS delta KRW
Q3 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2027	0.00000	0.15600	0.00000	0.00000	0.00000
Q2 2027	0.00000	0.21084	0.06419	0.00000	46.41019
Q3 2027	0.00000	0.22205	0.10057	-0.02257	111.25202
Q4 2027	0.00000	0.23338	0.11003	-0.05031	182.04390
Q1 2028	0.00000	0.24897	0.06784	-0.07686	182.04390
Q2 2028	0.00000	0.25621	0.17095	-0.10223	346.01148
Q3 2028	0.00000	0.26102	0.12746	-0.12683	435.37749
Q4 2028	0.00000	0.26591	0.13008	-0.14985	528.77138
Q1 2029	0.00000	0.16242	0.07801	-0.17117	528.77138

Quarter	Capex delta T	CFO delta T	Capital cash delta T	Shares delta M	Gross DPS delta KRW
Q2 2029	0.00000	0.13263	0.14488	-0.19092	692.63763
Q3 2029	0.00000	0.13307	0.06895	-0.20188	747.81867
Q4 2029	0.00000	0.13350	0.06649	-0.21002	803.94445
Q1 2030	0.00000	0.03004	0.03934	-0.21744	803.94445
Q2 2030	0.00000	0.00000	0.05154	-0.22421	883.10605
Q3 2030	0.00000	0.00000	0.00266	-0.22560	893.82556
Q4 2030	0.00000	0.00000	0.00000	-0.22560	904.33236

Lower stack height and per-bit mix - Selected minus reference price-ceiling bridge

Quarter	Common delta KRW	ADS delta USD
Q4 2026	3,616.44970	0.36421
Q1 2027	5,623.27839	0.58729
Q2 2027	6,722.68772	0.72217
Q3 2027	8,010.21224	0.88004
Q4 2027	9,414.21447	0.94810
Q1 2028	10,038.19788	1.01094
Q2 2028	9,243.27426	0.93088
Q3 2028	8,357.43145	0.84167
Q4 2028	7,375.17326	0.74275
Q1 2029	6,293.79186	0.63384
Q2 2029	5,170.75299	0.52074
Q3 2029	3,944.36124	0.39723
Q4 2029	2,659.96352	0.26788
Q1 2030	1,334.65623	0.13441

Lower stack height and per-bit mix - Conditional minus reference operating bridge

Quarter	Revenue delta T	COGS delta T	GP delta T	Opex delta T	OP delta T
Q3 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2027	0.50262	0.02890	0.47373	0.02654	0.44718
Q2 2027	0.53278	0.03006	0.50272	0.02815	0.47457
Q3 2027	0.55942	0.03106	0.52836	0.02957	0.49878

Quarter	Revenue delta T	COGS delta T	GP delta T	Opex delta T	OP delta T
Q4 2027	0.58739	0.03211	0.55528	0.03107	0.52422
Q1 2028	0.62724	0.03303	0.59421	0.03298	0.56123
Q2 2028	0.63928	0.03391	0.60537	0.03361	0.57176
Q3 2028	0.65155	0.03482	0.61674	0.03424	0.58249
Q4 2028	0.66406	0.03575	0.62832	0.03489	0.59342
Q1 2029	0.32956	0.01823	0.31134	0.01730	0.29404
Q2 2029	0.33097	0.01859	0.31238	0.01737	0.29501
Q3 2029	0.33237	0.01896	0.31342	0.01743	0.29598
Q4 2029	0.33378	0.01933	0.31445	0.01750	0.29696
Q1 2030	0.00000	0.00000	0.00000	0.00000	0.00000
Q2 2030	0.00000	0.00000	0.00000	0.00000	0.00000
Q3 2030	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2030	0.00000	0.00000	0.00000	0.00000	0.00000

Lower stack height and per-bit mix - Conditional minus reference cash and share bridge

Quarter	Capex delta T	CFO delta T	Capital cash delta T	Shares delta M	Gross DPS delta KRW
Q3 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2027	0.00000	0.25999	0.00000	0.00000	0.00000
Q2 2027	0.00000	0.35140	0.10699	0.00000	77.35031
Q3 2027	0.00000	0.37009	0.16761	-0.03762	185.42242
Q4 2027	0.00000	0.38897	0.18339	-0.08384	303.41483
Q1 2028	0.00000	0.41494	0.11307	-0.12810	303.41483
Q2 2028	0.00000	0.42701	0.28491	-0.17038	576.72314
Q3 2028	0.00000	0.43503	0.21244	-0.21139	725.68641
Q4 2028	0.00000	0.44319	0.21680	-0.24976	881.36784
Q1 2029	0.00000	0.27070	0.13002	-0.28529	881.36784
Q2 2029	0.00000	0.22105	0.24147	-0.31819	1,154.53539
Q3 2029	0.00000	0.22178	0.11492	-0.33647	1,246.52434
Q4 2029	0.00000	0.22251	0.11082	-0.35003	1,340.08923
Q1 2030	0.00000	0.05007	0.06557	-0.36240	1,340.08923

Quarter	Capex delta T	CFO delta T	Capital cash delta T	Shares delta M	Gross DPS delta KRW
Q2 2030	0.00000	0.00000	0.08591	-0.37369	1,472.05879
Q3 2030	0.00000	0.00000	0.00443	-0.37600	1,489.92924
Q4 2030	0.00000	0.00000	0.00000	-0.37600	1,507.44510

Lower stack height and per-bit mix - Conditional minus reference price-ceiling bridge

Quarter	Common delta KRW	ADS delta USD
Q4 2026	6,027.41574	0.60701
Q1 2027	9,372.12996	0.97882
Q2 2027	11,204.47893	1.20362
Q3 2027	13,350.65022	1.46676
Q4 2027	15,691.14951	1.58024
Q1 2028	16,731.64345	1.68503
Q2 2028	15,407.09284	1.55163
Q3 2028	13,930.91533	1.40297
Q4 2028	12,293.92498	1.23811
Q1 2029	10,491.59754	1.05660
Q2 2029	8,619.72419	0.86808
Q3 2029	6,575.40411	0.66220
Q4 2029	4,434.31227	0.44658
Q1 2030	2,224.97155	0.22407

All monetary operating/cash deltas are KRW T; share deltas are millions of common shares. Positive COGS/opex delta is an added cost. Price-ceiling bridges exclude historical Q3 2026 and unavailable trailing windows. These event bridges must not be summed.

Long-term agreement price durability - definition

Item	Selected definition
Evidence date	2026-10-28 Seoul / source vintages identified individually
Probability / durability	2028: 0.8; 2029: 0.5; 2030: 0.25
Conditional outcome	covered fraction: 0.5; conditional price retention level: 0.08
Bounded outcome	[0.02, 0.1]
Overlap and nonduplication	Coverage included once; no separate signed-demand revenue addition.2029 sold-out wording includes discussions and not all legally binding.
Economic transmission	DRAM price levels+3.2% 2028,+2% 2029,+1% 2030; not annual compound growth. Manufacturing volume unchanged; opex and cash follow revenue.

Item	Selected definition
Reference inputs	LTA durability probability by year: 2026: 0; 2027: 0; 2028: 0; 2029: 0; 2030: 0
Conditional inputs	LTA durability probability by year: 2026: 0; 2027: 0; 2028: 1; 2029: 1; 2030: 1
Revision / falsification trigger	Disclosed price bands, deposits, cancellation terms and binding capacity fraction.

Event source: https://irsvc.teletogether.com/hynix/pdf/hynix2026Q3_eng.pdf?1

Event source: https://news.skhynix.com/en/q3-2026-business-results/

Long-term agreement price durability - active horizon outcomes

Case	F4 OP T	Shares M	Common KRW	ADS USD	Gross DPS KRW
Reference	590.772	664.120	4,002,999.983	403.138	125,144.947
Conditional	605.768	664.120	4,104,614.163	413.372	125,144.947
Selected	602.769	664.120	4,084,291.327	411.325	125,144.947

Long-term agreement price durability - annual outcome bridge

Case / year	Revenue T	GP T	Opex T	OP T	CFO T	Capital cash out T
Reference 2027	687.712	618.447	41.266	577.181	445.550	171.498
Reference 2028	709.547	627.538	44.152	583.386	464.871	190.599
Reference 2029	680.049	582.625	44.469	538.156	443.117	176.961
Reference 2030	632.838	518.524	44.081	474.443	408.603	159.938
Conditional 2027	687.712	618.447	41.266	577.181	445.550	171.498
Conditional 2028	730.540	648.531	45.289	603.242	478.992	195.504
Conditional 2029	699.555	602.131	45.526	556.605	457.015	184.077
Conditional 2030	650.497	536.183	45.037	491.146	421.203	166.440
Selected 2027	687.712	618.447	41.266	577.181	445.550	171.498
Selected 2028	726.342	644.333	45.062	599.271	476.168	194.523
Selected 2029	689.802	592.378	44.997	547.381	450.297	181.282
Selected 2030	637.253	522.939	44.320	478.619	411.930	162.149

Long-term agreement price durability - Selected minus reference operating bridge

Quarter	Revenue delta T	COGS delta T	GP delta T	Opex delta T	OP delta T
Q3 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q2 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q3 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2028	4.28846	0.00000	4.28846	0.23227	4.05619
Q2 2028	4.22747	0.00000	4.22747	0.22897	3.99851
Q3 2028	4.16822	0.00000	4.16822	0.22576	3.94247
Q4 2028	4.11069	0.00000	4.11069	0.22264	3.88805
Q1 2029	2.51310	0.00000	2.51310	0.13611	2.37699
Q2 2029	2.46226	0.00000	2.46226	0.13336	2.32890
Q3 2029	2.41276	0.00000	2.41276	0.13068	2.28208
Q4 2029	2.36458	0.00000	2.36458	0.12807	2.23651
Q1 2030	1.14876	0.00000	1.14876	0.06222	1.08654
Q2 2030	1.11811	0.00000	1.11811	0.06056	1.05755
Q3 2030	1.08835	0.00000	1.08835	0.05895	1.02940
Q4 2030	1.05945	0.00000	1.05945	0.05738	1.00207

Long-term agreement price durability - Selected minus reference cash and share bridge

Quarter	Capex delta T	CFO delta T	Capital cash delta T	Shares delta M	Gross DPS delta KRW
Q3 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q2 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q3 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2028	0.00000	2.39887	0.00000	0.00000	0.00000
Q2 2028	0.00000	3.00803	0.98714	0.00000	766.10751
Q3 2028	0.00000	2.96574	1.45010	-0.23707	1,752.80547
Q4 2028	0.00000	2.92467	1.48661	-0.50733	2,752.74500
Q1 2029	0.00000	2.02238	0.86641	-0.74955	2,752.74500

Quarter	Capex delta T	CFO delta T	Capital cash delta T	Shares delta M	Gross DPS delta KRW
Q2 2029	0.00000	1.75430	1.69060	-0.96671	4,515.72091
Q3 2029	0.00000	1.71899	0.90088	-1.10322	5,166.46960
Q4 2029	0.00000	1.68461	0.86262	-1.21088	5,815.64471
Q1 2030	0.00000	0.99728	0.50000	-1.30677	5,815.64471
Q2 2030	0.00000	0.79776	0.90481	-1.39220	6,885.85895
Q3 2030	0.00000	0.77652	0.41654	-1.43818	7,233.31932
Q4 2030	0.00000	0.75589	0.39014	-1.47162	7,575.07101

Long-term agreement price durability - Selected minus reference price-ceiling bridge

Quarter	Common delta KRW	ADS delta USD
Q4 2026	0.00000	0.00000
Q1 2027	0.00000	0.00000
Q2 2027	22,074.79791	2.37134
Q3 2027	49,116.75489	5.39618
Q4 2027	81,291.34400	8.18677
Q1 2028	109,537.40282	11.03140
Q2 2028	99,589.40201	10.02955
Q3 2028	90,724.95851	9.13682
Q4 2028	81,723.33711	8.23027
Q1 2029	72,202.02581	7.27139
Q2 2029	64,804.40542	6.52639
Q3 2029	56,700.02542	5.71020
Q4 2029	48,274.66260	4.86169
Q1 2030	39,662.74286	3.99439

Long-term agreement price durability - Conditional minus reference operating bridge

Quarter	Revenue delta T	COGS delta T	GP delta T	Opex delta T	OP delta T
Q3 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q2 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q3 2027	0.00000	0.00000	0.00000	0.00000	0.00000

Quarter	Revenue delta T	COGS delta T	GP delta T	Opex delta T	OP delta T
Q4 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2028	5.36057	0.00000	5.36057	0.29034	5.07024
Q2 2028	5.28434	0.00000	5.28434	0.28621	4.99813
Q3 2028	5.21028	0.00000	5.21028	0.28220	4.92808
Q4 2028	5.13836	0.00000	5.13836	0.27830	4.86006
Q1 2029	5.02620	0.00000	5.02620	0.27223	4.75397
Q2 2029	4.92452	0.00000	4.92452	0.26672	4.65780
Q3 2029	4.82553	0.00000	4.82553	0.26136	4.56417
Q4 2029	4.72915	0.00000	4.72915	0.25614	4.47301
Q1 2030	4.59505	0.00000	4.59505	0.24888	4.34617
Q2 2030	4.47245	0.00000	4.47245	0.24224	4.23022
Q3 2030	4.35341	0.00000	4.35341	0.23579	4.11762
Q4 2030	4.23780	0.00000	4.23780	0.22953	4.00827

Long-term agreement price durability - Conditional minus reference cash and share bridge

Quarter	Capex delta T	CFO delta T	Capital cash delta T	Shares delta M	Gross DPS delta KRW
Q3 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q2 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q3 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2028	0.00000	2.99859	0.00000	0.00000	0.00000
Q2 2028	0.00000	3.76003	1.23392	0.00000	957.63438
Q3 2028	0.00000	3.70717	1.81263	-0.29634	2,191.12246
Q4 2028	0.00000	3.65583	1.85826	-0.63416	3,441.30116
Q1 2029	0.00000	3.58230	1.08301	-0.93694	3,441.30116
Q2 2029	0.00000	3.50860	2.54711	-1.20839	6,001.17039
Q3 2029	0.00000	3.43798	1.76082	-1.45020	7,266.47776
Q4 2029	0.00000	3.36922	1.72524	-1.66550	8,528.94856
Q1 2030	0.00000	3.27975	1.00000	-1.85729	8,528.94856

Quarter	Capex delta T	CFO delta T	Capital cash delta T	Shares delta M	Gross DPS delta KRW
Q2 2030	0.00000	3.19105	2.33848	-2.02816	11,046.80866
Q3 2030	0.00000	3.10607	1.60338	-2.17937	12,270.47005
Q4 2030	0.00000	3.02354	1.56056	-2.31311	13,474.83620

Long-term agreement price durability - Conditional minus reference price-ceiling bridge

Quarter	Common delta KRW	ADS delta USD
Q4 2026	0.00000	0.00000
Q1 2027	0.00000	0.00000
Q2 2027	27,593.49739	2.96417
Q3 2027	61,395.94361	6.74523
Q4 2027	101,614.17999	10.23346
Q1 2028	136,921.75353	13.78925
Q2 2028	136,984.42805	13.79556
Q3 2028	138,538.11745	13.95203
Q4 2028	140,004.72083	14.09973
Q1 2029	140,860.02430	14.18587
Q2 2029	141,126.54959	14.21271
Q3 2029	140,752.87711	14.17508
Q4 2029	139,805.57322	14.07968
Q1 2030	138,313.84871	13.92945

All monetary operating/cash deltas are KRW T; share deltas are millions of common shares. Positive COGS/opex delta is an added cost. Price-ceiling bridges exclude historical Q3 2026 and unavailable trailing windows. These event bridges must not be summed.

Incremental AI storage and cache tiering - definition

Item	Selected definition
Evidence date	2026-10-28 Seoul / source vintages identified individually
Probability / durability	0.5
Conditional outcome	conditional bit level 2028: 0.02; 2029: 0.04; 2030: 0.06
Bounded outcome	[0, 0.08]
Overlap and nonduplication	Only 25% non-overlap; most AI storage already baseline. Solidigm is already included in consolidated NAND.
Economic transmission	NAND incremental bit levels+.25% 2028,+.5% 2029,+.75% 2030; variable manufacturing costs and opex rise; no independent second storage wallet.

Item	Selected definition
Reference inputs	NAND extra AI storage probability: 0
Conditional inputs	NAND extra AI storage probability: 1
Revision / falsification trigger	Real storage orders, HBF/SALT-KV/CXL commercialization and pricing/cost evidence.

Event source: https://irsvc.teletogether.com/hynix/pdf/hynix2026Q3_eng.pdf?1

Event source: https://news.skhynix.com/en/q3-2026-business-results/

Incremental AI storage and cache tiering - active horizon outcomes

Case	F4 OP T	Shares M	Common KRW	ADS USD	Gross DPS KRW
Reference	602.467	664.120	4,082,243.740	411.119	125,144.947
Conditional	603.071	664.120	4,086,338.914	411.531	125,144.947
Selected	602.769	664.120	4,084,291.327	411.325	125,144.947

Incremental AI storage and cache tiering - annual outcome bridge

Case / year	Revenue T	GP T	Opex T	OP T	CFO T	Capital cash out T
Reference 2027	687.712	618.447	41.266	577.181	445.550	171.498
Reference 2028	725.891	643.902	45.038	598.864	475.880	194.425
Reference 2029	688.866	591.483	44.948	546.535	449.681	181.021
Reference 2030	635.859	521.611	44.247	477.365	411.006	161.731
Conditional 2027	687.712	618.447	41.266	577.181	445.550	171.498
Conditional 2028	726.792	644.763	45.085	599.678	476.456	194.621
Conditional 2029	690.739	593.273	45.047	548.226	450.914	181.542
Conditional 2030	638.646	524.267	44.394	479.873	412.854	162.568
Selected 2027	687.712	618.447	41.266	577.181	445.550	171.498
Selected 2028	726.342	644.333	45.062	599.271	476.168	194.523
Selected 2029	689.802	592.378	44.997	547.381	450.297	181.282
Selected 2030	637.253	522.939	44.320	478.619	411.930	162.149

Incremental AI storage and cache tiering - Selected minus reference operating bridge

Quarter	Revenue delta T	COGS delta T	GP delta T	Opex delta T	OP delta T
Q3 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q2 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q3 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2028	0.10931	0.00475	0.10456	0.00578	0.09878
Q2 2028	0.11144	0.00483	0.10661	0.00589	0.10072
Q3 2028	0.11361	0.00491	0.10870	0.00601	0.10269
Q4 2028	0.11582	0.00500	0.11083	0.00612	0.10470
Q1 2029	0.23263	0.01014	0.22249	0.01230	0.21019
Q2 2029	0.23362	0.01029	0.22333	0.01234	0.21099
Q3 2029	0.23461	0.01044	0.22417	0.01239	0.21178
Q4 2029	0.23561	0.01059	0.22502	0.01244	0.21258
Q1 2030	0.35138	0.01608	0.33530	0.01855	0.31675
Q2 2030	0.34936	0.01627	0.33309	0.01843	0.31465
Q3 2030	0.34735	0.01647	0.33088	0.01832	0.31256
Q4 2030	0.34535	0.01667	0.32868	0.01820	0.31048

Incremental AI storage and cache tiering - Selected minus reference cash and share bridge

Quarter	Capex delta T	CFO delta T	Capital cash delta T	Shares delta M	Gross DPS delta KRW
Q3 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q2 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q3 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2028	0.00000	0.05769	0.00000	0.00000	0.00000
Q2 2028	0.00000	0.07522	0.02374	0.00000	18.42365
Q3 2028	0.00000	0.07669	0.03606	-0.00570	43.09453
Q4 2028	0.00000	0.07819	0.03822	-0.01246	68.93934
Q1 2029	0.00000	0.14013	0.02293	-0.01872	68.93934

Quarter	Capex delta T	CFO delta T	Capital cash delta T	Shares delta M	Gross DPS delta KRW
Q2 2029	0.00000	0.15809	0.08061	-0.02453	144.99692
Q3 2029	0.00000	0.15869	0.07746	-0.03399	200.47958
Q4 2029	0.00000	0.15928	0.07929	-0.04369	257.13378
Q1 2030	0.00000	0.22020	0.04694	-0.05254	257.13378
Q2 2030	0.00000	0.23629	0.13736	-0.06062	395.42769
Q3 2030	0.00000	0.23472	0.11672	-0.07077	481.70184
Q4 2030	0.00000	0.23316	0.11750	-0.08067	568.28808

Incremental AI storage and cache tiering - Selected minus reference price-ceiling bridge

Quarter	Common delta KRW	ADS delta USD
Q4 2026	0.00000	0.00000
Q1 2027	0.00000	0.00000
Q2 2027	537.59012	0.05775
Q3 2027	1,216.51584	0.13365
Q4 2027	2,047.58666	0.20621
Q1 2028	2,805.73308	0.28256
Q2 2028	3,633.50267	0.36593
Q3 2028	4,510.50058	0.45425
Q4 2028	5,404.41565	0.54427
Q1 2029	6,301.30625	0.63460
Q2 2029	7,197.84859	0.72489
Q3 2029	8,101.76647	0.81592
Q4 2029	8,989.97146	0.90537
Q1 2030	9,853.15123	0.99230

Incremental AI storage and cache tiering - Conditional minus reference operating bridge

Quarter	Revenue delta T	COGS delta T	GP delta T	Opex delta T	OP delta T
Q3 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q2 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q3 2027	0.00000	0.00000	0.00000	0.00000	0.00000

Quarter	Revenue delta T	COGS delta T	GP delta T	Opex delta T	OP delta T
Q4 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2028	0.21862	0.00950	0.20912	0.01156	0.19756
Q2 2028	0.22288	0.00966	0.21321	0.01178	0.20143
Q3 2028	0.22722	0.00983	0.21739	0.01201	0.20538
Q4 2028	0.23164	0.00999	0.22165	0.01225	0.20940
Q1 2029	0.46526	0.02028	0.44498	0.02459	0.42039
Q2 2029	0.46724	0.02057	0.44666	0.02469	0.42197
Q3 2029	0.46922	0.02087	0.44835	0.02479	0.42356
Q4 2029	0.47122	0.02118	0.45004	0.02489	0.42515
Q1 2030	0.70276	0.03215	0.67061	0.03710	0.63351
Q2 2030	0.69872	0.03254	0.66618	0.03687	0.62931
Q3 2030	0.69470	0.03294	0.66176	0.03664	0.62512
Q4 2030	0.69071	0.03334	0.65737	0.03641	0.62096

Incremental AI storage and cache tiering - Conditional minus reference cash and share bridge

Quarter	Capex delta T	CFO delta T	Capital cash delta T	Shares delta M	Gross DPS delta KRW
Q3 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q2 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q3 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2028	0.00000	0.11538	0.00000	0.00000	0.00000
Q2 2028	0.00000	0.15044	0.04748	0.00000	36.84729
Q3 2028	0.00000	0.15338	0.07212	-0.01140	86.18950
Q4 2028	0.00000	0.15639	0.07643	-0.02492	137.88016
Q1 2029	0.00000	0.28025	0.04587	-0.03745	137.88016
Q2 2029	0.00000	0.31618	0.16122	-0.04906	290.00145
Q3 2029	0.00000	0.31737	0.15491	-0.06798	400.97302
Q4 2029	0.00000	0.31857	0.15858	-0.08738	514.28971
Q1 2030	0.00000	0.44040	0.09387	-0.10508	514.28971

Quarter	Capex delta T	CFO delta T	Capital cash delta T	Shares delta M	Gross DPS delta KRW
Q2 2030	0.00000	0.47259	0.27472	-0.12124	790.90607
Q3 2030	0.00000	0.46944	0.23345	-0.14154	963.47526
Q4 2030	0.00000	0.46632	0.23500	-0.16135	1,136.67181

Incremental AI storage and cache tiering - Conditional minus reference price-ceiling bridge

Quarter	Common delta KRW	ADS delta USD
Q4 2026	0.00000	0.00000
Q1 2027	0.00000	0.00000
Q2 2027	1,075.18024	0.11550
Q3 2027	2,433.03168	0.26730
Q4 2027	4,095.17333	0.41242
Q1 2028	5,611.46616	0.56513
Q2 2028	7,267.00533	0.73185
Q3 2028	9,021.08249	0.90850
Q4 2028	10,809.04727	1.08857
Q1 2029	12,602.99574	1.26923
Q2 2029	14,396.27739	1.44983
Q3 2029	16,204.44704	1.63193
Q4 2029	17,981.25860	1.81087
Q1 2030	19,708.05083	1.98478

All monetary operating/cash deltas are KRW T; share deltas are millions of common shares. Positive COGS/opex delta is an added cost. Price-ceiling bridges exclude historical Q3 2026 and unavailable trailing windows. These event bridges must not be summed.

Completed prior repurchase scheduled for legal cancellation - definition

Item	Selected definition
Evidence date	2026-10-28 Seoul / source vintages identified individually
Probability / durability	0.99
Conditional outcome	common M: 23.693272; scheduled date: 2026-11-05
Bounded outcome	[23.693272, 23.693272]
Overlap and nonduplication	Already treasury shares are not subtracted twice. Issued fully distributed valuation proxy credited once on scheduled retirement; cash remaining separately modeled.
Economic transmission	Q426 onward share denominator decreases by probability-weighted 23.693272 M; no issuer OP/revenue benefit and no net cash valuation addition.

Item	Selected definition
Reference inputs	prior cancel completion probability: 0
Conditional inputs	prior cancel completion probability: 1
Revision / falsification trigger	Legal cancellation completion or altered schedule.

Event source: https://www.sec.gov/Archives/edgar/data/2120882/000119312526430987/d377510d6ka.htm

Completed prior repurchase scheduled for legal cancellation - active horizon outcomes

Case	F4 OP T	Shares M	Common KRW	ADS USD	Gross DPS KRW
Reference	602.769	687.577	3,944,957.713	397.293	121,631.140
Conditional	602.769	663.883	4,085,748.966	411.472	125,181.681
Selected	602.769	664.120	4,084,291.327	411.325	125,144.947

Completed prior repurchase scheduled for legal cancellation - annual outcome bridge

Case / year	Revenue T	GP T	Opex T	OP T	CFO T	Capital cash out T
Reference 2027	687.712	618.447	41.266	577.181	445.550	171.498
Reference 2028	726.342	644.333	45.062	599.271	476.168	194.523
Reference 2029	689.802	592.378	44.997	547.381	450.297	181.282
Reference 2030	637.253	522.939	44.320	478.619	411.930	162.149
Conditional 2027	687.712	618.447	41.266	577.181	445.550	171.498
Conditional 2028	726.342	644.333	45.062	599.271	476.168	194.523
Conditional 2029	689.802	592.378	44.997	547.381	450.297	181.282
Conditional 2030	637.253	522.939	44.320	478.619	411.930	162.149
Selected 2027	687.712	618.447	41.266	577.181	445.550	171.498
Selected 2028	726.342	644.333	45.062	599.271	476.168	194.523
Selected 2029	689.802	592.378	44.997	547.381	450.297	181.282
Selected 2030	637.253	522.939	44.320	478.619	411.930	162.149

Completed prior repurchase scheduled for legal cancellation - Selected minus reference operating bridge

Quarter	Revenue delta T	COGS delta T	GP delta T	Opex delta T	OP delta T
Q3 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q2 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q3 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2028	0.00000	0.00000	0.00000	0.00000	0.00000
Q2 2028	0.00000	0.00000	0.00000	0.00000	0.00000
Q3 2028	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2028	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2029	0.00000	0.00000	0.00000	0.00000	0.00000
Q2 2029	0.00000	0.00000	0.00000	0.00000	0.00000
Q3 2029	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2029	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2030	0.00000	0.00000	0.00000	0.00000	0.00000
Q2 2030	0.00000	0.00000	0.00000	0.00000	0.00000
Q3 2030	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2030	0.00000	0.00000	0.00000	0.00000	0.00000

Completed prior repurchase scheduled for legal cancellation - Selected minus reference cash and share bridge

Quarter	Capex delta T	CFO delta T	Capital cash delta T	Shares delta M	Gross DPS delta KRW
Q3 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2026	0.00000	0.00000	0.00000	-23.45634	0.00000
Q1 2027	0.00000	0.00000	0.00000	-23.45634	0.00000
Q2 2027	0.00000	0.00000	0.00000	-23.45634	1,545.89604
Q3 2027	0.00000	0.00000	0.00000	-23.45634	2,498.78749
Q4 2027	0.00000	0.00000	0.00000	-23.45634	3,513.80738
Q1 2028	0.00000	0.00000	0.00000	-23.45634	3,513.80738
Q2 2028	0.00000	0.00000	0.00000	-23.45634	5,716.52825
Q3 2028	0.00000	0.00000	0.00000	-23.45634	6,842.79567
Q4 2028	0.00000	0.00000	0.00000	-23.45634	7,990.10168
Q1 2029	0.00000	0.00000	0.00000	-23.45634	7,990.10168

Quarter	Capex delta T	CFO delta T	Capital cash delta T	Shares delta M	Gross DPS delta KRW
Q2 2029	0.00000	0.00000	0.00000	-23.45634	10,313.66269
Q3 2029	0.00000	0.00000	0.00000	-23.45634	11,440.23161
Q4 2029	0.00000	0.00000	0.00000	-23.45634	12,564.25166
Q1 2030	0.00000	0.00000	0.00000	-23.45634	12,564.25166
Q2 2030	0.00000	0.00000	0.00000	-23.45634	14,794.52585
Q3 2030	0.00000	0.00000	0.00000	-23.45634	15,866.47011
Q4 2030	0.00000	0.00000	0.00000	-23.45634	16,916.91373

Completed prior repurchase scheduled for legal cancellation - Selected minus reference price-ceiling bridge

Quarter	Common delta KRW	ADS delta USD
Q4 2026	74,212.32186	7.47385
Q1 2027	90,144.50509	9.41460
Q2 2027	106,411.12936	11.43099
Q3 2027	122,816.02445	13.49310
Q4 2027	139,333.61444	14.03215
Q1 2028	143,375.19999	14.43917
Q2 2028	145,400.57487	14.64315
Q3 2028	146,643.54894	14.76832
Q4 2028	147,129.56157	14.81727
Q1 2029	146,820.45164	14.78614
Q2 2029	145,883.51931	14.69178
Q3 2029	144,107.19260	14.51289
Q4 2029	141,647.39868	14.26517
Q1 2030	138,540.91650	13.95232

Completed prior repurchase scheduled for legal cancellation - Conditional minus reference operating bridge

Quarter	Revenue delta T	COGS delta T	GP delta T	Opex delta T	OP delta T
Q3 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q2 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q3 2027	0.00000	0.00000	0.00000	0.00000	0.00000

Quarter	Revenue delta T	COGS delta T	GP delta T	Opex delta T	OP delta T
Q4 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2028	0.00000	0.00000	0.00000	0.00000	0.00000
Q2 2028	0.00000	0.00000	0.00000	0.00000	0.00000
Q3 2028	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2028	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2029	0.00000	0.00000	0.00000	0.00000	0.00000
Q2 2029	0.00000	0.00000	0.00000	0.00000	0.00000
Q3 2029	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2029	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2030	0.00000	0.00000	0.00000	0.00000	0.00000
Q2 2030	0.00000	0.00000	0.00000	0.00000	0.00000
Q3 2030	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2030	0.00000	0.00000	0.00000	0.00000	0.00000

Completed prior repurchase scheduled for legal cancellation - Conditional minus reference cash and share bridge

Quarter	Capex delta T	CFO delta T	Capital cash delta T	Shares delta M	Gross DPS delta KRW
Q3 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2026	0.00000	0.00000	0.00000	-23.69327	0.00000
Q1 2027	0.00000	0.00000	0.00000	-23.69327	0.00000
Q2 2027	0.00000	0.00000	0.00000	-23.69327	1,562.04827
Q3 2027	0.00000	0.00000	0.00000	-23.69327	2,524.90212
Q4 2027	0.00000	0.00000	0.00000	-23.69327	3,550.54065
Q1 2028	0.00000	0.00000	0.00000	-23.69327	3,550.54065
Q2 2028	0.00000	0.00000	0.00000	-23.69327	5,776.33278
Q3 2028	0.00000	0.00000	0.00000	-23.69327	6,914.40311
Q4 2028	0.00000	0.00000	0.00000	-23.69327	8,073.73857
Q1 2029	0.00000	0.00000	0.00000	-23.69327	8,073.73857
Q2 2029	0.00000	0.00000	0.00000	-23.69327	10,421.68395
Q3 2029	0.00000	0.00000	0.00000	-23.69327	11,560.08002
Q4 2029	0.00000	0.00000	0.00000	-23.69327	12,695.90452
Q1 2030	0.00000	0.00000	0.00000	-23.69327	12,695.90452

Quarter	Capex delta T	CFO delta T	Capital cash delta T	Shares delta M	Gross DPS delta KRW
Q2 2030	0.00000	0.00000	0.00000	-23.69327	14,949.61494
Q3 2030	0.00000	0.00000	0.00000	-23.69327	16,032.82625
Q4 2030	0.00000	0.00000	0.00000	-23.69327	17,094.31340

Completed prior repurchase scheduled for legal cancellation - Conditional minus reference price-ceiling bridge

Quarter	Common delta KRW	ADS delta USD
Q4 2026	74,987.06996	7.55187
Q1 2027	91,085.87168	9.51291
Q2 2027	107,522.96130	11.55043
Q3 2027	124,100.05676	13.63417
Q4 2027	140,791.25363	14.17895
Q1 2028	144,876.03347	14.59032
Q2 2028	146,923.49821	14.79652
Q3 2028	148,180.32355	14.92309
Q4 2028	148,672.20924	14.97263
Q1 2029	148,360.57844	14.94124
Q2 2029	147,414.47872	14.84596
Q3 2029	145,620.08506	14.66525
Q4 2029	143,134.97863	14.41498
Q1 2030	139,996.32557	14.09889

All monetary operating/cash deltas are KRW T; share deltas are millions of common shares. Positive COGS/opex delta is an added cost. Price-ceiling bridges exclude historical Q3 2026 and unavailable trailing windows. These event bridges must not be summed.

New and owner-assumed future shareholder repurchases - definition

Item	Selected definition
Evidence date	2026-10-28 Seoul / source vintages identified individually
Probability / durability	0.9
Conditional outcome	initial return budget T: 10; future budget to positive FCF: 0.295; cash lags: [1, 2]; retirement lag: 2
Bounded outcome	[0, 1]
Overlap and nonduplication	Only~10 T shareholder-return leg retires;~10.00772 T compensation leg uses cash in the capital schedule and receives zero retirement credit. Future budgets associated with earnings once.

Item	Selected definition
Economic transmission	Full cash budgets 70/30 after earnings; expected shares retired after final purchase. Independent spending-quarter execution references start 1.341 M and grow 10% quarterly;70/30 cash-weighted effectivecohortprice. Earnings remain unchanged by capitalreturn assumptions.
Reference inputs	new cancel completion probability: 0; future buyback cancellation completion probability: 0
Conditional inputs	new cancel completion probability: 1; future buyback cancellation completion probability: 1
Revision / falsification trigger	Board budgets, execution cost/quantity, legal retirement vs compensation allocation.

Event source: https://news.skhynix.com/en/q3-2026-business-results/

Event source: https://irsvc.teletogether.com/hynix/pdf/hynix2026Q3_eng.pdf?1

Event source: https://dart.fss.or.kr/dsaf001/main.do?rcpNo=20261028000014

New and owner-assumed future shareholder repurchases - active horizon outcomes

Case	F4 OP T	Shares M	Common KRW	ADS USD	Gross DPS KRW
Reference	602.769	707.036	3,836,382.073	386.358	120,915.092
Conditional	602.769	659.352	4,113,828.886	414.300	125,640.198
Selected	602.769	664.120	4,084,291.327	411.325	125,144.947

New and owner-assumed future shareholder repurchases - annual outcome bridge

Case / year	Revenue T	GP T	Opex T	OP T	CFO T	Capital cash out T
Reference 2027	687.712	618.447	41.266	577.181	445.550	171.498
Reference 2028	726.342	644.333	45.062	599.271	476.168	194.523
Reference 2029	689.802	592.378	44.997	547.381	450.297	181.282
Reference 2030	637.253	522.939	44.320	478.619	411.930	162.149
Conditional 2027	687.712	618.447	41.266	577.181	445.550	171.498
Conditional 2028	726.342	644.333	45.062	599.271	476.168	194.523
Conditional 2029	689.802	592.378	44.997	547.381	450.297	181.282
Conditional 2030	637.253	522.939	44.320	478.619	411.930	162.149
Selected 2027	687.712	618.447	41.266	577.181	445.550	171.498
Selected 2028	726.342	644.333	45.062	599.271	476.168	194.523
Selected 2029	689.802	592.378	44.997	547.381	450.297	181.282
Selected 2030	637.253	522.939	44.320	478.619	411.930	162.149

New and owner-assumed future shareholder repurchases - Selected minus reference operating bridge

Quarter	Revenue delta T	COGS delta T	GP delta T	Opex delta T	OP delta T
Q3 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q2 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q3 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2028	0.00000	0.00000	0.00000	0.00000	0.00000
Q2 2028	0.00000	0.00000	0.00000	0.00000	0.00000
Q3 2028	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2028	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2029	0.00000	0.00000	0.00000	0.00000	0.00000
Q2 2029	0.00000	0.00000	0.00000	0.00000	0.00000
Q3 2029	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2029	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2030	0.00000	0.00000	0.00000	0.00000	0.00000
Q2 2030	0.00000	0.00000	0.00000	0.00000	0.00000
Q3 2030	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2030	0.00000	0.00000	0.00000	0.00000	0.00000

New and owner-assumed future shareholder repurchases - Selected minus reference cash and share bridge

Quarter	Capex delta T	CFO delta T	Capital cash delta T	Shares delta M	Gross DPS delta KRW
Q3 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2027	0.00000	0.00000	0.00000	-6.71141	0.00000
Q2 2027	0.00000	0.00000	0.00000	-17.98289	1,194.34178
Q3 2027	0.00000	0.00000	0.00000	-30.57410	2,423.88190
Q4 2027	0.00000	0.00000	0.00000	-42.91584	4,229.85547
Q1 2028	0.00000	0.00000	0.00000	-54.44218	4,229.85547
Q2 2028	0.00000	0.00000	0.00000	-65.13010	9,985.54832
Q3 2028	0.00000	0.00000	0.00000	-74.74920	13,314.28981
Q4 2028	0.00000	0.00000	0.00000	-83.47411	17,050.62473
Q1 2029	0.00000	0.00000	0.00000	-91.33648	17,050.62473

Quarter	Capex delta T	CFO delta T	Capital cash delta T	Shares delta M	Gross DPS delta KRW
Q2 2029	0.00000	0.00000	0.00000	-98.42443	25,766.66008
Q3 2029	0.00000	0.00000	0.00000	-104.52817	30,211.32303
Q4 2029	0.00000	0.00000	0.00000	-109.95031	34,835.55863
Q1 2030	0.00000	0.00000	0.00000	-114.78190	34,835.55863
Q2 2030	0.00000	0.00000	0.00000	-119.08765	44,627.12074
Q3 2030	0.00000	0.00000	0.00000	-122.86018	49,452.39884
Q4 2030	0.00000	0.00000	0.00000	-126.17673	54,282.03121

New and owner-assumed future shareholder repurchases - Selected minus reference price-ceiling bridge

Quarter	Common delta KRW	ADS delta USD
Q4 2026	0.00000	0.00000
Q1 2027	26,403.30935	2.75753
Q2 2027	82,212.03400	8.83146
Q3 2027	158,472.64623	17.41049
Q4 2027	247,909.25419	24.96669
Q1 2028	318,190.12786	32.04461
Q2 2028	379,930.59508	38.26243
Q3 2028	433,412.57519	43.64854
Q4 2028	479,144.46089	48.25416
Q1 2029	516,815.88810	52.04801
Q2 2029	547,231.55832	55.11114
Q3 2029	568,547.46065	57.25784
Q4 2029	582,739.55520	58.68711
Q1 2030	590,372.62154	59.45583

New and owner-assumed future shareholder repurchases - Conditional minus reference operating bridge

Quarter	Revenue delta T	COGS delta T	GP delta T	Opex delta T	OP delta T
Q3 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q2 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q3 2027	0.00000	0.00000	0.00000	0.00000	0.00000

Quarter	Revenue delta T	COGS delta T	GP delta T	Opex delta T	OP delta T
Q4 2027	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2028	0.00000	0.00000	0.00000	0.00000	0.00000
Q2 2028	0.00000	0.00000	0.00000	0.00000	0.00000
Q3 2028	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2028	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2029	0.00000	0.00000	0.00000	0.00000	0.00000
Q2 2029	0.00000	0.00000	0.00000	0.00000	0.00000
Q3 2029	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2029	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2030	0.00000	0.00000	0.00000	0.00000	0.00000
Q2 2030	0.00000	0.00000	0.00000	0.00000	0.00000
Q3 2030	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2030	0.00000	0.00000	0.00000	0.00000	0.00000

New and owner-assumed future shareholder repurchases - Conditional minus reference cash and share bridge

Quarter	Capex delta T	CFO delta T	Capital cash delta T	Shares delta M	Gross DPS delta KRW
Q3 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q4 2026	0.00000	0.00000	0.00000	0.00000	0.00000
Q1 2027	0.00000	0.00000	0.00000	-7.45712	0.00000
Q2 2027	0.00000	0.00000	0.00000	-19.98099	1,330.90575
Q3 2027	0.00000	0.00000	0.00000	-33.97123	2,703.95676
Q4 2027	0.00000	0.00000	0.00000	-47.68426	4,725.10604
Q1 2028	0.00000	0.00000	0.00000	-60.49131	4,725.10604
Q2 2028	0.00000	0.00000	0.00000	-72.36678	11,193.24035
Q3 2028	0.00000	0.00000	0.00000	-83.05467	14,941.07203
Q4 2028	0.00000	0.00000	0.00000	-92.74901	19,155.23705
Q1 2029	0.00000	0.00000	0.00000	-101.48498	19,155.23705
Q2 2029	0.00000	0.00000	0.00000	-109.36048	29,016.92390
Q3 2029	0.00000	0.00000	0.00000	-116.14241	34,052.50669
Q4 2029	0.00000	0.00000	0.00000	-122.16701	39,297.86923
Q1 2030	0.00000	0.00000	0.00000	-127.53544	39,297.86923

Quarter	Capex delta T	CFO delta T	Capital cash delta T	Shares delta M	Gross DPS delta KRW
Q2 2030	0.00000	0.00000	0.00000	-132.31961	50,427.86675
Q3 2030	0.00000	0.00000	0.00000	-136.51131	55,917.57130
Q4 2030	0.00000	0.00000	0.00000	-140.19637	61,416.55308

New and owner-assumed future shareholder repurchases - Conditional minus reference price-ceiling bridge

Quarter	Common delta KRW	ADS delta USD
Q4 2026	0.00000	0.00000
Q1 2027	29,368.28201	3.06719
Q2 2027	91,612.35965	9.84127
Q3 2027	176,969.44046	19.44263
Q4 2027	277,446.81304	27.94139
Q1 2028	356,852.38179	35.93824
Q2 2028	426,958.52335	42.99856
Q3 2028	487,979.43051	49.14392
Q4 2028	540,420.99129	54.42525
Q1 2029	583,863.62649	58.80032
Q2 2029	619,160.66770	62.35505
Q3 2029	644,136.08855	64.87030
Q4 2029	661,013.08457	66.56996
Q1 2030	670,406.03917	67.51592

All monetary operating/cash deltas are KRW T; share deltas are millions of common shares. Positive COGS/opex delta is an added cost. Price-ceiling bridges exclude historical Q3 2026 and unavailable trailing windows. These event bridges must not be summed.

Other explicitly considered cases

Owner NAND price scenario

Item	Definition / treatment
Probability	1
Conditional outcome	Q4 2026 ASP growth: 0.2; Q1 2027 ASP growth: 0.15; remaining 2027 growth: 0
Bounds	Q4 2026 industry forecast: [0.15, 0.2]; Q1 2027 owner scenario sensitivity: See the permanent memory-price-level diagnostics; no additional probability haircut.
Economic transmission	NAND ASP index multiplies delivered bits; physical manufacturing, variable cost, opex, tax, cash and return budgets remain linked. Later negative price growth remains explicit.
Overlap	Applied once to NAND price index; not another Solidigm/AI-storage revenue addition.
Source	https://www.trendforce.com/presscenter/news/20260930-13258.html
Revision trigger	Realized NAND ASP, contract lag, bit mix and owner scenario changes.

Owner recurring cash-return scenario

Item	Definition / treatment
Probability	1
Conditional outcome	ordinary dividend cash to positive FCF: 0.205; shareholder buyback cash to positive FCF: 0.295
Bounds	Owner scenario. Diagnostics vary total payout and dividend/buyback allocation.
Economic transmission	Ordinary pool=20.5% ofpositiveFCF. Buybackbudget=29.5% ofpositiveFCF. Payment, acquisition and cancellation follow their modeled lags.
Overlap	No second revenue or cash addition.
Source	Owner confirmed October 28:50% ofpositiveFCF,41% dividend/59% buyback split. Current commitments countonce.
Revision trigger	Owner changes or actual board declarations.

Current declared dividend eligibility

Item	Definition / treatment
Probability	1
Conditional outcome	ordinary DPS KRW: 10000; known special DPS KRW: 10000; total once KRW: 20000; record: 2026-11-30; payment: Within 1 month, exact day not announced
Bounds	[0, 20000]
Economic transmission	Gross entitlement counts once if held through relevant settled record. Current special retained once; all future unannounced Kioxia specials 0. ADS net FX/tax/fees/date unknown.
Overlap	No second revenue or cash addition.
Source	https://dart.fss.or.kr/dsaf001/main.do?rcpNo=20261028800045
Revision trigger	Eligibility/ex-date/record changes; depositary notice.

Affiliate construction advances

Item	Definition / treatment
Probability	0.9
Conditional outcome	reported advance T: 4.2462; extra active revenue T: 0; extra active capex T: 0
Bounds	Advance overlaps selected Q4 2026 capex of 16 T; unknown incremental unit capacity. Extra cash-outflow diagnostic may be evaluated separately.
Economic transmission	No added wafers/units until timing/capacity economics quantified; avoids double counting already budgeted construction.
Overlap	No second revenue or cash addition.
Source	Preserved primary native filing and source factpack.
Revision trigger	Incremental project/capacity, construction timing and budget overlap clarified.

Unspecified future DRAM architecture

Item	Definition / treatment
Probability	0.1
Conditional outcome	incremental active revenue T: 0
Bounds	No quantifiable node/wafer/yield/service timing available.
Economic transmission	No financial increment selected because physical transmission cannot yet be bounded; probability recorded with its explicit economic bounds.
Overlap	No second revenue or cash addition.
Source	Current source discussion; no numerical capacity/yield terms.
Revision trigger	Node, wafer allocation, yield, price and service-start economics.

Solidigm IPO review discontinued

Item	Definition / treatment
Probability	1
Conditional outcome	IPO proceeds T: 0; additional NAND pool T: 0
Bounds	[0, 0]
Economic transmission	No IPO financing inflow; existing NAND contribution remains consolidated once.
Overlap	No second revenue or cash addition.
Source	https://news.skhynix.com/en/q3-2026-business-results/
Revision trigger	New formal financing plan.

Sensitivity tests and financial confidence

Financial forecast confidence is LOW. High modeled margins and future OP depend on sustained pricing, shipment growth, cost restraint and allocation estimates; current consolidated profit calibration alone does not validate forward ASPs. The following seventeen cases each rerun the linked model. Each case changes one assumption group and reruns the full model.

All diagnostic active-horizon outcomes

Case	F4 OP T	Shares M	Common KRW	ADS USD	Gross DPS KRW
Selected baseline	602.769	664.120	4,084,291.327	411.325	125,144.947
HBM mix 8% of DRAM	597.075	664.216	4,045,126.694	407.381	124,756.320
HBM mix 15% of DRAM	607.038	664.048	4,113,666.480	414.283	125,436.273
Q1 2028 memory price level -10%	551.396	664.120	3,736,197.309	376.269	125,144.947
Q1 2028 memory price level -20%	500.024	664.120	3,388,103.291	341.212	125,144.947
Repurchase execution price 0.5x	602.769	621.204	4,366,454.149	439.741	129,804.748
Repurchase execution price 2x	602.769	685.578	3,956,457.043	398.451	122,980.479
Positive FCF payout 0	602.769	700.325	3,873,147.210	390.061	20,000.000
Positive FCF payout 0.25	602.769	682.222	3,975,918.001	400.411	71,740.850
Positive FCF payout 1	602.769	627.916	4,319,783.779	435.041	237,362.134
Dividend share of payout 0	602.769	638.961	4,245,109.731	427.521	20,000.000
Dividend share of payout 1	602.769	700.325	3,873,147.210	390.061	268,493.146
Dividend share of payout 0.75	602.769	684.984	3,959,890.001	398.797	208,842.121
All cancellation completion 0%	602.769	730.492	3,713,194.640	373.952	117,674.677
All cancellation completion 100%	602.769	659.115	4,115,307.689	414.448	125,677.280
Current dividend ineligible	602.769	664.120	4,084,291.327	411.325	105,144.947
FX 1,326 KRW/USD	602.769	664.120	4,084,291.327	462.024	125,144.947

All diagnostic funding outcomes

Case	Minimum cash T	Minimum net cash T
Selected baseline	147.168	131.368
HBM mix 8% of DRAM	147.212	131.412
HBM mix 15% of DRAM	147.135	131.335
Q1 2028 memory price level -10%	147.168	131.368
Q1 2028 memory price level -20%	147.168	131.368
Repurchase execution price 0.5x	147.168	131.368

Case	Minimum cash T	Minimum net cash T
Repurchase execution price 2x	147.168	131.368
Positive FCF payout 0	147.168	131.368
Positive FCF payout 0.25	147.168	131.368
Positive FCF payout 1	147.168	131.368
Dividend share of payout 0	147.168	131.368
Dividend share of payout 1	147.168	131.368
Dividend share of payout 0.75	147.168	131.368
All cancellation completion 0%	147.168	131.368
All cancellation completion 100%	147.168	131.368
Current dividend ineligible	147.168	131.368
FX 1,326 KRW/USD	147.168	131.368

Selected baseline: Parameter change: Baseline inputs, or explicit case-specific driver change described in the case.

HBM mix 8% of DRAM: Dynamic D&A and Q426 conventional bit growth both recalculate; not a product disclosure. Parameter change: HBM fraction of DRAM revenue proxy: 0.08

HBM mix 15% of DRAM: Dynamic D&A and Q426 conventional bit growth both recalculate; not a product disclosure. Parameter change: HBM fraction of DRAM revenue proxy: 0.15

Q1 2028 memory price level -10%: One Q128 level shock then original subsequent growth; costs, opex, cash, repurchases, shares and dividends fully recalculate. Parameter change: Baseline inputs, or explicit case-specific driver change described in the case.

Q1 2028 memory price level -20%: One Q128 level shock then original subsequent growth; costs, opex, cash, repurchases, shares and dividends fully recalculate. Parameter change: Baseline inputs, or explicit case-specific driver change described in the case.

Repurchase execution price 0.5x: Capital-budget reference only; not a target/entry price. Full cash budget unchanged, share count responds. Parameter change: new cancel execution reference KRW: 670500

Repurchase execution price 2x: Capital-budget reference only; not a target/entry price. Full cash budget unchanged, share count responds. Parameter change: new cancel execution reference KRW: 2682000

Positive FCF payout 0: Known commitments remain. Future earning cohorts use the selected positive-FCF payout. Parameter change: positive FCF payout fraction: 0

Positive FCF payout 0.25: Known commitments remain. Future earning cohorts use the selected positive-FCF payout. Parameter change: positive FCF payout fraction: 0.25

Positive FCF payout 1: Known commitments remain. Future earning cohorts use the selected positive-FCF payout. Parameter change: positive FCF payout fraction: 1

Dividend share of payout 0: Total payout remains 50% ofpositiveFCF; allocation changes dividend income, buyback retirement and cash timing. Parameter change: dividend fraction of payout: 0; buyback fraction of payout: 1

Dividend share of payout 1: Total payout remains 50% ofpositiveFCF; allocation changes dividend income, buyback retirement and cash timing. Parameter change: dividend fraction of payout: 1; buyback fraction of payout: 0

Dividend share of payout 0.75: Total payout remains 50% ofpositiveFCF; allocation changes dividend income, buyback retirement and cash timing. Parameter change: dividend fraction of payout: 0.75; buyback fraction of payout: 0.25

All cancellation completion 0%: Cash budgets remain full; only expected legal retirement/share denominator changes. Parameter change: prior cancel completion probability: 0; new cancel completion probability: 0; future buyback cancellation completion probability: 0

All cancellation completion 100%: Cash budgets remain full; only expected legal retirement/share denominator changes. Parameter change: prior cancel completion probability: 1; new cancel completion probability: 1; future buyback cancellation completion probability: 1

Current dividend ineligible: Issuer current dividend cash still paid; investor gross entitlement excludes declared 20k; no future special. Parameter change: assumed declared holder eligibility: 0

FX 1,326 KRW/USD: Diagnostic only. Protected owner valuation FX1489.44 retained in selected model; actual depositary FX unknown. Parameter change: fixed KRW per USD: 1326

Diagnostic annual revenue / OP - KRW T

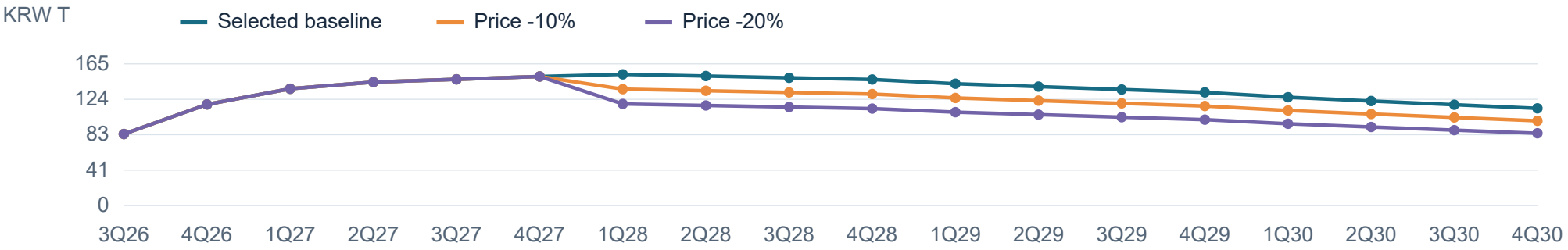
Case / year	Revenue	GP	Opex	OP	CFO	Capital cash out
Selected baseline / 2027	687.712	618.447	41.266	577.181	445.550	171.498
Selected baseline / 2028	726.342	644.333	45.062	599.271	476.168	194.523
Selected baseline / 2029	689.802	592.378	44.997	547.381	450.297	181.282
Selected baseline / 2030	637.253	522.939	44.320	478.619	411.930	162.149
HBM mix 8% of DRAM / 2027	684.324	615.348	41.082	574.265	443.541	170.917
HBM mix 8% of DRAM / 2028	718.715	637.212	44.664	592.549	471.297	192.539
HBM mix 8% of DRAM / 2029	679.455	582.685	44.457	538.228	443.514	178.116
HBM mix 8% of DRAM / 2030	625.759	512.185	43.720	468.466	404.336	158.417
HBM mix 15% of DRAM / 2027	690.253	620.770	41.404	579.367	447.056	171.933
HBM mix 15% of DRAM / 2028	732.062	649.672	45.360	604.312	479.821	196.011
HBM mix 15% of DRAM / 2029	697.563	599.647	45.403	554.244	455.385	183.656
HBM mix 15% of DRAM / 2030	645.874	531.003	44.770	486.233	417.625	164.948
Q1 2028 memory price level -10% / 2027	687.712	618.447	41.266	577.181	445.550	171.498
Q1 2028 memory price level -10% / 2028	654.126	572.117	41.150	530.967	427.625	177.739
Q1 2028 memory price level -10% / 2029	621.240	523.816	41.284	482.532	401.495	156.438
Q1 2028 memory price level -10% / 2030	573.946	459.632	40.891	418.741	366.803	138.993

Case / year	Revenue	GP	Opex	OP	CFO	Capital cash out
Q1 2028 memory price level -20% / 2027	687.712	618.447	41.266	577.181	445.550	171.498
Q1 2028 memory price level -20% / 2028	581.910	499.901	37.239	462.662	379.082	160.956
Q1 2028 memory price level -20% / 2029	552.679	455.254	37.570	417.684	352.693	131.595
Q1 2028 memory price level -20% / 2030	510.639	396.325	37.462	358.863	321.676	115.836
Repurchase execution price 0.5x / 2027	687.712	618.447	41.266	577.181	445.550	171.498
Repurchase execution price 0.5x / 2028	726.342	644.333	45.062	599.271	476.168	194.523
Repurchase execution price 0.5x / 2029	689.802	592.378	44.997	547.381	450.297	181.282
Repurchase execution price 0.5x / 2030	637.253	522.939	44.320	478.619	411.930	162.149
Repurchase execution price 2x / 2027	687.712	618.447	41.266	577.181	445.550	171.498
Repurchase execution price 2x / 2028	726.342	644.333	45.062	599.271	476.168	194.523
Repurchase execution price 2x / 2029	689.802	592.378	44.997	547.381	450.297	181.282
Repurchase execution price 2x / 2030	637.253	522.939	44.320	478.619	411.930	162.149
Positive FCF payout 0 / 2027	687.712	618.447	41.266	577.181	445.550	6.002
Positive FCF payout 0 / 2028	726.342	644.333	45.062	599.271	476.168	0.000
Positive FCF payout 0 / 2029	689.802	592.378	44.997	547.381	450.297	0.000
Positive FCF payout 0 / 2030	637.253	522.939	44.320	478.619	411.930	0.000
Positive FCF payout 0.25 / 2027	687.712	618.447	41.266	577.181	445.550	88.750
Positive FCF payout 0.25 / 2028	726.342	644.333	45.062	599.271	476.168	97.261
Positive FCF payout 0.25 / 2029	689.802	592.378	44.997	547.381	450.297	90.641
Positive FCF payout 0.25 / 2030	637.253	522.939	44.320	478.619	411.930	81.075
Positive FCF payout 1 / 2027	687.712	618.447	41.266	577.181	445.550	336.993
Positive FCF payout 1 / 2028	726.342	644.333	45.062	599.271	476.168	389.046
Positive FCF payout 1 / 2029	689.802	592.378	44.997	547.381	450.297	362.563
Positive FCF payout 1 / 2030	637.253	522.939	44.320	478.619	411.930	324.299
Dividend share of payout 0 / 2027	687.712	618.447	41.266	577.181	445.550	165.570
Dividend share of payout 0 / 2028	726.342	644.333	45.062	599.271	476.168	194.531
Dividend share of payout 0 / 2029	689.802	592.378	44.997	547.381	450.297	181.875
Dividend share of payout 0 / 2030	637.253	522.939	44.320	478.619	411.930	162.760
Dividend share of payout 1 / 2027	687.712	618.447	41.266	577.181	445.550	180.028
Dividend share of payout 1 / 2028	726.342	644.333	45.062	599.271	476.168	194.512
Dividend share of payout 1 / 2029	689.802	592.378	44.997	547.381	450.297	180.427
Dividend share of payout 1 / 2030	637.253	522.939	44.320	478.619	411.930	161.271

Case / year	Revenue	GP	Opex	OP	CFO	Capital cash out
Dividend share of payout 0.75 / 2027	687.712	618.447	41.266	577.181	445.550	176.414
Dividend share of payout 0.75 / 2028	726.342	644.333	45.062	599.271	476.168	194.517
Dividend share of payout 0.75 / 2029	689.802	592.378	44.997	547.381	450.297	180.789
Dividend share of payout 0.75 / 2030	637.253	522.939	44.320	478.619	411.930	161.643
All cancellation completion 0% / 2027	687.712	618.447	41.266	577.181	445.550	171.498
All cancellation completion 0% / 2028	726.342	644.333	45.062	599.271	476.168	194.523
All cancellation completion 0% / 2029	689.802	592.378	44.997	547.381	450.297	181.282
All cancellation completion 0% / 2030	637.253	522.939	44.320	478.619	411.930	162.149
All cancellation completion 100% / 2027	687.712	618.447	41.266	577.181	445.550	171.498
All cancellation completion 100% / 2028	726.342	644.333	45.062	599.271	476.168	194.523
All cancellation completion 100% / 2029	689.802	592.378	44.997	547.381	450.297	181.282
All cancellation completion 100% / 2030	637.253	522.939	44.320	478.619	411.930	162.149
Current dividend ineligible / 2027	687.712	618.447	41.266	577.181	445.550	171.498
Current dividend ineligible / 2028	726.342	644.333	45.062	599.271	476.168	194.523
Current dividend ineligible / 2029	689.802	592.378	44.997	547.381	450.297	181.282
Current dividend ineligible / 2030	637.253	522.939	44.320	478.619	411.930	162.149
FX 1,326 KRW/USD / 2027	687.712	618.447	41.266	577.181	445.550	171.498
FX 1,326 KRW/USD / 2028	726.342	644.333	45.062	599.271	476.168	194.523
FX 1,326 KRW/USD / 2029	689.802	592.378	44.997	547.381	450.297	181.282
FX 1,326 KRW/USD / 2030	637.253	522.939	44.320	478.619	411.930	162.149

A permanent 20% reduction in the all-memory price level from Q1 2028 reduces active F4 OP from 602.769 T to 500.024 T. The common ceiling falls from KRW 4,084,291 to 3,388,103, and the ADS ceiling from USD 411.32 to 341.21. The 8-15% HBM mix diagnostics change the allocation of a fixed consolidated Q3 anchor; their narrower outcome range does not validate forward prices.

Price-level stress - quarterly operating profit



Permanent price-level shocks start Q1 2028; future return budgets and share counts respond. Full quarterly OP values follow. No extra volume or cost-offset assumption is added.

Price-level stress - quarterly operating profit - complete values

Quarter	Selected baseline	Price -10%	Price -20%
Q3 2026	83.334	83.334	83.334
Q4 2026	117.822	117.822	117.822
Q1 2027	136.062	136.062	136.062
Q2 2027	143.798	143.798	143.798
Q3 2027	147.011	147.011	147.011
Q4 2027	150.309	150.309	150.309
Q1 2028	152.816	135.589	118.362
Q2 2028	150.845	133.724	116.602
Q3 2028	148.798	131.775	114.751
Q4 2028	146.811	129.879	112.948
Q1 2029	141.878	125.333	108.787
Q2 2029	138.534	122.215	105.896
Q3 2029	135.149	119.050	102.951
Q4 2029	131.820	115.935	100.050
Q1 2030	126.161	110.723	95.284
Q2 2030	121.772	106.652	91.532
Q3 2030	117.461	102.650	87.840
Q4 2030	113.225	98.716	84.207

Analytical score and protected Excel control

Analytical framework score

Category	Points
Core	19
Cycle	10
TAM	10
Catalysts	5
Macro	10
Alpha	2
Risks	-3
Total /60	53
Rounded analytical percent	88
Protected owner Excel Base - common	90
Protected owner Excel Base - ADS	90

The analytical score is 53/60, rounded 88. The two protected Excel Bases remain 90 under independent owner overrides. A manual Base is not automatically changed to match the analytical score, and the earnings thesis does not require a forced score upgrade.

Primary and supporting source register

Source dates identify the underlying evidence. The stated call and source completeness gaps remain. Current financial results are preliminary. Official company/product claims, third-party industry estimates, selected call reports, publisher transcripts and analytical proxies are distinguished at their point of use. All essential model derivations and values are included in this report; links provide supporting provenance.

S01 - SK hynix Q3 2026 preliminary results

Date: 2026-10-28. Issuer; full main release read; original HTML preserved.

https://news.skhynix.com/en/q3-2026-business-results/

S02 - Official Q3 earnings presentation

Date: 2026-10-28. Issuer-linked 20-page presentation. Operating exhibits and financial tables reviewed; results remain preliminary.

https://irsvc.teletogether.com/hynix/pdf/hynix2026Q3_eng.pdf?1

S03 - Current call report: HBM requests and stack height

Date: 2026-10-28. Korean journalist direct-call report; not full issuer transcript.

https://www.inews24.com/view/2019777

S04 - Current call report: demand visibility through 2029

Date: 2026-10-28. Korean journalist direct-call report; signed/discussed demand distinguished.

https://www.inews24.com/view/2019751

S05 - Current call report:2027 HBM terms

Date: 2026-10-28. Korean journalist direct-call report.

https://www.inews24.com/view/2019745

S06 - Current call report: custom HBM and yields

Date: 2026-10-28. Korean journalist direct-call report; management claims not independent measured yield.

https://www.inews24.com/view/2019764

S07 - Current call report: capex flexibility

Date: 2026-10-28. Korean journalist direct-call report.

https://www.inews24.com/view/2019761

S08 - Current call report: KV cache/NAND hierarchy

Date: 2026-10-28. Original Korean article preserved; full main article read.

https://www.inews24.com/view/2019795

S09 - Current call report:4F2/3D DRAM readiness

Date: 2026-10-28. Korean journalist direct-call report.

https://www.inews24.com/view/2019779

S10 - Current call report: AI investment durability

Date: 2026-10-28. Korean journalist direct-call report; quoted external growth figures not independently verified.

https://www.inews24.com/view/2019733

S11 - Q2 2026 earnings call transcript

Date: 2026-07-29 Seoul event. Complete publisher transcript reviewed, including prepared remarks, Q&A and closing. Not issuer-authenticated or independently checked against replay audio.

https://www.investing.com/news/transcripts/earnings-call-transcript-sk-hynix-posts-record-q2-2026-results-as-shares-fall-93CH-4818480

S12 - TrendForce HBM2027 pricing forecast

Date: 2026-09-29. Original research forecast; both native and English preserved/read.

https://www.trendforce.com/presscenter/news/20260929-13255.html

S13 - TrendForce Q4 2026 contract prices

Date: 2026-09-30. Original research forecast; both native and English preserved/read.

https://www.trendforce.com/presscenter/news/20260930-13258.html

S14 - TrendForce 2027 annual memory market forecast

Date: 2026-05-29. Original research; older annual forecast vintage; not latest validated October denominator.

https://www.trendforce.com/presscenter/news/20260529-13068.html

S15 - Gartner semiconductor forecast

Date: 2026-08-24. Official web text and table captured; original-page download returned 403. This source uses a broader memory-market definition.

https://www.gartner.com/en/newsroom/press-releases/2026-08-24-gartner-forecasts-worldwide-semiconductor-revenue-to-reach-1-trillion-dollars-in-2026

S16 - TrendForce Q2 branded DRAM ranking

Date: 2026-09-07. Original research; actual quarter estimate; full visible table reviewed.

https://www.trendforce.com/presscenter/news/20260907-13219.html

S17 - TrendForce Q2 NAND ranking, native

Date: 2026-08-18. Original research and quarterly estimate. Full visible table reviewed; the top-five supplier total is distinguished from the wider market.

https://www.trendforce.com.tw/presscenter/news/20260818-13185.html

S18 - TrendForce newer annual supplier forecast report

Date: 2026-10-01. Public native-language summary reviewed and preserved. The full seven-page numerical report requires login and was not read.

https://www.trendforce.com.tw/research/download/RP260929YM

S19 - DART Q3 cash dividend decision

Date: 2026-10-28. Full native-language filing table and footnotes reviewed; original source bytes preserved.

https://dart.fss.or.kr/dsaf001/main.do?rcpNo=20261028800045

S20 - DART new treasury acquisition decision

Date: 2026-10-28. Full native-language filing reviewed and preserved. Planned acquisition quantity is not actual execution.

https://dart.fss.or.kr/dsaf001/main.do?rcpNo=20261028000014

S21 - Citi current SKHY dividend history

Date: Captured October 28, 2026 UTC; page generated October 27, 2026 US. Actual depositary page reviewed. No new Q3 ADS distribution notice appeared in the captured history.

https://depositaryreceipts.citi.com/adr/guides/pgm_dispaDivd.aspx?cusip=78392B206&pageId=15&subpageID=113

S22 - KRX ex-dividend and regular-way settlement

Date: See dated source title / original publication. Primary exchange rule: T+2 settlement. A current issuer ex-dividend-date notice remains unavailable.

https://global.krx.co.kr/contents/GLB/06/0602/0602010204/GLB0602010204T1.jsp

S23 - Indiana groundbreaking and production milestones

Date: 2026-08-28. Issuer-announced schedule. Completion awaits subsequent production evidence.

https://news.skhynix.com/en/groundbreaking-ceremony-in-indiana/

S24 - TSMC OIP portfolio exhibition

Date: 2026-09-28. Issuer product demonstration and exhibition. Commercial yield remains unquantified.

https://news.skhynix.com/en/tsmc-oip-conference-2026/

S25 - 12-high HBM4E samples

Date: 2026-06-18. Issuer sample announcement. Mass-production evidence remains incomplete.

https://news.skhynix.com/en/sk-hynix-ships-samples-of-12-layer-next-gen-hbm4e-2/

S26 - OCP memory-centric server demonstrations

Date: 2026-10-16. Issuer demonstrations, proofs of concept and internal simulation; no disclosed orders or quantified commercial revenue.

https://news.skhynix.com/en/ocp-global-summit-2026/

S27 - Current call report: LTA coverage, deposits and pricing

Date: 2026-10-28. Current Korean direct-call report. Full original reviewed and preserved; corroborates official presentation page 12.

https://www.inews24.com/view/2019720

S28 - New Q3 publisher transcript listings and search-rendered excerpts

Date: Captured 2026-10-28 UTC. New listings and long excerpts reviewed. Full pages returned 403 or were inaccessible; the browser fallback timed out. The complete current transcript remains unread.

https://stockanalysis.com/quote/krx/000660/transcripts/717350-q3-2026/

Additional publisher listing:
https://uk.investing.com/news/stock-market-news/earnings-call-transcript-sk-hynix-posts-record-q3-2026-results-shares-jump-after-hours-93CH-4935915

Linked working model: SKHynix_000660_SKHY_Linked_Model.xlsx. The report and workbook share the same issuer operating model; common and ADS multiple conventions differ as explicitly disclosed. Historical published Excel forecasts through Q3 2026 and their as-then rolling ceilings remain separate from this present reconstruction.